DMGT208

Human Resource Management

Exam-Ready Study Notes

All 14 units • Key definitions • Short notes

168 two-mark Q&As • 56 six-mark model answers

Last-night revision sheet at the end

Based on the LPU textbook DMGT208 Human Resource Management (ed. Dr. Pretty Bhalla)

How to Use These Notes

- **Start with "Unit at a Glance"** for each unit. It tells you in 5 lines what the unit is about.
- **Learn the Key Definitions by heart.** Most 2-mark questions start with "What is..." or "Define...". Where a definition comes from a named author (for example Flippo or Dessler), write the author's name in your answer. Examiners like it.
- **Core Notes** cover every important topic of the unit: features, objectives, functions, process steps, types, merits and demerits, and differences. **Bold words** are the keywords to remember. Tables show the differences that are asked again and again.
- **2-MARK QUESTIONS**: each answer is 2–4 lines, the length you should write in the exam. Give a definition plus one or two points or an example.
- **LONG QUESTIONS (6 Marks)**: each model answer follows the pattern examiners like:
  - a short **Introduction** with a definition,
  - **6–8 headed points**, each explained in 1–2 lines,
  - a **process flow or table** where it helps,
  - a short **Conclusion**.
- **How to write a 6-mark answer in the exam**: write the headings as underlined or bold points, keep each point short, draw the flow chart if there is a process, and finish with a 1–2 line conclusion. Do not write long stories.
- **Use the Contents page** (or the Navigation Pane in Word: View → Navigation Pane) to jump straight to any unit or section.
- **The night before the exam**: read only the "Last-Night Revision" section at the end, then the 2-mark questions of each unit.

Unit at a Glance → Key Definitions → Core Notes → 2-Mark Q&A → Long Answers → Last-Night Revision

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Unit 1: An Introduction to Human Resource Management

Unit at a Glance

- HRM brings people and the organisation together so that the goals of both are met; human resource is the only "living" resource.
- The concept of HRM evolved from the commodity concept to employees as partners, through six historical stages.
- HRM functions run from HR planning to personnel research; HRM is pervasive, action-, people- and future-oriented, and continuous.
- HR policies give uniformity, standards and fairness; the personnel manager plays advisory, welfare, administrative and fire-fighting roles.
- The unit also covers the systems approach, E-HRM, human capital architecture (Lepak and Snell) and the external and internal forces affecting HR.

Key Definitions

- **HRM**: The process of bringing people and organisations together so that the goals of each are met, effectively and efficiently.
- **HRM (M L Cuming)**: "Concerned with obtaining the best possible staff for an organization and having got them looking after them, so that they want to stay and give their best to their jobs."
- **HRM (Dale Yoder)**: That phase of management dealing effectively with control and use of manpower, as distinguished from other sources of power.
- **HRM (F E L Brech)**: That part of the management process primarily concerned with the human constituents of an organization.
- **HRM (Edison)**: The science of human engineering.
- **Human Resource (Leon C. Megginson)**: "The total knowledge, skill, creative abilities, talents and aptitudes of an organization's workforce, as well as the values, attitudes and beliefs of the individuals involved."
- **HRM (Pigors and Myers)**: "A method of developing potentialities of employees so that they get maximum satisfaction out of their work and give their best efforts to the organization."
- **Policy**: A predetermined course of action established as a guide towards accepted objectives and strategies of the organization.
- **System**: A set of interrelated but separate parts working together as an organised whole, with clear boundaries, toward a common goal.
- **E-HRM**: The devolution of HR functions to managers and employees through intranet or web technology; a fully integrated, organisation-wide network of HR data, services and transactions.

Core Notes

Introduction and Meaning of HRM

- **Four resources**: human, finance, operations and information. Human resource is the only living one and it directs the rest.
- **Crucial task**: Managing people is key to sustainability in a competitive world.
- **Challenging task**: No two people are the same in needs, ambitions, mental make-up or background.
- **Meaning**: The art of procuring, developing and maintaining a competent workforce to achieve goals effectively and efficiently.
- **Aim**: To secure the best from people by winning their whole-hearted co-operation, meeting both organisational and individual goals.
- **Most important asset**: The quality of human resource decides the fate of the organisation.

Evolution of the Concept of HRM

Concept	Main Idea
Commodity / Factor of production	Labour bought and sold; treated like machines
Goodwill	Welfare measures (safety, first aid, rest room) to raise productivity

Concept	Main Idea
Paternalistic	Fatherly, protective attitude of management
Humanitarian	Social and psychological needs matter; Elton Mayo: money is not the only motivator
Human Resource	Employees are the most valuable assets
Emerging	Employees are partners; HRD for competitive advantage

Historical Evolution of HRM

Early Phase

- **Code of Hammurabi (about 1800 BC)**: Minimum wage and incentive wage plans.
- **Chinese**: Division of labour (1650 BC); understood labour turnover (400 BC).
- **Kautilya's Arthasastra**: Job analysis, selection, executive development, incentives and performance appraisal.

Six Stages

Pre-Industrial Era → Industrial Revolution → Scientific Management and Welfare → Golden Age of IR → Control of Labour → Professional Tradition

1. **Pre-Industrial Era (1400–1700)**: No formal HR function. End of feudalism, free employment, growth of towns and a middle class.
2. **Industrial Revolution (1700–1900)**: Factory system arrived (UK 18th c., USA 19th c., India second half of 20th c.). Practices were autocratic and based on the commodity concept; the human factor was neglected.
3. **Scientific Management, Welfare Work and Industrial Psychology (1900–1935)**: These three streams merged around World War I.
   - Welfare work means comfort measures beyond wages that are not required by law.
   - Key developments: Factories Acts 1881 and 1891, AITUC (1919) and ILO (1919, Geneva).
4. **Golden Age of IR (1935–1970)**: Unions and collective bargaining grew; the peak was 1948–1958.
   - Key developments: Industrial Disputes Act 1947, the tripartite Indian Labour Conference, and labour laws of 1947–1956.
5. **Control of Labour (1970–1990)**: Unions lost membership because of:
   - political outside leadership;
   - the government taking over wage-welfare roles (there is no central law for union recognition);
   - young, educated workers treating unions as service agencies, which raised inter-union rivalry;
   - unemployment and rising prices, which made workers individualistic;
   - small, financially weak unions;
   - varying political control over unions.
6. **Professional Tradition (1990 to date)**: Professional managers took over and capital was separated from control.
   - Qualifications include PG courses in Social Work, PM and IR, or an MBA (HRM), but none is prescribed in India.
   - Professional bodies include NIPM, AIMA and ISPA.
   - There is no code of ethics, so HRM is not yet a full profession in India.

HRM Functions

1. **HR Planning**: Decides the number and type of employees needed and forecasts supply and demand.
2. **Job Analysis**: Describes the job and its requirements; its end product is the job description.
3. **Staffing**: Recruitment attracts applicants; selection picks the most qualified.
4. **Orientation**: Helps a new employee adjust; covers pay, benefits, hours and rules.
5. **Training and Development**: Builds skills now and prepares people for higher roles.
6. **Performance Appraisal**: Monitors performance; basis for pay, promotion, discipline and feedback.
7. **Career Planning**: Assesses an employee's growth potential.

8. **Compensation and Benefits**: Rational pay that attracts and motivates; benefits are legal or discretionary and serve maintenance.
9. **Labour Relations**: Negotiating with unions on wages and service conditions, and settling disputes and grievances.
10. **Record-keeping**: The oldest function; gives up-to-date data, a history of actions, statistics and legal compliance.
11. **Personnel Research**: Surveys and attitude surveys; the most neglected area. Its purpose is to prevent fires, not put them out.

Responsibilities of an HR Manager

- **Know the organisation**: Understand its culture, plans and policies.
- **Change agent**: Act as internal consultant, expert and facilitator.
- **Strategy**: Take part in strategy and align HRD with business strategy.
- **Communication and teams**: Keep lines open and develop teams.
- **Problem solving and evaluation**: Diagnose HR problems, support HRD programmes and evaluate HRD through research.

Nine New Functions of HR Practitioner (Pat McLagan)

- **Strategic and systems**: Strategic input on people trends; HR systems design; transforming the organisation through values and vision.
- **Customer and learning**: Smooth customer flow and commitment; designing learning programmes.
- **People change**: Moving leaders from authoritarian to participative styles; development planning; helping people add value and sustain change.
- **Evaluation**: Assessing HRD programmes and communicating results.

Four Roles of HR (Dave Ulrich)

Role	Meaning
Strategic partner	Turning strategy into results
Change agent	Making change happen, fast
Employee champion	Managing talent and intellectual capital
Administrative expert	Doing things better, faster, cheaper

Nature / Features of HRM Functions

1. **Pervasive**: Present in all enterprises and at all levels; all managers are HR managers.
2. **Action-oriented**: Focuses on action rather than records and rules; uses employee-friendly policies.
3. **Individually and people-oriented**: Develops each person's potential and rewards results.
4. **Future and development-oriented**: Prepares people for future challenges through training, rotation and rewards.
5. **Integrating mechanism**: Builds cordial relations at all levels.
6. **Comprehensive**: Covers all personnel, from workers to top managers.
7. **Auxiliary (staff) service**: The HR manager is a specialist advisor to line managers.
8. **Inter-disciplinary**: Draws on psychology, sociology, anthropology and economics.
9. **Continuous (Terry)**: "Not a one-shot deal"; it needs constant alertness.

HRM Policies

- **Why develop policies**: They document and communicate management's plans, save time and reduce legal problems.
- **Positive side**: They empower staff to act freely within set limits.

Reasons for Adopting Personnel Policies

1. **Uniformity**: Equal treatment for all; no favouritism, nepotism or discrimination.
2. **Standard of performance**: A yardstick against which deviations are corrected.
3. **Resolving conflicts**: Policies act as a universal law for settling disputes.

Benefits of Policy Formulation

1. **Reference tool**: Written guidelines for HR decisions; even the process of making them helps.
2. **Communication**: The policy manual tells employees management's rules.
3. **Announces plans**: Shows growth plans and the firm's investment in employees.
4. **Consistency and fairness**: Even-handed decisions.
5. **Efficiency and image**: Cost savings and a reflection of company philosophy, which raises satisfaction.
6. **Legal protection**: Defines the rights and obligations of both sides.
7. **CBA**: In unionised firms, the collective bargaining agreement serves as the policy manual; a separate manual covers non-union staff.

Categories of HR Policies

Category	Covers
Employment; status and records	Hiring, orientation, compliance, personnel files, reviews
Employee benefits	Insurance, vacations, leave, reimbursements
Payroll	Salary, deductions, advances, time keeping
Workplace guidelines	Flexi-time, telecommuting, use of assets
Employee conduct	Code of conduct, harassment, smoking, violence
E-policies	Use of IT, e-mail, Internet, software

Factors Considered for Policy Development

1. **Organisation culture**: Policies must fit the culture; some firms (e.g. banks) have a policy for everything, others only legal minimums.
2. **Support from employees**: Staff participation and explaining the financial impact improve compliance.
3. **Procedures and forms**: Policy, procedure and form are linked and must be coordinated.
4. **3C principle**: Policies need clarity, conciseness and coherence.
5. **Training**: Handing out the manual is not enough; interactive presentations help.

Basis	Policy	Procedure
Meaning	Predetermined guide to action	Method of carrying it out
Level	Higher, broad	Lower, detailed
Example	Exit interview for all leavers	How the interview is held

Distributing New Policies

- **Printed manual**: Loose-leaf ring binder with a distribution memo; bulletins and newsletters.
- **Electronic**: E-mail or a link to an online manual; no paper cost, faster publishing, search and hypertext.

Principles of HRM and Their Characteristics

- **Principle**: A fundamental truth or law that is the basis of reasoning or action.
- **Characteristics**:
  - a universal truth;
  - generally applicable to organisations;
  - guides policies and procedures (e.g. fair remuneration, scientific selection);
  - applicable at all levels;
  - dynamic, leading to motivation and satisfaction.
- **Examples**: Right person in the right place; train everyone; make a coordinated team; supply the right tools; look ahead and plan.

Role of a Personnel Manager

- **Ideal role**: A counsellor and advisor rather than a "decision-maker".
- **Ten roles**: Advisory, counsellor, mediator, representative, clerical, legal, welfare, problem solver, decision maker, executive.

Roles as per Dr C B Mamoria

Role	Activities
Personnel	Advising, manpower planning, training, measuring behaviour
Welfare	Research, services (canteens, crèches), group dynamics
Administrative	Time-keeping, wages, records, human engineering
Fire-fighting	Grievances, disputes, discipline, collective bargaining, joint consultation

System Approach to HRM

- **System**: Interrelated parts working toward a common goal (e.g. the students, teachers and staff of a university).
- **Enterprise as a system**: Turns physical, financial and human inputs into products, services and satisfaction.
- **Subsystems**: Production, finance, marketing and HR.
- **HR subsystems**: Procurement, training, compensation, appraisal and rewards.
- **Interdependence**: Each part affects the others, so coordination is needed.

Inputs (Human, Physical, Financial) → Transformation (Subsystems incl. HR) → Outputs (Products, Services, Satisfaction)

HR Relationship with Other Departments and Scope of HRM

- **Service department**: Provides recruitment, appraisal, training, compensation design, feedback surveys, communication and motivational events.
- **Core operations**: Payroll, leave, confirmation, rewards and recognition.
- **Binding role**: Builds trust through group activities; satisfied employees avoid conflict.
- **Objective**: Acquire, develop and retain human capital for organisational and personal goals.

Scope of HRM (Indian Institute of Personnel Management)

1. **Personnel aspect**: Planning, recruitment, selection, transfer, promotion, training, retrenchment, remuneration.
2. **Welfare aspect**: Working conditions, canteens, crèches, housing, transport, medical care, safety.
3. **Industrial relations aspect**: Union relations, collective bargaining, grievances, discipline, dispute settlement.

E-HRM

- **Meaning**: Web-based, real-time HR, devolved to managers and employees.
- **Uses**: Online recruitment without geographic limits, the same intranet training for all, virtual teams, and online appraisals and reports.

Objectives of E-HRM

1. **Information system**: Comprehensive information on people and jobs at reasonable cost.
2. **Planning and monitoring**: Supports planning and policy; tracks demand–supply imbalances.
3. **Automation and speed**: Automated records; faster services and decisions.
4. **Security and privacy**: Data security through passwords and codes; privacy as an ethical issue.

Types (Tiers) of E-HRM

Tier	Concerned with
Operational	Payroll, personal data
Relational	Training, recruitment, performance management
Transformational	Knowledge management, strategic re-orientation

- **Not HRIS**: HRIS means ICT systems used only within the HR department.
- **Not Virtual HRM (Lepak and Snell)**: Virtual HRM is "a network-based structure built on partnerships… to acquire, develop, and deploy intellectual capital".

Scope / Outcomes of E-HRM

- **Michael Armstrong**: "The e-HR provides the information required to manage HR processes": database, payroll, recruitment, e-learning, performance and reward.
- **Outcomes**: Paperless office, fast data retrieval, accurate reports, standard procedures, transparency, cost savings and less administrative burden.
- **Trend**: HR becomes more strategic, with fewer but better-qualified HR staff.

Advantages and Limitations

Advantages	Limitations
Better, faster service; direct access to records	High investment cost
Easy appraisal, pay and leave handling; e-approvals	Discomfort with technology
Savings in web recruitment and training	Benefits depend on trained staff
One virtual HR department for many locations	Gaps reduce benefits

- **Watson Wyatt**: E-HR frees HR from its "administrative shackles".

Human Capital Management

- **Core vs peripheral skills**: Core skills give competitive advantage; outsourcing them erodes it (Bettis).
- **Snell and Dean**: Advanced technology shifts employees from "sweat labour" to knowledge workers.
- **HR architecture (Lepak and Snell, 1999)**: Human capital is classified by value and uniqueness into four quadrants.

Quadrant	Human Capital	Mode / Relationship	HR Configuration
Q1 Developing	Valuable, unique	Internal development / organisation-focused	Commitment
Q2 Acquiring	Valuable, widely available	Acquisition / symbiotic	Market-based
Q3 Contracting	Generic, low value	Contracting / transactional	Compliance
Q4 Alliances	Unique, not directly valuable	Alliance / partnership	Collaborative

- **Q2**: The relationship lasts while both sides benefit; employees are career-focused.
- **Q3**: "Public knowledge" skills (Leonard-Barton), e.g. temporary staff.
- **Q4**: E.g. an attorney for a small firm.
- **Dynamics**: Competition shortens the half-life of knowledge. Managers raise value and uniqueness to shift people from Q3/Q4 to Q1/Q2, and managing this architecture can itself become a core capability.

Environment of HRM

- **Volatile environment**: Change is the only constant; human resources are the heart of the response system.
- **Trends in the Indian labour market**:
  - **Reduced wage inequality**: Easy-to-use machines and training narrow wage gaps; high-skill machines widen them.
  - **Working hours not reduced**: Fewer staff work harder, and diversification raises demand for some employees.
  - **Changing work**: Work-from-home and part-time work, which suit educated women.
  - **Fewer accidents**: The factory injury rate fell from 21.98 (2001) to 3.37 (2011).
  - **Labour turnover**: Measured as accession (workers added) and separation (severance, including death and retirement).

External Forces Affecting HR

- **No control**: Organisations must adapt to the external environment.
- **Two levels**: The general environment acts indirectly; the task environment (customers, competitors, suppliers, labour, stockholders) acts directly.

1. **Technological**: Robots and ATMs change jobs and hit lower and middle levels hardest; TQM aids upgradation.
2. **Economic**: Fiscal, monetary and industrial policy, Five Year Plans, type of economy, GNP and infrastructure; liberalisation had a mixed effect.
3. **Political**: Government policies and labour laws protecting employees.
4. **Social**: Demography, values, family structure, role of women, education and awareness.
5. **Legal**: Factories Act 1948, Payment of Wages Act 1936, Minimum Wages Act 1948, Equal Remuneration Act, Payment of Bonus Act 1965, Apprentices Act 1961, Employment Exchanges Act.
6. **Trade unions**: Bargain for benefits and influence personnel policies.
7. **Workforce diversity**: Brings creativity but makes behaviour harder to understand.

Internal Forces Affecting HR

- **Reactive or proactive**: Proactive change made in advance is **planned change**.
- **Socio-cultural shifts**: More educated workers and more women require changes such as day-care centres.

1. **Business ethics and values**: The founders' values shape mission and policy.
2. **Mission**: Guides growth and priorities, e.g. IOC and Dr. Reddy's.
3. **Culture and structure**: Board composition and the degree of professionalisation.
4. **Internal power relationships**: Relations between the Board and staff.
5. **Human resources**: Employees' skill, morale, commitment and attitude.

Basis	External Forces	Internal Forces
Control	Outside the organisation	Within management
Examples	Technology, economy, law, unions	Values, mission, culture, people
Response	Organisation adapts	Organisation shapes (planned change)

2-MARK QUESTIONS

Q1. What is Human Resource Management?

HRM is the process of bringing people and organisations together so that the goals of each are met. It means procuring, developing and maintaining a competent workforce to achieve goals effectively and efficiently.

Q2. Give M L Cuming's definition of HRM.

"HRM is concerned with obtaining the best possible staff for an organization and having got them looking after them, so that they want to stay and give their best to their jobs."

Q3. What is "human resource" according to Leon C. Megginson?

It is the total knowledge, skill, creative abilities, talents and aptitudes of an organisation's workforce. It also includes the values, attitudes and beliefs of the individuals.

Q4. What is the commodity concept of labour?

In this early concept, labour was bought and sold like a commodity. Wages were fixed by demand and supply, and the government did little to protect workers.

Q5. Name the six stages in the historical evolution of HRM.

Pre-Industrial Era, Industrial Revolution, Scientific Management/Welfare/Industrial Psychology, Golden Age of IR, Control of Labour, and Professional Tradition (1990 to date).

Q6. What are Dave Ulrich's four roles of HR?

Strategic partner (strategy into results), change agent (making change happen fast), employee champion (managing talent) and administrative expert (better, faster, cheaper).

Q7. Why is HRM called a pervasive function?

HRM is present in all enterprises and at all levels of management. Every manager deals with people, so all managers are HR managers.

Q8. What is an HR policy?

A policy is a predetermined course of action that guides the organisation towards its accepted objectives and strategies. HR policies are written guidelines for HR decisions.

Q9. Differentiate between policy and procedure.

A policy is a broad, higher-level guide, e.g. every leaver gets an exit interview. A procedure is the detailed method of carrying it out, e.g. how the interview is conducted.

Q10. State C B Mamoria's four roles of a personnel manager.

Personnel role (advisory, manpower planning, training), welfare role (research, services, group dynamics), administrative role (time-keeping, wages, records) and fire-fighting role (grievances, disputes, discipline, bargaining).

Q11. What is E-HRM? Name its three tiers.

E-HRM is the web-based devolution of HR functions to managers and employees through the intranet or Internet. Its tiers are operational, relational and transformational.

Q12. State the scope of HRM given by the Indian Institute of Personnel Management.

The personnel aspect (planning, recruitment, training, pay), the welfare aspect (canteens, crèches, housing, safety) and the industrial relations aspect (bargaining, grievances, dispute settlement).

LONG QUESTIONS (6 Marks)

Q1. Define HRM and outline its features clearly.

Introduction: HRM is the process of bringing people and organisations together so that the goals of each are met. Pigors and Myers call it "a method of developing potentialities of employees so that they get maximum satisfaction out of their work and give their best efforts to the organization."

1. **Pervasive force**: HRM is present in all enterprises and at all levels. Every manager is an HR manager.
2. **Action-oriented**: It stresses action over records and rules, and solves employee problems through employee-friendly policies.
3. **Individually and people-oriented**: It treats employees as valued team members, develops each person's potential and rewards results.
4. **Future and development-oriented**: It prepares people for future challenges through training, job rotation and suitable rewards.
5. **Integrating mechanism**: It builds cordial relations among people at all levels and integrates human assets in service of the organisation.
6. **Comprehensive**: It covers all personnel, from workers to top managers, and any decision affecting the workforce.
7. **Auxiliary (staff) function**: The HR department advises and assists line managers as a specialist advisor.
8. **Inter-disciplinary and continuous**: It draws on psychology, sociology, anthropology and economics. According to Terry, it is "not a one-shot deal" and needs constant alertness.

Conclusion: These features make HRM the people dimension of management. The effective use of people is the critical factor in achieving corporate goals.

Q2. Critically examine the evolution and present state of human resource management in India.

Introduction: HRM is often called a recent discipline, but its roots go back to the Code of Hammurabi (1800 BC) and Kautilya's Arthasastra, which mentioned selection, incentives and appraisal. The concept moved from labour as a commodity to employees as partners.

1. **Changing concepts**: The commodity and factor-of-production concepts came first. They were followed by the goodwill, paternalistic, humanitarian (Elton Mayo), human resource and emerging (partnership) concepts.
2. **Pre-Industrial Era (1400–1700)**: There was no formal HR function. The end of feudalism, free employment and the growth of towns and a middle class sowed the seeds of HRM.
3. **Industrial Revolution (1700–1900)**: The factory system brought autocratic, commodity-based practices and neglected the human factor. It reached India only in the second half of the 20th century.

4. **Scientific Management, Welfare and Industrial Psychology (1900–1935)**: The Factories Acts 1881 and 1891 were passed, AITUC was formed (1919) and the ILO was set up (1919, Geneva).
5. **Golden Age of IR (1935–1970)**: The Industrial Disputes Act 1947 and the tripartite Indian Labour Conference came in this period, along with many protective labour laws of 1947–1956.
6. **Control of Labour (1970–1990)**: Unions declined because of outside political leadership, the state taking over welfare roles, an individualistic young workforce, inter-union rivalry and small, weak unions.
7. **Professional Tradition (1990 to date)**: HRM became professionalised, with MBA and PM&IR qualifications and bodies such as NIPM and AIMA.
8. **Critical view**: India prescribes no qualification for personnel managers, and technical men are often posted to HR in PSUs such as BHEL and SAIL. There is also no code of ethics, so HRM is not yet a full profession.

Commodity → Factor of Production → Goodwill → Paternalism → Humanitarian → Human Resource → Partnership

Conclusion: HRM in India has moved from welfare and IR towards a professional function. It still needs ethical codes and standard qualifications to become a full profession.

Q3. Explain the various functions of human resource management.

Introduction: The function of HRM is to plan, develop and administer policies and programmes for the expeditious use of an organisation's human resources. It deals with people at work and their relationships within the enterprise.

1. **HR planning and job analysis**: HR planning decides the number and type of staff needed. Job analysis describes jobs and their requirements, producing the job description.
2. **Staffing**: Recruitment attracts qualified applicants, and selection picks the best among them.
3. **Orientation**: It helps new employees adjust by explaining pay, benefits, working hours and rules.
4. **Training, development and career planning**: These build skills, prepare people for higher roles and assess their growth potential.
5. **Performance appraisal**: It monitors performance and is the basis for pay, promotion, discipline and feedback.
6. **Compensation and benefits**: A rational pay structure and benefits (legal and discretionary) attract, maintain and motivate staff.
7. **Labour relations**: HR negotiates with unions on wages and service conditions and resolves disputes and grievances.
8. **Record-keeping and personnel research**: Records give accurate data for decisions and legal compliance. Research through surveys prevents problems rather than fighting fires.

Ulrich's HR Role	Focus
Strategic partner	Strategy into results
Change agent	Fast change
Employee champion	Talent
Administrative expert	Efficiency

Conclusion: Together these functions acquire, develop, motivate and retain people. Modern HR also plays strategic and change-agent roles, as stated by Ulrich and McLagan.

Q4. What do you mean by the "Systems approach to HRM"? What are the important subsystems of HRM?

Introduction: A system is a set of interrelated but separate parts working toward a common goal. In a university, for example, students, teachers and staff interact to impart education. In the systems approach, HRM is a subsystem of the enterprise and has its own subsystems.

1. **Organisation as a system**: The enterprise transforms inputs (physical, financial and human resources) into outputs (products, services and satisfaction).
2. **Interdependence**: What one part does affects the others, so parts must communicate and coordinate.

3. **Organisational subsystems**: Production, finance, marketing and HR. HR serves all the others through recruitment, training, appraisal and compensation design.
4. **Procurement subsystem**: HR planning, recruitment, selection and placement.
5. **Training subsystem**: Building skills and preparing people for future roles.
6. **Compensation subsystem**: Fair pay and benefits that attract and maintain staff.
7. **Appraisal subsystem**: Measuring performance for pay, promotion and development.
8. **Rewards subsystem**: Incentives and recognition that motivate higher performance.

Inputs → Transformation through HR Subsystems (Procurement, Training, Compensation, Appraisal, Rewards) → Outputs

Conclusion: The systems approach shows HR as a crucial, interconnected subsystem. Its success depends on close links with all other departments.

Unit 2: Strategic Human Resource Management

Unit at a Glance

- HR's role has shifted from **protector and screener** (policeman) to **strategic partner and change agent** (developer).
- **SHRM** links HRM with strategic goals to improve business performance and build a culture of innovation and flexibility.
- SHRM rests on **Armstrong's three propositions**: people as competitive advantage, vertical fit and horizontal fit.
- **Sustained competitive advantage** through people needs **superiority, inimitability, durability, non-substitutability and appropriability**.
- **Creating an SHRM system** follows Greer's process from company mission to HR evaluation. **Alan Speaker's 2 × 2 typology** classifies HR activities.

Key Definitions

- **Strategic Human Resource Management**: "The linking of HRM with strategic goals and objectives in order to improve business performance and develop organisational cultures that foster innovation and flexibility."
- **HR Strategies**: The courses of action HR uses to help the company achieve its strategic aims. They align HR practices, programmes, policies and activities with overall strategy.
- **Competitive Advantage**: The ability of a firm to win consistently over the long term in a competitive situation. It comes from performing activities more distinctively and effectively than rivals.
- **Competency**: The ability to perform exceptionally well and increase the stock of targeted resources within the firm.
- **Core Competence (Thompson et al.)**: A competitively superior resource strength. It is "knowledge based, residing in people and in a company's intellectual capital and not in its assets or the balance sheet."
- **Vertical Fit**: Successful organisational performance depends on a close fit between business strategy and HR strategy.
- **Horizontal Fit**: Individual HR strategies should cohere by being linked to each other to offer mutual support.
- **Superiority**: A single-minded focus on customer needs and expectations.
- **Effectiveness**: The extent to which goals have been met.
- **Efficiency**: The degree to which operations are carried out in an economical way.

Core Notes

Introduction: Changing Role of HR

- **Shift in role**: HR has moved from protector and screener to strategic partner and change agent.
- **Change of name**: The move from "personnel" to "HRM" reflects this shift.
- **Competitive key**: In flattened, downsized, high-performing firms, the key is trained and committed employees, not machines.
- **Employees as resource**: Modern HRM sees employees as the most important resource.
- **Policeman to developer**: HR now cares for employees' skills, career graph and psychological satisfaction.

Basis	Old Role (Personnel)	New Role (SHRM)
Image of HR	Policeman, screener	Developer, strategic partner
Employees seen as	Cost	Most important resource
Focus	Rules and control	Skills, career, satisfaction
Link to strategy	Little	Helps craft and implement

Meaning of Strategic Human Resource Management

- **Bigger role for HR**: If competitiveness depends on employees, the function that acquires, trains, appraises and pays them must play a bigger role.
- **Origin of the field**: Seeing employees as a competitive advantage gave rise to SHRM.
- **Joint strategy**: Ideally, HR and top management craft the business strategy together.
- **Framework**: The strategy guides the design of HR activities such as recruiting and training.
- **Outcome**: These activities produce employee competencies and behaviours that help implement the strategy.

HR + Top Management craft Strategy → Design HR Activities → Employee Competencies and Behaviours → Strategy Implemented → Goals Achieved

Features of SHRM

1. **Strategic link**: HR goals are tied to business goals.
2. **People as assets**: Employees are a source of competitive advantage, not a cost.
3. **Long-term and proactive**: SHRM focuses on future needs and culture.
4. **Partnership**: HR is a partner of top management.
5. **Culture building**: SHRM fosters innovation and flexibility.
6. **Integration and investment view**: SHRM seeks vertical and horizontal fit, and judges HR spending by its return.

Three Propositions of SHRM (M. Armstrong)

1. **People as competitive advantage**: Human resources are a major source of competitive advantage, because people can make or break an organisation.
2. **Vertical fit**: Performance depends on a close fit between business strategy and HR strategy.
3. **Horizontal fit**: Individual HR strategies should cohere and support each other.

Basis	Vertical Fit	Horizontal Fit
Meaning	HR strategy matches business strategy	HR practices match each other
Direction	Top-down alignment	Side-by-side consistency
Aim	HR supports business goals	Mutual support among practices

Traditional HRM vs Strategic HRM

Basis	Traditional HRM	Strategic HRM
Focus	Day-to-day administration	Long-term business goals
Role of HR	Support and control	Strategic partner, change agent
Employees seen as	Cost	Investment, source of advantage
Link with strategy	Implements only	Formulates and implements
Initiative	Reactive	Proactive

Competitive Advantage

- **Meaning**: The ability to win consistently over the long term in a competitive situation.
- **Customer value**: It exists when customers perceive value in dealing with the firm.
- **Source**: The firm does something others cannot do, or does it better. Dell's direct-selling e-commerce channel is an example.
- **Most fundamental source**: Human resources. Inspired people delight customers with unmatched service.
- **What people add**: They combine scarce inputs into superior results, and their expertise often decides success or failure.

Core Competencies

- **Meaning**: Employee skills, knowledge, experience and the ability to use them. These separate the firm from rivals and deliver value to customers.
- **Nature**: Core competencies are knowledge based and reside in people and intellectual capital, not in the balance sheet (Thompson et al.).
- **Examples**: FedEx in package routing, delivery and employee relations; 3M in R&D quality.
- **Features**: They are limited in number but give a solid base for technology innovation, product development and service delivery.
- **Management matters**: Owning valuable resources is not enough. They must be managed to give an edge over competition.

Conditions for Sustained Competitive Advantage Through People

1. **Superiority**: The firm keeps a single-minded focus on customer needs and tunes its policies to deliver superior service. FedEx's package tracking is an example.
   - HR hires the best talent that fits the culture and invests heavily in people.
   - People become a strength when they cut costs, offer something unique and raise efficiency or effectiveness.
2. **Inimitability**: The firm erects barriers so rivals cannot easily copy its offering.
   - Disney's smiling employees, and the cultures of Southwest Airlines and Starbucks, are hard to copy.
   - HR uses employee-friendly policies that inspire people to give their best.
3. **Durability**: The advantage lasts over time.
   - HDFC has low attrition over two decades, while IBM and GE blend diverse skills.
4. **Non-substitutability**: The customer's need should not be easily met in other ways. The Internet replaced Encyclopedia Britannica.
   - The firm stays ahead through constant experimentation, innovation, new technology and cost leadership.
5. **Appropriability**: The firm earns above-average profits compared with similar firms.
   - It may have a smaller market share but still enjoy supernormal returns through a cost advantage.

Condition	Key Question
Superiority	Do we serve customers better?
Inimitability	Can rivals copy our people?
Durability	Will the advantage last?
Non-substitutability	Can the need be met another way?
Appropriability	Do we earn above-average profits?

When Are Employees Most Productive? (Thompson)

1. **Loyal and informed**: They are loyal and informed about the mission, strategy and current success.
2. **Involved in teams**: Their teams collectively decide how work is done.
3. **Trusted**: They are trusted to decide, not controlled at every stage.

- **Caution**: Teams deliver only if they are involved in all important activities and help develop their own goals.

Role of HRM in Creating Competitive Advantage

- **Conditions**: HR is a source of advantage when people's talents are **valuable, rare, difficult to imitate and well organised** for efficient and effective results.
- **Knowledge industries**: The strategic importance of people is rising in knowledge-based industries.
- **Motivation**: Properly motivated, ordinary people deliver extraordinary results.
- **Non-imitable resource**: An advantage based on effective HRM cannot be emulated, so HRM practised well is a non-imitable resource.

How HR Professionals Contribute

1. **Right talent**: HR hires people who fit the culture.
2. **Training and development**: HR builds core competencies.

3. **Employee-friendly policies**: These build commitment and lower attrition.
4. **Appraisal and rewards**: HR links them to business goals.
5. **Unique culture and empowerment**: HR uses teams and trust to build a culture rivals cannot copy.
6. **Cost-effectiveness**: HR ensures its spending yields a return.

Creating a Strategic HRM System

- **Starting assumption**: The mission is to earn an appropriate return for shareholders while protecting other stakeholders, including employees.
- **Investment perspective**: HR spending, such as training, is judged by return on investment, like plant and equipment.
  - It gives a framework to judge programmes by how well they enhance and preserve the investment in people.
  - It drives the formulation of strategies for environmental opportunities and threats.
- **HR environment scanning**: Managers must understand economic and workforce trends, since the economic environment has changed dramatically.
- **Legal environment scanning**: Law keeps expanding into employer–employee relations. It is a source of uncertainty and a critical part of strategic analysis.

Process of Strategic HRM (Charles R. Greer, 2001)

Starting point: **Company Mission**.

1. **Investment perspective of HRM**: HR is treated as an investment.
2. **Environmental scanning (HR environment)**: Managers study economic and workforce trends.
3. **Environmental scanning (HR legal environment)**: Managers study employment laws.
4. **Strategy formulation**: Strategies are framed for opportunities and threats.
5. **Human resource planning**: Future people needs are estimated.
6. **Strategy implementation (workforce utilisation and employment practices)**: Recruitment, selection and deployment.
7. **Strategy implementation (reward and development systems)**: Pay, training and careers.
8. **Performance impact of HR practices**: The effect on results is measured.
9. **HR evaluation**: The HR function is reviewed and corrected.

Company Mission → Investment Perspective → Scanning (HR and Legal) → Strategy Formulation → HR Planning → Implementation (Employment Practices; Rewards and Development) → Performance Impact → HR Evaluation

SHRM vs HR Strategies

- **Two views of SHRM**: Some authors see it only as implementing overall strategy. Others also integrate it with strategy formulation.
- **HR strategies**: These are narrower. They align HR practices with strategy, play an implementation role and give direction, consistency and coherence.

Basis	Strategic HRM	HR Strategies
Scope	Broad domain	Narrower focus
Role	Formulation and implementation	Mainly implementation
Concern	Linking HR with business goals	Aligning specific practices

Alan Speaker's Typology (Model of SHRM)

- **Origin**: Developed by Alan Speaker, Senior VP, Synergy HR Technologies. It is a 2 × 2 matrix built on two dimensions.
  - **Transactional vs relational**: Transactional activities are administrative, impersonal, need little interpersonal skill and can be computerised. Relational activities need interpersonal skill, political awareness and sensitivity.
  - **Strategic value (high vs low)**: High-value activities directly affect the firm's ability to implement competitive strategy. Low-value activities have an indirect or smaller impact.

Value	Transactional	Relationship
High	Staff planning, compliance, benefits planning, retirement planning	Performance enhancement, consulting, employee relations, labour negotiations, executive compensation, employee and management development, recruitment interviewing
Low	Payroll, benefits and retirement administration, employee records, relocation administration, recruitment information processing	Employee assistance programmes

- **Lesson**: Low-value transactional work can be computerised. HR should focus on high-value relational activities.

HR as a Strategic Partner

1. **In formulation**: HR scans for people-related opportunities and threats, assesses workforce strengths and weaknesses, judges whether a strategy is feasible and supplies information.
2. **In execution**: HR carries out restructuring and downsizing without hurting employees, aligns HR practices with strategy and builds commitment.
3. **Characteristics of the new role**: HR is proactive, business-minded, a change agent and measures its results.
4. **Balancing demands**: HR must enhance performance, expand human capital and be cost-effective at the same time.

2-MARK QUESTIONS

Q1. Define Strategic Human Resource Management.

SHRM is "the linking of HRM with strategic goals and objectives in order to improve business performance and develop organisational cultures that foster innovation and flexibility."

Q2. What is meant by competitive advantage?

It is the ability of a firm to win consistently over the long term in a competitive situation. It arises when the firm does something others cannot do, or does it better, so customers perceive value. Dell's direct-selling channel is an example.

Q3. What are HR strategies?

HR strategies are the courses of action HR uses to help the company achieve its strategic aims. They align HR practices and policies with overall strategy, giving direction, consistency and coherence.

Q4. State Armstrong's three propositions of SHRM.

- Human resources are a major source of competitive advantage.
- Performance needs a close fit between business strategy and HR strategy (vertical fit).
- Individual HR strategies should support each other (horizontal fit).

Q5. Differentiate between vertical fit and horizontal fit.

Vertical fit aligns HR strategy with business strategy. Horizontal fit makes individual HR practices, such as training, appraisal and rewards, consistent so that they support each other.

Q6. What are core competencies?

Core competencies are competitively superior strengths, such as employee skills, knowledge and experience, that separate a firm from rivals. They are knowledge based, limited in number and reside in people, not in the balance sheet. FedEx's package routing is an example.

Q7. What is meant by inimitability?

Inimitability means the firm's product, service or people capability cannot easily be copied by rivals. Disney's friendly, smiling employees, whom rivals find hard to hire and keep, are an example.

Q8. Explain appropriability.

Appropriability asks whether the firm actually earns above-average profits compared with similar firms. Even with a small market share, it may earn supernormal returns, usually through a cost advantage.

Q9. Name the five conditions for sustained competitive advantage through people.

They are superiority, inimitability, durability, non-substitutability and appropriability.

Q10. What is non-substitutability?

It means there is a low possibility that the customer's need can be met in other ways. The Internet substituting Encyclopedia Britannica is an example. Constant innovation and cost leadership help prevent substitution.

Q11. Differentiate between efficiency and effectiveness.

Efficiency is the degree to which operations are carried out economically (doing things right). Effectiveness is the extent to which goals are met (doing the right things).

Q12. What is Alan Speaker's typology?

It is a 2 × 2 matrix classifying HR activities as transactional or relational, and as high or low in strategic value. Payroll is low-value transactional; performance enhancement is high-value relational.

LONG QUESTIONS (6 Marks)

Q1. Define SHRM. Explain its features and the propositions on which it is based.

Introduction: Strategic HRM is "the linking of HRM with strategic goals and objectives in order to improve business performance and develop organisational cultures that foster innovation and flexibility." It treats trained and committed employees as the firm's competitive key.

1. **Link with strategy**: HR and top management craft strategy together. The strategy then guides HR activities such as recruiting and training.
2. **People as competitive advantage (Armstrong)**: Human resources are a major source of competitive advantage, because people can make or break an organisation.
3. **Vertical fit (Armstrong)**: Performance depends on a close fit between business strategy and HR strategy.
4. **Horizontal fit (Armstrong)**: Individual HR strategies are linked so that they offer mutual support.
5. **Changed role of HR**: HR moves from protector, screener and policeman to strategic partner, change agent and developer.
6. **Long-term and proactive**: SHRM anticipates future skill and culture needs instead of reacting.
7. **Investment view**: HR spending is judged by return on investment, like plant and equipment.
8. **Culture of innovation**: SHRM builds flexibility, innovation and the competencies needed to implement strategy.

Business Strategy → HR Activities → Employee Competencies and Behaviours → Strategy Implementation → Goals Achieved

Conclusion: SHRM makes HR a partner in business success by aligning people practices with strategy. This turns employees into a lasting competitive advantage.

Q2. What is competitive advantage? Explain HRM's role in creating it, and why an advantage based on people is more sustainable than one based on other assets.

Introduction: Competitive advantage is the ability of a firm to win consistently over the long term by doing what others cannot do, or doing it better. A company's human resources are its most fundamental source of such advantage.

1. **Core competencies**: Employee skills, knowledge and experience form knowledge-based competencies that rivals cannot buy. Examples are FedEx's package routing and 3M's R&D.
2. **Superiority**: HR hires the best talent that fits the culture and invests in people. This allows a single-minded focus on customer needs.
3. **Inimitability**: HR builds unique people and cultures that rivals cannot copy, as at Disney, Southwest Airlines and Starbucks. Machines can be bought, but committed people cannot.
4. **Durability**: Retaining and developing talent makes the advantage last, as with HDFC's low attrition and IBM and GE's skill deployment.
5. **Non-substitutability**: HR encourages experimentation and innovation so that customer needs are not met by substitutes.
6. **Appropriability**: Efficient, committed people cut costs and earn above-average returns.

7. **Productive workforce (Thompson)**: Employees are most productive when they are loyal and informed, work in teams and are trusted to decide.
8. **Valuable, rare and well organised**: Talent that is valuable, rare, hard to imitate and well organised is a non-imitable resource that keeps growing with investment.

Conclusion: Properly motivated, ordinary people deliver extraordinary results. An advantage based on effective HRM cannot be emulated, so it is more sustainable than one based on other assets.

Q3. Explain the process of creating a strategic HRM system.

Introduction: Strategic HRM begins with the assumption that the company's mission is to earn an appropriate return for shareholders while protecting other stakeholders, including employees. Charles R. Greer (2001) gives a nine-step process that starts from the company mission.

1. **Investment perspective**: HR spending, such as training, is judged by return on investment. This perspective drives strategy formulation.
2. **Scanning the HR environment**: Managers study economic and workforce trends to spot HR opportunities and threats.
3. **Scanning the legal environment**: The law keeps expanding into employer–employee relations and creates uncertainty, so it is critical to strategic analysis.
4. **Strategy formulation**: Strategies are framed to deal with environmental opportunities and threats.
5. **Human resource planning**: The number and kind of people the strategy needs are estimated.
6. **Implementation through employment practices**: Workforce utilisation, recruitment, selection and deployment put the strategy into action.
7. **Implementation through reward and development systems**: Pay, training and career development support the strategy.
8. **Performance impact and HR evaluation**: The effect of HR practices on performance is measured, then the HR function is evaluated and corrected.

Company Mission → Investment Perspective → Scanning (HR and Legal) → Strategy Formulation → HR Planning → Implementation (Employment Practices; Rewards and Development) → Performance Impact → HR Evaluation

Conclusion: This process integrates HR with business strategy. Alan Speaker's typology then helps HR focus on high-strategic-value activities.

Q4. Describe HR's role as a strategic partner in formulating and executing strategy, and how HR balances competing demands.

Introduction: HR's role has shifted from protector and screener to strategic partner and change agent. As a partner of top management, HR helps craft the business strategy and then executes it through people.

1. **Environmental scanning**: HR identifies people-related opportunities and threats, such as talent shortages and changes in labour law.
2. **Assessing internal strengths**: HR evaluates workforce skills to judge whether a strategy is feasible.
3. **Crafting strategy jointly**: HR adds the people dimension. A well-designed strategy can fail if the HR dimension is ignored.
4. **Aligning practices (vertical fit)**: Recruitment, training, appraisal and pay are designed to support the strategy.
5. **Integrating practices (horizontal fit)**: HR practices are made consistent with each other.
6. **Change agent**: HR carries out restructuring and downsizing without alienating employees, and leads culture change.
7. **Building commitment**: HR keeps employees informed, involved in teams and trusted, which raises productivity.
8. **Balancing demands**: HR must enhance performance, expand human capital and be cost-effective at once, by measuring the return on HR investment.

Basis	In Formulation	In Execution
Main task	Inputs to strategy	Implementing through people
Activities	Scanning, assessing, advising	Hiring, training, rewards, change
Outcome	People-feasible strategy	Competencies that achieve goals

Conclusion: As a strategic partner, HR moves from policeman to developer. It ensures that strategy is both people-feasible and well executed.

Unit 3: Job Analysis, Job Enrichment and Job Enlargement

Unit at a Glance

- **Job analysis** is a formal, systematic study of jobs. Its two products are the **job description** (about the job) and the **job specification** (about the person).
- Job analysis data is collected through observation, questionnaires, log records, interviews, critical incidents, diaries, checklists and technical conferences.
- **Job enrichment** (vertical loading) improves the quality of a job. **Job enlargement** (horizontal loading) increases the number of tasks.
- **HRP** moves the firm from its current to its desired manpower position through demand forecasting, supply forecasting, gap analysis and HR plans.
- HRP is shaped by several factors and linked to strategic HRM. **HRIS** stores and retrieves HR data by computer.

Key Definitions

- **Job Analysis**: The systematic study of job requirements and the factors that influence their performance. It is a formal, detailed examination of jobs.
- **Job**: A group of positions similar in their significant duties, such as technical assistants or computer programmers.
- **Task / Duty / Responsibility**: A task is an identifiable work activity (typing a letter). A duty is a group of related tasks (pick up, sort and deliver mail). Responsibilities are obligations to perform tasks and duties.
- **Job Description**: A written statement of what the job holder does, how, under what conditions and why.
- **Job Specification (Mathis and Jackson)**: A statement of the human characteristics (education, experience, SKAs) needed for a job. Mathis and Jackson advise: "it is important to list only those SKAs essential for job performance."
- **Job Enrichment**: Motivating employees by giving them increased responsibility and variety, and more control over planning their work. It is also called vertical loading.
- **Job Enlargement**: Expanding the number of tasks or duties in a job at the same level. It is also called horizontal loading and is the opposite of work simplification.
- **Human Resource Planning**: "The process by which a management determines how an organization should move from its current manpower position to its desired manpower position."
- **Delphi Technique**: A forecast based on the consensus of a panel of experts who do not meet face to face but exchange anonymous questionnaires.
- **HRIS**: A systematic procedure for collecting, storing, maintaining, retrieving and validating HR data. It is part of the larger MIS.

Core Notes

Meaning of Job Analysis

- **Starting point**: An essential and pervasive HR technique that comes before other HR activities.
- **Systematic investigation**: Studies the tasks, duties and responsibilities of a job.
- **Identifies two things**: What people do in their jobs, and what they need to do the job satisfactorily.
- **Job worth**: Shows the job's contribution to the organisation, which helps fix compensation.
- **Tool**: Information is usually collected through a structured questionnaire.
- **Products**: Job description and job specification.

Task → Duty → Job (with Responsibilities)

Traditional vs Modern Views of Job

Basis	Traditional View	Modern View
Nature	Rigid, prescribed lines	Flexible, adaptable
Change	Unchanging, whoever holds it	The job is what the incumbent makes of it

Basis	Traditional View	Modern View
Focus	Strict rules	Characteristics of successful performance
Organisation	Structure of fixed jobs	Constantly changing activities and projects
Job titles	Many titles and ranks	The fewer, the better

- **Tom Peters** (Thriving on Chaos): "Jobs are nothing but rigid solutions to an elastic problem."
- **Job extinction view (Fisher et al.)**: Jobs no longer exist because work changes rapidly.
- **Fewer titles**: No status walls, so fewer territorial fights.

Uses of Job Analysis

1. **HR planning**: Forecasts skill needs and shows job relationships for promotion and transfer policy.
2. **Recruitment**: Shows how and when to hire.
3. **Selection**: The right person cannot be selected without knowing the job.
4. **Placement and orientation**: Matches people to suitable jobs and helps teach new employees.
5. **Training**: Identifies training needs.
6. **Counselling**: Guides career options and development areas.
7. **Employee safety**: Reveals unsafe conditions and practices.
8. **Performance appraisal**: Compares expected work with actual work.
9. **Job design and redesign**: Removes weak spots and unnecessary movements.
10. **Job evaluation**: Finds the relative worth of jobs, giving fair wages with internal equity.

Process of Job Analysis

1. **Organisational analysis**: Get an overall picture of jobs using organisation and workflow charts.
2. **Select representative positions**: Choose a sample, keeping cost and time in mind.
3. **Collect data**: Gather job characteristics, required behaviour and qualifications using reliable techniques.
4. **Prepare job description**: Set out functions, duties, responsibilities and operations.
5. **Prepare job specification**: Convert the JD into personal attributes.

Organisational Analysis → Representative Positions → Data Collection → Job Description → Job Specification

- **Frequent analysis needed**: Jobs change with technology, union agreements and employee attitudes. Organisations realised this in the late 1970s.

Job Description (JD)

- **Meaning**: A written statement of what, how, under what conditions and why the job is done.
- **Purpose**: Differentiates the job from others and states its outer limits.

Contents of a JD

1. **Job title**: Title, code number and department.
2. **Job summary**: A brief write-up of the job.
3. **Job activities**: Tasks, facilities used and supervisory help.
4. **Working conditions**: Heat, light, noise and hazards.
5. **Social environment**: Size of the work group and interactions required.

Problems with JDs

- **Hard to capture**: It is difficult to reduce a job to a clear, precise document.
- **Not updated**: JDs are often not revised when duties change.
- **Limits flexibility**: They can restrict the job holder's scope.

Guidelines for Writing JDs (Ernest Dale)

- **Nature and scope**: State the job's nature, scope and important relationships.
- **Brief and factual**: Use active verbs and avoid opinions.
- **Specific words**: Show the kind of work, complexity, skill, standardisation of problems and accountability.
- **Supervision**: State the extent of supervision available.

- **Reporting**: Show who reports to whom.

Supervisor fills questionnaire → Analyst observes and fills JD form → Employee and supervisor finalise → Keep JD updated

Job Specification (JS)

- **Meaning**: The human characteristics needed for the job: education, experience and SKAs.
- **Logical outgrowth of the JD**: Every JD should have a JS.

Categories of Attributes

1. **Essential**: SKAs a person must possess.
2. **Desirable**: Qualifications a person ought to possess.
3. **Contra-indicators**: Attributes that handicap job performance.

Developing and Using a JS

- **Developed by**: Talking to current job holders, taking supervisors' opinions and comparing similar jobs in other firms.
- **Uses**: Gives clear qualifications for selection and a clear picture of the job for new recruits.
- **Specimen headings**: Education, experience, SKAs, work orientation (such as travel) and age.
- **Problems**: Disagreement on requirements (school pass-out or graduate for a clerk) and confusion between essential and desirable. The solution is to list only essential SKAs (Mathis and Jackson).

Job Description vs Job Specification

Basis	Job Description	Job Specification
Meaning	What the job is	What the person should be
Focus	Duties, tasks, responsibilities	Education, skills, experience
Content	Title, summary, activities, conditions	Essential, desirable, contra-indicators
Sequence	Prepared first	Derived from the JD
Main use	Orientation, appraisal, evaluation	Recruitment and selection

Methods of Collecting Job Analysis Information

1. **Personal observation**: A trained observer records what is done, how and how long it takes. It suits physical jobs (mechanic, weaver). It can be continuous or by sampling.
2. **Questionnaires**: Filled by job holders and checked by supervisors. They are either structured (a task inventory) or open-ended (the worker's own words).
3. **Log records**: Daily duties are recorded with times. This is time-consuming and misses supervision, equipment and working conditions.
4. **Personal interviews**: Individual or group interviews in a standard format. Costly and time-consuming.
5. **Critical incident**: Behaviour-based incidents describe the work, and the analyst rates each behaviour.
6. **Diary**: The incumbent records tasks as they are performed.
7. **Checklist**: Items on a standard task inventory are ticked. Checklists are custom-made or bought from a vendor.
8. **Technical conference**: Subject matter experts give information, and the analyst prepares the JD by consensus.

- **Combined methods**: Two or more methods may be combined, such as the observation-interview.

Job Enrichment

- **Meaning**: Giving employees more responsibility, variety and control over planning their work.
- **Purpose**: Improves job quality, which motivates employees to achieve more.
- **Condition**: The employee must accept new ways of working. Some lack the skills, and some prefer routine work. Employee input and open communication are essential.

Basis: Herzberg's Two-Factor Theory

- **Hygiene factors**: Wages, environment, rules and supervisors. When poor they cause dissatisfaction, but when good they do not motivate.
- **Motivators**: Recognition, achievement, growth and responsibility. These actually raise satisfaction and performance.
- **Link to enrichment**: Enrichment targets the motivators. The 1960s enrichment movement was inspired by Herzberg.

Five Core Areas Affecting Motivation

1. **Skill variety**: Using many skills. The tool is **job rotation**: it reduces boredom and covers absentees, but costs training and may prevent proficiency.
2. **Task identity**: Seeing a visible end result. The tool is **job enlargement**, which must add responsibility and variety, not just more work.
3. **Task significance**: Importance of the work to others. Built through company tours, training and cross-department planning teams.
4. **Autonomy**: Freedom and decision-making power. Tools are **job redesign** (combining jobs, forming work groups, contact with customers) and **self-managed teams**.
5. **Feedback**: Positive feedback recognises effort, and corrective feedback shows areas to improve.

- **Enrichment activities**: Team atmosphere, asking for employee input and award ceremonies.

Characteristics of an Enriched Job

1. **Complete piece of work**: Ends in a recognisable product or service.
2. **Variety and control**: Maximum variety, decision-making responsibility and control.
3. **Direct feedback**: Quick feedback through the work itself.

- **Vertical and horizontal**: More responsibility and autonomy (vertical enrichment), more variety (horizontal enrichment) and growth opportunities.
- **Benefits**: Higher motivation, performance, satisfaction and job involvement, lower absenteeism, and psychological needs met.

Techniques of Job Enrichment

1. **More responsibility**: Increase the responsibility of the activity.
2. **Wider scope**: More sequence and faster pace of work.
3. **Freedom**: Minimise controls where goals are clearly accountable.
4. **Natural unit of work**: Give a whole unit to an employee or group.
5. **Own standards**: Let employees set their own targets.
6. **Challenging tasks**: Introduce new, difficult and creative tasks.
7. **Participation**: Involve employees in planning and innovation.

Steps in Job Enrichment

Select Jobs (motivation linked to performance) → Pilot Scheme → Assume Jobs Can Change → Brainstorm Changes → Focus on Motivators → Change Job Content, Not Employees → Train and Guide → Introduce with Care → Monitor with Control Information

Job Enlargement

- **Meaning**: Adding more tasks to a job at the same level. The change is quantitative, not qualitative.
- **Horizontal loading**: A horizontal restructuring that aims at flexibility and less monotony.
- **Opposite of work simplification**: Needs no new skills, but may need longer training because there are more tasks to learn.
- **Criticism**: Called "adding zero to zero". Employees resist it, and no valid motivation claims have been made. It succeeds only if workers like a wider scope.

Benefits

1. **Reduced monotony**: Careful planning reduces boredom.
2. **Work flexibility**: More versatile but similar tasks.
3. **No skills training**: Only people and time management help may be needed.

Job Enrichment vs Job Enlargement

Basis	Job Enrichment	Job Enlargement
Nature	Qualitative	Quantitative
Direction	Vertical loading	Horizontal loading
Dependence	Depends on enlargement	Does not depend on enrichment
Function	Planning, organising (empowers)	Execution (executes)
Perception	Growth and development	Employer tactic to add workload
Motivation	Greater impact	Less impact

- **Employee feeling**: Enrichment gives satisfaction and contentment. Enlargement makes the employee feel more responsible and worthwhile.
- **Complementary**: The two techniques complement each other.

Human Resource Planning (HRP)

- **Meaning**: Getting the right number and kind of people at the right place and time.
- **Nature**: Forward-looking, continuous and complex. It is growing in importance in India because of larger firms, complex processes and professional management.

Wickstrom's Activities

1. **Forecasting**: Estimate future manpower requirements.
2. **Inventory**: Record present manpower and check its optimum use.
3. **Anticipating problems**: Compare resources with forecasts, in both quantity and quality.

Basic Steps in HRP

1. **Forecasting**: Derive needs from corporate objectives and action budgets.
2. **Inventory**: Record numbers, ages, locations and skills (skills inventory).
3. **Audit**: Analyse turnover, age and sex groups, training costs and absence to predict the future.
4. **HR resource plan**: Career and succession planning.
5. **Actioning of plan**: Needs a clear direction, top management backing and knowledge of resources. It then becomes part of the long-range corporate plan.

Forecasting → Inventory → Audit → HR Resource Plan → Actioning

Detailed HRP Process

Step 1: Demand Forecasting

- **External challenges**: Economic developments, political, legal, social and technical changes (technology is double-edged) and competition (thin margins force lean staffing).
- **Organisational decisions**: Strategic plan, sales and production forecasts, new ventures.
- **Workforce factors**: Retirements, terminations, resignations, deaths and leave. These are fairly predictable.
- **Techniques**:
  - **Judgemental**: Bottom-up, top-down and Delphi.
  - **Others**: Trend analysis, mathematical models (regression, optimisation, budget) and computer models.
- **Systematic steps**:
  - **Workforce analysis**: Average manpower loss, absenteeism and turnover.
  - **Workload and job analysis**: Workload gives the persons needed for planned output. Job analysis gives the skills needed.

Step 2: Supply Forecasting (Manpower Inventory)

- **Internal supply techniques**:
  - **Staffing table**: Employees per job, by age, qualification and so on.
  - **Markov analysis**: Past promotion, transfer and turnover rates.
  - **Skills inventory**: Updated at least every 2 years and kept confidential.

    - **Replacement chart**: Who will replace whom.
- **External supply**: Needed during rapid growth, diversification or internal shortage.
- **Barometers**: Migration, education levels, demographics, technology, mobility, demand for skills, unemployment, competitors, government policy, economic forecasts and attractiveness of the area and industry.
- **Computerised records**: More than 300 HRIS packages are available.

Step 3: Determining Manpower Gaps

- **Compare supply with demand**: Gives the quantitative and qualitative gaps, that is, the number to recruit or make redundant.

Step 4: Formulating HR Plans

1. **Recruitment plan**: Number, type and timing of hires.
2. **Redeployment plan**: Transfer or retraining of existing staff.
3. **Redundancy plan**: Retraining, golden handshake, retrenchment and lay-off.
4. **Training plan**: Trainees, retraining and new courses.
5. **Productivity plan**: Work simplification, mechanisation, incentives and job redesign.
6. **Retention plan**: Reduce turnover and wastage.
7. **Control points**: Monitor and periodically update the plan.

Demand Forecasting → Supply Forecasting → Manpower Gaps → HR Plans → Control

Factors Affecting HRP

- **Organisational factors**: Type and strategy of the organisation, its growth cycle and the nature of job outsourcing.
- **Planning factors**: Time horizons, the type and quality of forecasting information, and environmental uncertainties.
- **Existing manpower inventory**: The starting point, grouped by function, occupation and skill.
- **Wastage**: Adjust for foreseeable loss of manpower.
- **Future requirements**: Assessed after considering the existing stock and wastage.

Link of HRP with Strategic Planning (SHRM)

- **Integration**: People make or break the firm, so HR policies are integrated with corporate strategy.
- **No best practice**: HR practices must fit the firm's strategy (Becker and Gerhart).
- **Features**:
    - **Aligned practices** that support strategic objectives.
    - **Partnerships** with internal and external groups.
    - **Transformational**: helps the organisation adapt, learn and act quickly (Ulrich, 1998).
    - **Proactive and flexible** controls.
    - **Organic job design**: cross-training and teams.
- **Outcomes**: Higher performance, customer and employee satisfaction, and shareholder value. People are the only sustainable competitive advantage.

Human Resource Information System (HRIS)

- **Meaning**: The intersection of HRM and IT. It is part of MIS and evolved into ERP packages with one universal database.
- **Contents**: Personal history, work history (salary, positions, appraisal), training undergone, career plans and skills inventory.
- **Ajuwon's (2002) perspectives**:
    - **Process**: Get people processes right.
    - **Event**: Knowledge management.
    - **Cultural**: HR's role in changing organisational climate.
- **Advantages**: Less paperwork, quick and accurate retrieval, and quick analysis of HR issues.

2-MARK QUESTIONS

Q1. What is job analysis?

Job analysis is a formal and detailed examination of jobs. It studies their tasks, duties and responsibilities and the skills needed to perform them. Its products are the job description and the job specification.

Q2. Distinguish between task, duty and responsibility.

A task is an identifiable work activity, such as typing a letter. A duty is a group of related tasks, such as sorting and delivering mail. Responsibilities are obligations to perform tasks and duties.

Q3. What is a job description?

It is a written statement of what the job holder does, how, under what conditions and why. It covers the job title, summary, activities, working conditions and social environment.

Q4. What is a job specification?

It is a statement of the human qualities a job needs, such as education, experience and SKAs. Its attributes are classified as essential, desirable and contra-indicators.

Q5. Differentiate between job description and job specification.

A job description describes the job: its duties and conditions. A job specification describes the person: the qualifications and skills needed. The job specification is derived from the job description.

Q6. Name any four methods of collecting job analysis information.

Personal observation, questionnaires, personal interviews and log records. Other methods are critical incident, diary, checklist and technical conference.

Q7. What is job enrichment?

Job enrichment motivates employees by giving them more responsibility, variety and control over their work. It is vertical loading, based on Herzberg's two-factor theory.

Q8. What is job enlargement?

Job enlargement is the quantitative addition of tasks to a job at the same level. It is horizontal loading, reduces monotony and is the opposite of work simplification.

Q9. Give two differences between job enrichment and job enlargement.

Enrichment is qualitative and vertical, adding responsibility and autonomy. Enlargement is quantitative and horizontal, adding similar tasks. Enrichment has a greater motivational impact.

Q10. What is human resource planning?

HRP is the process by which management decides how the organisation should move from its current to its desired manpower position. The aim is the right number and kind of people at the right place and time.

Q11. What is the Delphi technique?

It is a demand forecasting method based on the consensus of a panel of experts. The experts do not meet but exchange anonymous questionnaires, refining their views until they agree.

Q12. What is HRIS? Give two advantages.

HRIS is a systematic procedure for collecting, storing, retrieving and validating HR data, and it is part of MIS. It reduces paperwork and retrieves information quickly and accurately.

LONG QUESTIONS (6 Marks)

Q1. Explain the term job analysis. Discuss its uses and process.

Introduction: Job analysis is a formal and detailed examination of jobs. It is a systematic investigation of the tasks, duties and responsibilities of a job and the qualities needed to do it. It is the starting point of all HR activities.

1. **HR planning and recruitment**: Forecasts the skills required and shows how and when to hire.
2. **Selection and placement**: The right person can be selected and placed only when the job is clearly defined.
3. **Training and counselling**: Identifies training needs and career development areas.
4. **Performance appraisal**: Compares actual performance with what the job requires.
5. **Job evaluation**: Finds the relative worth of jobs for fair wages and internal pay equity.
6. **Job design and safety**: Locates weak spots and unsafe practices so that jobs can be redesigned.

7. **Process**: Organisational analysis, selection of representative positions, data collection, then preparation of the JD and JS.

Organisational Analysis → Representative Positions → Data Collection → Job Description → Job Specification

Conclusion: Job analysis gives a clear understanding of every job. It must be repeated often because jobs change with technology, union agreements and employee attitudes.

Q2. Differentiate between job enlargement and job enrichment.

Introduction: Job enlargement means adding more tasks to a job at the same level (horizontal loading). Job enrichment means improving the quality of a job by adding responsibility, autonomy and growth (vertical loading).

1. **Quantity vs quality**: Enlargement adds tasks quantitatively. Enrichment improves the job qualitatively.
2. **Direction**: Enlargement is a horizontal expansion. Enrichment is a vertical expansion of duties, responsibility and span of control.
3. **Dependence**: Enrichment depends on enlargement for success, but not the reverse.
4. **Functions**: Enrichment involves planning and organising. Enlargement involves execution.
5. **Perception**: Enrichment is seen as growth and development. Enlargement is seen as an employer tactic to raise workload, or "adding zero to zero".
6. **Motivation**: Enrichment has a greater motivational impact and is based on Herzberg's motivators.
7. **Employee feeling**: Enrichment gives satisfaction and contentment. Enlargement makes the employee feel more responsible and worthwhile.
8. **Skills**: Enlargement needs no new skills. Enrichment adds new, difficult and creative tasks.

Basis	Job Enrichment	Job Enlargement
Nature	Qualitative	Quantitative
Loading	Vertical	Horizontal
Role	Empowers	Executes
Motivation	High	Low

Conclusion: The two complement each other: enrichment empowers and enlargement executes. Enrichment is the stronger motivator.

Q3. Discuss the methods of collecting job analysis information.

Introduction: Job analysis needs reliable data on the skills, abilities and responsibilities of a job. This data is collected through several methods, and the method chosen should be reliable and acceptable in the situation.

1. **Personal observation**: A trained observer records what is done, how and how long it takes, either continuously or by sampling. It suits physical jobs such as mechanic or weaver.
2. **Questionnaires**: Structured (a task inventory) or open-ended (the worker's own words). They are filled by job holders and checked by supervisors.
3. **Log records**: The employee records daily tasks with times. It is time-consuming and misses data on supervision, equipment and conditions.
4. **Personal interviews**: The analyst interviews job holders individually or in a group, using a standard format. It is costly and time-consuming.
5. **Critical incident**: Behaviour-based incidents describe the work, and the analyst rates each behaviour.
6. **Diary**: The incumbent records activities as they are performed.
7. **Checklist**: A worker or supervisor ticks items on a standard task inventory, which may be custom-made or bought.
8. **Technical conference**: Subject matter experts provide information, and the analyst writes the JD by consensus.

Conclusion: No method is perfect, so two or more are often combined, such as the observation-interview, for greater accuracy.

Q4. What is human resource planning? Describe the HRP process.

Introduction: HRP is "the process by which a management determines how an organization should move from its current manpower position to its desired manpower position". It aims at the right number and kind of people at the right place and time.

1. **Demand forecasting**: Estimate future needs from external challenges (economy, technology, competition), organisational decisions and workforce factors.
2. **Forecasting techniques**: Judgemental methods (bottom-up, top-down, Delphi), trend analysis, mathematical and computer models. These are supported by workforce, workload and job analysis.
3. **Internal supply**: Use the staffing table, Markov analysis, skills inventory and replacement charts.
4. **External supply**: Study barometers such as migration, education levels, unemployment rates and competitors' actions.
5. **Manpower gaps**: Compare demand with supply to find quantitative and qualitative surplus or shortage.
6. **HR plans**: Recruitment, redeployment, redundancy, training, productivity and retention plans.
7. **Control points**: Monitor and update the plan as conditions change.

Demand Forecasting → Supply Forecasting → Manpower Gaps → HR Plans → Control

Conclusion: HRP is continuous and forward-looking. Once top management approves it, it becomes part of the long-range corporate plan.

Unit 4: Recruitment and Selection Process

Unit at a Glance

- **Recruitment** searches for prospective employees and stimulates them to apply. **Selection** picks the best-fit candidates from that pool.
- **HR planning and forecasting** (expert, trend and other methods) tell the firm how many people, and of what kind, it will need.
- **Effective recruiting** needs a sound **recruitment policy** and the right mix of **internal and external sources**.
- **Diverse-workforce recruiting** and **e-recruitment** are modern approaches that widen the talent pool.
- **Employment tests** (which must be reliable and valid) and **interviews** (six types) are the main selection tools.

Key Definitions

- **Recruitment**: "Process to discover the source of manpower to meet the requirement of staffing schedule and to employ effective measures for attracting that manpower in adequate number to facilitate effective selection of an efficient workforce."
- **Recruitment (Flippo)**: "The process of searching for prospective employees and stimulating them to apply for jobs in the organisation."
- **Selection**: The process of differentiating between applicants to identify and hire those most likely to succeed in a job. It is a matching process that finds the "FIT" between person and job.
- **Human Resource Forecasts**: Attempts to predict an organisation's future demand for employees.
- **Delphi Technique**: Estimates from a group of experts are summarised, fed back and re-surveyed until the experts' opinions begin to agree.
- **Workforce Diversity**: A workforce whose members have different languages, cultures, value systems and attitudes.
- **E-recruitment (Dessler)**: The Web "generates more responses quicker and for a longer time at less cost, than just about any other method."
- **Employment Tests**: Tests that give information about a candidate not available from the application blank or interview. They help match the individual with the vacant job.
- **Reliability**: Consistency of a test. Scores should not vary widely under repeated conditions.
- **Validity**: The extent to which a test measures what it intends to measure.

Core Notes

Meaning of Recruitment and Selection

- **Recruitment**: Finding and attracting capable applicants. It is a **positive process** that creates a **pool of applicants**.
- **Selection**: Matching applicants' qualifications with job needs and choosing the most suitable person. It creates a **contractual relation** between employer and employee.
- **Sources**: Answer "Where are suitable candidates available in the required number?"
- **Techniques**: Answer "How can they be informed about the job and the organisation?"

Four Sub-systems of Recruitment

1. **Finding sources**: Locate and develop sources of the required number and kind of employees.
2. **Developing techniques**: Design suitable techniques to attract desirable candidates.
3. **Employing techniques**: Actually use these techniques to attract candidates.
4. **Stimulating candidates**: Encourage as many people as possible to apply. This raises the **selection ratio** (applications per vacancy), which is needed because the **yield ratio** is low.

Recruitment Process

HR Planning → Job Analysis (Vacancies) → Recruitment Policy → Choose Sources → Attract Applicants → Pool of Applicants → Evaluation of Recruiting Efforts

- **Start and end**: The process begins with HR planning and ends with evaluation of recruiting efforts.
- **Job analysis**: The primary source of information for recruiting.
- **Purpose**: To develop a group of potentially qualified people, not merely to fill vacancies.
- **Methods**: These vary with job level and skill.

Factors Affecting Recruitment

Internal Factors	External Factors
Pay package, quality of work life	Socio-economic factors
Organisational culture, career growth	Supply and demand
Company size, products, growth rate	Employment rate
Role of trade union	Labour market conditions
Cost of recruitment	Political, legal and government factors
Company's name and fame	Information system

- **Common constraints on recruiting**: Image of the firm, budgetary support, organisational policies and government policies. Government politics also often comes in the way.

Difference between Recruitment and Selection

Basis	Recruitment	Selection
Meaning	Searching for sources; stimulating people to apply	Choosing the right people for jobs
Nature	Positive process	Negative process (rejects the unsuitable)
Outcome	Large pool of applicants	Screens out unsuitable candidates
Complexity	Simple; contacting labour sources	Complex, time-consuming, many hurdles
Contract	No contract	Creates employer–employee contract

HR Planning

- **Objectives (micro level)**: (a) Obtain and retain the right quantity and quality of people at the right time and place. (b) Make optimal use of them.
- **Position**: HR planning is an integral part of the corporate plan.
- **Uses**:
  - **Strengths**: Capitalise on the strengths of human resources.
  - **Recruitment and training**: Determine recruitment levels and optimum training levels.
  - **Redundancies**: Anticipate them in advance.
  - **Management development**: Provide a basis for development programmes.
  - **Costing**: Cost manpower in new projects, study overhead costs and the value of service functions.
  - **Bargaining and future needs**: Assist productivity bargaining and assess future requirements.
  - **Subcontracting**: Decide whether some activities should be subcontracted.

Forecasting Techniques

- **Meaning**: Forecasts predict future demand for employees. Even the most sophisticated methods are only **approximations**.

Expert	Trend	Other
Informal and instant decisions	Extrapolation	Budget and planning analysis
Formal expert survey	Indexation	New-venture analysis

Expert	Trend	Other
Nominal group technique	Statistical analysis	Computer models
Delphi technique		

Expert Forecasts

- **Basis**: The judgement of knowledgeable people.
- **Survey of line managers**: The simplest method in large firms, because line managers are the ultimate experts on their departments' needs.
- **Delphi technique**: HR planners act as intermediaries between the experts.

Collect Expert Estimates → Summarise → Feed Back to Experts → Re-survey → Repeat until Opinions Agree

Trend Projection Forecasts

- **Speed**: The quickest technique; it projects past trends forward.
- **Extrapolation**: Extends past rates of change into the future. For example, 20 hires a month means 240 hires next year.
- **Indexation**: Matches employment growth with an index. For example, 5 assemblers for every one-million-rupee rise in sales.
- **Limitation**: Both are very inaccurate for long-range projections.
- **Statistical analysis**: Allows for changes in the underlying causes of demand.

Other Methods

- **Budget and planning analysis**: Estimates needs from budgets and plans.
- **New-venture analysis**: Compares the new venture with firms already doing similar operations.
- **Computer models**: The most sophisticated approach. Mathematical formulae combine extrapolation, indexation, survey results and workforce-change estimates.

Effective Recruiting and Recruitment Policy

- **Effective recruiting**: Recruiting that follows an ideal and efficient recruitment policy.
- **Source of the policy**: It is derived from the company's personnel policy.
- **Factors in formulating the policy**: Government policies, competitors' personnel policies, the firm's own personnel policies, recruitment sources, needs and costs, selection criteria and preferences, and the need for job analysis.
- **Prerequisites of a good policy**:
  - **Conformity**: In line with general personnel policies.
  - **Flexibility**: Able to meet the changing needs of the organisation.
  - **Long-term employment**: Ensures long-term opportunities, achieves organisational goals and develops employees' potential.
  - **Matching**: Matches employee qualities with job requirements.

Internal Sources of Recruitment

- **Meaning**: The present workforce on the payroll. Vacancies are filled by upgrading, transfer, promotion or sometimes demotion.
- **Rule**: Consider internal candidates first. Go outside only if no suitable insider is available.
- **Types**:
  - **Present permanent employees**: For higher posts, because suitable insiders are available, unions demand it, and it motivates staff.
  - **Present temporary or casual employees**: For lower-level posts.
  - **Retrenched or retired employees**: Also dependents of deceased, disabled, retired or present employees.
- **Merits**: Higher morale; better evaluation of known people; loyalty and job security; tried and reliable people; less cost.

- **Demerits**: Inbreeding and **stagnation of ideas** (no new blood); sources may "dry up"; seniority-based promotion may miss capable people.

External Sources of Recruitment

- **Categories of candidates**:
  - **New entrants**: Young, mostly inexperienced people such as college students.
  - **The unemployed**: A wide range of skills.
  - **Retired experienced persons**: Mechanics, machinists, welders, accountants.
  - **Others not in the labour force**: Married women and minority groups.
- **Other sources**:
  - **Campus recruitment**: Colleges and institutes.
  - **Private employment agencies and consultants**: Including search firms. They charge a fee and suit managerial and specialist posts.
  - **Public employment exchanges**: Free government service, used mainly for lower-level jobs rather than clerical or managerial posts.
  - **Professional associations**: For experienced professionals.
  - **Data banks**: Stored records of candidates.
  - **Casual applicants**: Walk-ins and unsolicited applications.
  - **Similar organisations**: Firms in the same industry.
  - **Trade unions**: Recommend workers.
- **Vocational schools**: A good source of technical staff.

Basis	Internal Sources	External Sources
Cost	Less costly	More costly
Morale	Raises morale and loyalty	May lower insiders' morale
New ideas	Inbreeding	Fresh talent and ideas
Risk	Known, tried people	Unknown people; more risk
Choice	Limited; may dry up	Wide pool

Recruiting a Diverse Workforce

- **Meaning**: Hiring people of different race, religion, gender, age, sexual preference, physical ability, language, culture and values.
- **Importance**:
  - **Business strategy**: Maximises productivity, creativity and loyalty, and meets diverse customer needs.
  - **Larger talent pool**: Better odds of hiring the best person.
  - **Competitive advantage**: A firm that puts people first, regardless of differences, gains an edge.
  - **Inclusion**: Valued employees go the "extra mile" and share ideas.
  - **Lower turnover**: Higher morale and fewer resources spent on training and turnover.
  - **Business imperative**: Needed to stay competitive and innovative and to win market share.
- **Common mistakes**:
  - **Company photo diversity**: Only visible traits such as race and gender count, and everyone thinks alike. This adds little in new ideas.
  - **Diversity by numbers**: Diversity exists only at lower levels, with none in management. Employees keep leaving.
- **Steps**:
  - **Diversity policy**: Set formal equal-opportunity goals and make them public internally and externally.
  - **Non-discriminatory job descriptions**: Written for all types of applicants.
  - **Wide publicity of openings**: Look beyond obvious methods and use equal-opportunity websites.
  - **Awareness of legislation**: Avoids discrimination litigation.
- **Also needed**: Education, sensitivity and cultural awareness, plus accommodation of individual needs.
- **Caution**: Be creative, go where the candidates are, and allow enough lead-time.
- **Benefits**: Benefits outweigh costs; flexibility; adaptability to changing environments and global competition.

E-recruitment (New Approach)

- **Meaning**: Using the Web to publicise openings, which is cost-effective and fast (Dessler).
- **Channels**: The company website; job portals (Monster.com, Naukri.com, Timesjobs.com, Jobstreet.com); websites of professional bodies (Society for HRM, ASTD); sector-specific agencies (IT, retail, insurance).
- **Tools**:
  - **Resume scanners**: Filter out resumes that do not meet predefined criteria.
  - **Online skill assessment**: Screens IT professionals quickly.
  - **Applicant Tracking Systems (ATS)**: Attract, gather, screen, rank and match thousands of applications to jobs.
  - **Online testing of passive applicants**: Reaches people with CVs online who are not actively job hunting.
- **What employers want from providers**: Online test delivery with minimal manual effort; quality IT assessment content; time-simulated tests; organisation-wide reports; randomised tests; on-premise and off-premise testing.

Employee Testing and Selection

Screening of Applications → Employment Tests → Interview → Reference Check → Medical Exam → Final Selection → Job Offer

- **Negative process**: Candidates must clear several hurdles.
- **Basis**: Selection decisions are ultimately based on job performance.
- **Use of testing**: Used most often for lower-level employees.
- **Value of tests**: They uncover qualifications and talents that cannot be detected otherwise.

Types of Employment Tests

1. **Intelligence tests**: Mental ability tests covering learning, judgement, memory, vocabulary, numerical ability and perception. Used in entry-level exams in banking and insurance, for example Stanford-Binet and Binet-Simon.
2. **Achievement tests**: Measure what the applicant can do now, for example typing or shorthand. Also called **work sampling tests**; they may be motor or verbal.
3. **Aptitude tests**: Measure the potential to learn clerical, mechanical or mathematical skills quickly.
4. **Personality tests**: Measure motivation, emotional balance, self-confidence and interpersonal behaviour, for example MMPI, California Psychological Inventory and Manifest Anxiety Scale. They use true/false statements.
5. **Assessment centre**: An extended work sample in which 6 to 8 trained assessors evaluate a batch of applicants.
6. **Graphology tests**: Handwriting analysis (lines, loops, strokes) to judge personality and emotional make-up.
7. **Polygraph tests (lie detector)**: Record respiration, blood pressure and perspiration on a moving graph roll. Used by government agencies for security, police, fire and health posts. Doubtful for pathological liars or people who believe their lie.
8. **Integrity tests**: Measure honesty to predict theft, for example "Do you carry office stationery home?"

- **Most reliable and valid tests**: Performance (work sample) tests.

PIP Tests

1. **Projective**: The candidate interprets a situation using their own motives and values, for example the Thematic Apperception Test (TAT), which uses a picture.
2. **Interest**: Compares the candidate's interests with those of successful job-holders.
3. **Preference**: Shows differences in preference for achievement, meaningfulness and discretion.

Assessment Centre Techniques

- **In-basket**: Handling a pile of reports, memos and letters.
- **Group discussion**: Judges interpersonal skills, leadership and influence.
- **Business games, individual presentation and structured interview**: The remaining exercises.

Standards for Selection Tests

1. **Reliability**: Consistent scores.

    - **Test-retest**: Same result when repeated on the same person.
    - **Inter-rater**: Same result from two or more raters.
    - **Intra-rater**: Same result from the same rater at different times.
2. **Validity**: Measures what it intends to measure.
    - **Content validity**: Test content represents the actual work, for example a typing test for a typist.
    - **Construct validity**: The trait relates to job success, for example honesty for a bank cashier.
3. **Qualified people**: Trained persons should give and interpret the tests.
4. **Preparation**: Tests must be properly designed in advance.
5. **Suitability**: Tests must suit the job and the candidates.

Basis	Reliability	Validity
Meaning	Consistency of results	Measures the right thing
Types	Test-retest, inter-rater, intra-rater	Content, construct
Example	Same score on retest	Typing test for typist

- **Note**: Accuracy in predicting performance is validity, not reliability.

Types of Interviews

1. **Non-directive**: No fixed format; broad open questions. It is hard to keep job-related and hard to compare applicants.
2. **Directive or structured**: Predetermined job-related questions for all applicants. Merits are easy comparison, reliability, fewer biases and legal defence. Demerits are that it is mechanical and slow to design. It is the **most reliable** type.
3. **Situational**: A variation of the structured interview. A hypothetical incident is given, and the answer is judged against benchmarks.
4. **Behavioural**: Focuses on actual past work incidents.
5. **Stress**: Aggressive or rude questions test calmness. It may backfire, and a good candidate may refuse the offer.
6. **Panel**: 3 to 5 interviewers question the applicant and reach a consensus. It allows deeper questioning and reduces personal bias, but adds stress for the candidate.

Basis	Structured	Non-directive
Questions	Predetermined, job-related	As they come to mind
Comparison	Easy	Difficult
Reliability	High	Low

Basis	Situational	Behavioural
Focus	Hypothetical future incident	Actual past incident
Question	"What would you do?"	"What did you do?"

- **Use of the interview**: A good selection tool in skilled hands. Open questions give more clarity than yes/no questions.

2-MARK QUESTIONS

Q1. Define recruitment.

Flippo defines recruitment as "the process of searching for prospective employees and stimulating them to apply for jobs in the organisation." It finds and attracts capable applicants.

Q2. What is selection?

Selection matches applicants' qualifications with job needs and chooses the most suitable person. It is a matching process that finds the "fit" between person and job, and it creates a contractual relation.

Q3. Give two differences between recruitment and selection.

Recruitment is a positive process that creates a pool of applicants; selection is a negative process that screens out the unsuitable. Recruitment is simple, while selection is complex and time-consuming.

Q4. Name the four sub-systems of recruitment.

Finding sources; developing attraction techniques; employing those techniques; and stimulating as many candidates as possible to apply, which raises the selection ratio.

Q5. What is the Delphi technique?

An expert forecasting method in which HR planners collect and summarise experts' estimates, feed the summary back and re-survey the experts. This repeats until their opinions begin to agree.

Q6. Differentiate between extrapolation and indexation.

Extrapolation extends past rates of change into the future (20 hires a month means 240 a year). Indexation links employment to an index, such as 5 assemblers per one-million-rupee rise in sales.

Q7. What are internal sources of recruitment?

People already on the payroll who are promoted, transferred, upgraded or demoted to fill vacancies. They include present permanent employees, temporary or casual employees, and retired or retrenched employees and their dependents.

Q8. Name any four external sources of recruitment.

Campus recruitment, private employment agencies or consultants, public employment exchanges and professional associations. Others include data banks, casual applicants and trade unions.

Q9. What is workforce diversity?

A workforce whose members have different languages, cultures, value systems and attitudes, and who may also differ in race, gender, age and ability. It widens the talent pool and boosts creativity.

Q10. What is an assessment centre?

An extended work sample using group and individual exercises, in which 6 to 8 trained assessors evaluate a batch of applicants. Its techniques include in-basket exercises, group discussion, business games, presentations and structured interviews.

Q11. Differentiate between reliability and validity.

Reliability is consistency: scores should not vary widely on repetition. Validity is the extent to which a test measures what it intends to; for example, a typing test has high content validity for a typist.

Q12. What is a polygraph test?

A lie detector test that records respiration, blood pressure and perspiration on a moving graph roll while the candidate answers questions. It is used for security, police, fire and health posts.

LONG QUESTIONS (6 Marks)

Q1. Examine the various internal and external sources of recruitment with their merits and demerits.

Introduction: Recruitment is "the process of searching for prospective employees and stimulating them to apply for jobs" (Flippo). Sources tell us where suitable candidates are available in the required number. Internal candidates get first preference, and external sources are used when no suitable insider is available.

1. **Internal sources (meaning)**: The present workforce. Vacancies are filled by promotion, transfer, upgrading or sometimes demotion.
2. **Types of internal sources**: Present permanent employees (higher posts), temporary or casual employees (lower posts), and retrenched or retired employees and dependents of deceased or disabled staff.
3. **Merits of internal sources**: Higher morale and loyalty, better evaluation of known people, tried and reliable staff, and less cost.
4. **Demerits of internal sources**: Inbreeding and stagnation of ideas, sources may dry up, and seniority may override merit.
5. **External sources (meaning)**: New entrants (college students), the unemployed, retired experienced persons, married women and minority groups.
6. **External channels**: Campus recruitment, private agencies and consultants, employment exchanges, professional associations, data banks, casual applicants, similar organisations, trade unions and e-recruitment.

7. **Merits of external sources**: Wide choice, fresh ideas and new blood, and suitable people for specialist and managerial posts.
8. **Demerits of external sources**: Higher cost and time, risk with unknown people, and possible demotivation of insiders.

Basis	Internal	External
Cost	Low	High
New ideas	Few (inbreeding)	Many
Staff morale	Increases	May decrease
Choice	Limited	Wide

Conclusion: A balanced mix works best. Internal sources motivate staff, while external sources bring fresh talent and fill specialised posts.

Q2. Distinguish between recruitment and selection. Explain the factors and constraints affecting recruitment.

Introduction: Recruitment is the process of finding and attracting capable applicants for employment. Selection is matching applicants' qualifications with job needs and choosing the most suitable person.

1. **Meaning**: Recruitment searches for sources and stimulates people to apply; selection chooses the right people for jobs.
2. **Nature**: Recruitment is positive because it invites applicants; selection is negative because it rejects the unsuitable.
3. **Outcome**: Recruitment creates a large pool; selection screens it down to the best fit.
4. **Complexity and contract**: Recruitment is simple; selection is complex and time-consuming with many hurdles, and only selection creates an employer–employee contract.
5. **Internal factors**: Pay package, quality of work life, culture, career growth, company size, products and growth rate, trade union role, recruitment cost, and the company's name and fame.
6. **External factors**: Socio-economic factors, supply and demand, employment rate, labour market conditions, political, legal and government factors, and the information system.
7. **Constraints on recruiting**: The firm's image, budgetary support, organisational policies (such as promotion from within) and government policies (such as reservation).

HR Planning → Recruitment (Pool) → Selection (Screening) → Job Offer → Employment Contract

Conclusion: The two processes are complementary. Good recruitment provides a rich pool, and careful selection places the right person in the right job.

Q3. For recruiting a diverse workforce, what criteria/steps would you suggest? Explain its importance.

Introduction: Workforce diversity means a workforce whose members have different languages, cultures, value systems and attitudes, as well as different race, religion, gender, age and abilities. Diversity is now a business imperative, not just a good idea.

1. **Create a diversity policy**: Set formal equal-opportunity goals and strategies, and make them public internally and externally.
2. **Write non-discriminatory job descriptions**: Write them for all types of applicants.
3. **Publicise openings widely**: Go beyond the usual channels and use equal-opportunity websites. Go where the candidates are and allow enough lead-time.
4. **Stay aware of legislation**: Following discrimination laws avoids litigation.
5. **Avoid "company photo diversity"**: Value invisible differences in thinking, religion, ability and work style, not only race and gender.
6. **Avoid "diversity by numbers"**: Ensure diversity at all levels, including management, so diverse employees grow and stay.
7. **Build inclusion**: Use education, sensitivity and cultural awareness, and accommodate individual needs within the team.
8. **Importance**: A larger talent pool, creativity and innovation, service to diverse customers, competitive advantage, higher morale, lower turnover, flexibility and adaptability.

Conclusion: The benefits of diversity far outweigh its costs. A firm that values people regardless of their differences stays competitive and wins a larger market share.

Q4. What are employment tests? Explain the types of tests used in selection and the standards of a good test.

Introduction: Employment tests obtain information about a candidate that is not available from the application blank or interview. They uncover hidden qualifications and help match the individual with the vacant job.

1. **Intelligence tests**: Measure mental ability (learning, memory, vocabulary, numerical ability, judgement), for example Stanford-Binet. Used in banking and insurance entry exams.
2. **Achievement tests**: Work-sample tests of present proficiency, such as typing or shorthand. They may be motor or verbal.
3. **Aptitude tests**: Measure the potential to learn clerical, mechanical or mathematical skills quickly.
4. **Personality tests**: Measure motivation, emotional balance, self-confidence and interpersonal behaviour (MMPI, California Psychological Inventory). PIP tests are projective (TAT), interest and preference tests.
5. **Assessment centre**: 6 to 8 trained assessors use in-basket exercises, group discussions, business games, presentations and structured interviews.
6. **Graphology and polygraph tests**: Graphology analyses handwriting to judge personality. The polygraph records respiration, blood pressure and perspiration to detect lies, and is used for security and police posts.
7. **Integrity tests**: Measure honesty to predict employee theft.
8. **Standards of a good test**: Reliability (test-retest, inter-rater, intra-rater) and validity (content, construct). Tests should also be given by qualified people, properly prepared and suitable to the job.

Basis	Reliability	Validity
Meaning	Consistency	Measures what is intended
Types	Test-retest, inter-rater, intra-rater	Content, construct

Conclusion: A test is useful only if it is reliable and valid. Performance (work sample) tests are generally the most reliable and valid.

Unit 5: Induction and Placement

Unit at a Glance

- **Induction (orientation)** means welcoming a new employee and familiarising him with the job, the people and the organisation.
- **3 objectives of induction**: removes fears, creates a good impression, and acts as a valuable source of information.
- **Induction programme**: a set of steps plus 3 components (content, socialisation, follow-up).
- **Placement**: the actual posting of a selected employee to a specific job, with rank and responsibility. The unit also covers employee outsourcing and outplacement.
- **Challenges**: use a checklist and a buddy system. Do not overburden, overwhelm, give hazardous jobs, or give a sketchy orientation.

Key Definitions

- **Induction**: The introduction of a person to the job and the organisation. It means receiving and welcoming an employee when he first joins and giving him the basic information he needs to settle down quickly and happily and start work.
- **Orientation**: The task of introducing new employees to the organisation and its policies, procedures and rules. It is a process of guiding and counselling the employee to familiarise him with the organisation and the job situation.
- **Induction Programme**: A programme that clarifies the terms and conditions of employment, communicates specific job requirements, and gives confidence in the company and in the employee's own ability.
- **Content**: The topics covered in an employee induction programme.
- **Socialisation**: The process through which a new recruit begins to understand and accept the values, norms and beliefs held by others in the organisation.
- **Follow-up**: The process of taking feedback and providing guidance during the induction programme.
- **Placement**: The actual posting of an employee to a specific job, with rank and responsibilities attached to it.
- **Differential Placement**: Placing a probationer elsewhere (a second placement) when he fails to adjust or performs poorly on the first job.
- **Employee Outsourcing**: A shift from the traditional employee-employer relationship, in which employer responsibility is transferred to a staffing or placement agency.
- **Outplacement**: Services that encourage laid-off workers to pursue retraining opportunities and to relocate.

Core Notes

Introduction to Induction / Orientation

- **Meaning**: Guiding and counselling the employee to familiarise him with the organisation and the job situation.
- **Influence**: It has a marked effect on **job tenure** and **effectiveness**.
- **Objectives achieved**: a favourable impression, attitude development, a feeling of belonging, easier learning, and team work.
- **Reduces**: grievances, frustration and turnover. It also helps achieve training objectives.
- **Contents**: Usually found in the **employee handbook/manual** and prepared as a **checklist** of topics.
- **Follow-up**: Interview new employees to correct gaps in their knowledge and attitude.
- **Responsibility**: Induction is a **line responsibility supported by staff advice**.
  - The supervisor, foreman or manager should be trained in induction and should not delegate it fully to fellow workers.
  - The **Personnel Department** trains the supervisors and evaluates the programme periodically.
- **Methods**: Choose methods according to the organisation's needs. Specific methods suit specific categories of employees, and research should decide which.

Induction: Meaning and Nature

- **Timing**: Induction comes after the employee is selected and placed on a job.
- **Purpose**: To receive and welcome the employee and give him basic information so he settles down quickly.
- **Functions**: Clarifies the terms of employment, communicates job requirements, and builds confidence.
- **Duration**: A formal orientation usually lasts **a day or less**.
- **Information given**: Company history and current position, benefits, leave rules, rest periods, and routine matters (rest rooms, parking, cafeteria).
- **Informal induction**: The new employee is attached to seniors, who guide him.
- **Tools**: Lectures, handbooks, films, groups and seminars.

Basis	Formal Induction	Informal Induction
Conducted by	HR / supervisor	Senior co-workers
Method	Lectures, handbook, films	Personal guidance
Duration	Fixed, a day or less	Flexible
Nature	Planned, checklist-based	Casual, friendly

Objectives (Purposes) of Induction

1. **Removes fears**: The newcomer is a stranger to the people, the workplace and the environment. Induction tells him about:
   - the job, its content, policies, rules and regulations
   - the people he will interact with
   - the terms and conditions of employment
2. **Creates a good impression**: He feels at home and proud of the organisation. Induction helps him:
   - adjust to the job's demands
   - get along with people
   - get off to a good start
   - ask questions and seek clarifications
   - As a result, he becomes more committed to his job.
3. **Valuable source of information**: Manuals, handbooks and informal discussions clear doubts. They communicate job requirements, put him at ease and build confidence.

Benefits of Induction

To the Employee	To the Organisation
Removes fear and anxiety	Lower turnover
Feeling of belonging	Fewer grievances
Confidence in own ability	Committed workforce
Clear job expectations	Helps training objectives

Employee Outsourcing

- **Meaning**: A shift from the traditional employee-employer relationship. Employer responsibility moves to a **staffing/placement agency**.
- **Administrative relief**: Frees the company from payroll, income tax reporting, employee benefits and workers' compensation, so it can focus on **business development**.
- **Three-way relationship**: organisation, employees and agency. The agency acts as a **co-employer** and shares employer liabilities.

Pros

1. **Core competencies**: The company can focus on its core work, giving better productivity and results.
2. **Effective use of resources**: The HR function is handled outside, which streamlines processes.
3. **Better benefits**: Employees get large-company benefits, which improves hiring power and retention.

4. **Expert advice**: The agency's business and legal experts help the company make better decisions.

Cons

1. **Misplaced loyalty**: Outsourced staff may give less effort and interest than hired staff. This is the most significant concern.
2. **Problem of control**: Contract employees do not report to anyone inside the organisation.
3. **Hidden costs**: There may be unexpected changes in services that differ from the contract.

Induction Programme: Steps

1. **Welcome** the recruit to the organisation.
2. **Explain** the company.
3. **Show** the location/department where he will work.
4. **Give** the company's manual.
5. **Work groups and unions**: Explain the work groups and the extent of unionism.
6. **Pay and benefits**: Explain pay, benefits, holidays and leave. Stress attendance and punctuality.
7. **Career**: Explain future training opportunities and career prospects.
8. **Clarify doubts**: Encourage questions.
9. **Guided tour**: Show buildings and facilities, then hand him over to his supervisor.

Welcome → Explain Company → Show Department → Give Manual → Work Groups & Unions → Pay, Benefits, Leave → Training & Career → Clarify Doubts → Guided Tour → Hand over to Supervisor

Components of the Induction Programme

Content (what to teach) → Socialisation (learning the culture) → Follow-up (feedback and correction)

(a) Content (Table 5.1)

Area	Topics Covered
Organisational issues	History, key executives, layout, probation, products, policies, discipline, handbook, safety
Employee benefits	Pay scales/days, holidays, rest pauses, training, counselling, insurance, medical, retirement
Introductions	Supervisors, co-workers, trainers, employee counsellor
Job duties	Location, tasks, safety needs, objectives, relation to other jobs

(b) Socialisation

- **Meaning**: Understanding and accepting the organisation's **values, norms and beliefs**.
- **HR's role**: Helps recruits "internalise the way things are done in the organisation".
- **Interaction**: Free interaction at all levels teaches acceptable behaviour.
- **What newcomers learn**: How the company is run, who holds power, who is politically active, how to behave, and what is expected.
- **"Know the ropes"**: The recruit must learn these quickly to survive and prosper.
- **Orientation as a tool**: Orientation is an effective socialisation tool because it helps employees learn the job and do things in the desired way.

For the New Employee	For the Organisation
Learns norms and acceptable behaviour	Employees behave as desired
Less uncertainty and frustration	Better performance
Knows who holds power	Faster adaptation to culture
Feels accepted	Team work, loyalty, retention

(c) Follow-up

- **Why needed**: "Dark areas" may remain because new hires missed things or supervisors ignored matters.
- **Purpose**: Guide employees on general and job matters, leaving nothing to chance.
- **Feedback methods**:
  - round table discussions with new hires after their first year
  - in-depth interviews with randomly selected employees and superiors
  - questionnaires
- Even good orientation programmes still require follow-up.

Placement

- **Meaning**: The actual posting of an employee to a specific job, with **rank and responsibility**.
- **Matching**: Job requirements are matched with the candidate's qualifications.
- **Decision maker**: The **line manager**.
- **Probation**: Performance is closely monitored for a fixed period, and then services are confirmed.
- **Differential placement**: If the employee fails to adjust or performs poorly, he gets a second placement elsewhere.
- **Future placement**: Decided by the supervisor with higher line management.
- **Wider meaning**: Assignment or reassignment, covering initial assignment as well as **promotion, transfer and demotion**.
  - Present employees are also internally recruited, selected and oriented before they are placed.
- **Transfers and promotions**: These make the employee **versatile** and help him grow.
- **Filling a position**: By direct recruitment or by **outsourcing** from a staffing agency.
- **If neglected**: Causes adjustment problems, leading to absenteeism, turnover, accidents, poor performance, and frustrated quitting.

Significance of Placement

1. **Improves** employee morale.
2. **Reduces** employee turnover.
3. **Reduces** absenteeism.
4. **Reduces** accident rates.
5. **Avoids misfit** between the candidate and the job.
6. **Goal achievement**: The employee works as per the organisation's predetermined objectives.

Points to consider while placing a new recruit:

- **Minimum disruption**: Cause as little disruption as possible to the employee and the organisation.
- **Proper orientation**: Orient recruits so they become productive contributors.
- **Adapt to culture**: Convey the rules, jargon, customs and traditions, that is, how things are done and what matters.
- **Clear expectations**: These give better performance and less frustration and uncertainty.

Induction vs Placement

Basis	Placement	Induction
Meaning	Posting to a specific job	Familiarising with job and organisation
Focus	Job-person matching	Welcoming, informing, socialising
Sequence	After selection	After selection and placement
Decided by	Line manager	Line supervisor with HR support
Aim	Avoid misfit, reduce turnover	Remove fears, give good impression

Recruitment → Selection → Placement → Induction / Orientation → Socialisation → Follow-up

Outplacement

- **Meaning**: Services provided by employers to **laid-off workers**.
- **Benefits**:

    - encourage retraining and relocation
    - build social support
    - provide a base for contacting employers (uniformly valuable)
    - improve perceptions of fair treatment
    - help psychological adjustment and help regain self-confidence
- **Limitation**: Effectiveness varies by employee level and needs. Re-employment success is not definitely proven by research.

The Challenges

- **Checklist**: Supervisors should conduct induction through a checklist.
- **Buddy system**: An experienced employee takes the newcomer round, introduces him to others and answers questions informally.
- **The newcomer should not be**:
  - **Overburdened** with too many forms
  - **Overwhelmed** with too much to absorb in a short time
  - **Given risky jobs**: complex, hazardous jobs with a high chance of failure
  - **Pushed** into the job with a sketchy orientation

2-MARK QUESTIONS

Q1. What is induction or orientation?

Induction (orientation) is the process of receiving and welcoming a new employee and giving him basic information to settle down quickly and start work. It introduces him to the organisation and its policies, procedures and rules.

Q2. State the three objectives of induction.

- **Removes fears** about the job, the people and the terms of employment.
- **Creates a good impression**, so the newcomer feels at home and proud.
- **Acts as a valuable source of information** through manuals and discussions.

Q3. What is placement?

Placement is the actual posting of an employee to a specific job, with rank and responsibility attached. It matches job requirements with the candidate's qualifications. It also covers promotion, transfer and demotion.

Q4. What is differential placement?

If a probationer fails to adjust to his job or performs poorly, the organisation may place him elsewhere. This second placement is called differential placement.

Q5. What is socialisation?

Socialisation is the process through which a new recruit begins to understand and accept the values, norms and beliefs held by others in the organisation. It helps him "know the ropes".

Q6. What is outplacement?

Outplacement means services given to laid-off workers. They encourage retraining and relocation, build social support and provide a base for contacting employers. They also help psychological adjustment and self-confidence.

Q7. What is employee outsourcing?

Employee outsourcing is a shift from the traditional employee-employer relationship. Employer responsibilities such as payroll, tax reporting and benefits are transferred to a staffing agency, which acts as a co-employer.

Q8. Give the three disadvantages of employee outsourcing.

- **Misplaced loyalty**: outsourced staff may give less effort.
- **Problem of control**: contract staff do not report to anyone inside the organisation.
- **Hidden costs**: services may change unexpectedly from the contract.

Q9. Name the four content areas of an induction programme.

Organisational issues, employee benefits, introductions (to supervisors, co-workers, trainers and the counsellor), and job duties.

Q10. What is follow-up in induction?

Follow-up is taking feedback and giving guidance so that no gaps remain in the new employee's knowledge. Feedback comes from round table discussions, in-depth interviews and questionnaires.

Q11. Give any four significances of placement.

It improves employee morale, reduces turnover, reduces absenteeism and accident rates, and avoids misfit between the candidate and the job.

Q12. Who is responsible for induction?

Induction is a line responsibility supported by staff advice. The supervisor, foreman or manager conducts it. The Personnel Department trains them and evaluates the programme periodically.

LONG QUESTIONS (6 Marks)

Q1. Examine the terms 'placement' and 'induction'. Analyse their objectives.

Introduction: Placement is the actual posting of an employee to a specific job, with rank and responsibility attached. Induction is welcoming the employee and familiarising him with the job and the organisation so that he settles down quickly.

1. **Removes fears (induction)**: The newcomer is a stranger. Induction tells him about the job, its rules, his co-workers and the terms of employment.
2. **Creates a good impression (induction)**: He feels at home, adjusts to the job, gets along with people and develops pride and commitment.
3. **Source of information (induction)**: Manuals, handbooks and informal discussions communicate job requirements and build confidence.
4. **Reduces grievances and turnover (induction)**: A feeling of belonging reduces frustration and helps achieve training objectives.
5. **Right fit (placement)**: Matching job requirements with the candidate's qualifications avoids misfit.
6. **Morale and lower turnover (placement)**: A suitable job keeps the employee satisfied, so he is less likely to quit.
7. **Less absenteeism and accidents (placement)**: A well-adjusted employee is absent less often and has fewer accidents.
8. **Goal achievement (placement)**: The employee works to the organisation's objectives. Probation and differential placement correct wrong postings.

Selection → Placement → Induction → Productive Employee

Conclusion: Placement puts the right person in the right job, and induction helps him settle in quickly. Together they build a satisfied and productive workforce.

Q2. What are the components of an employee induction programme? Why is it important in an organisation?

Introduction: An induction programme clarifies the terms of employment, communicates job requirements and builds the new employee's confidence. Its components are content, socialisation and follow-up.

1. **Content: organisational issues**: Company history, key executives, layout, probation, products, policies, discipline, handbook and safety steps.
2. **Content: employee benefits**: Pay scales and pay days, holidays, rest pauses, training, counselling, and insurance, medical and retirement benefits.
3. **Content: introductions and job duties**: Meeting supervisors, co-workers, trainers and the counsellor. Learning the job location, tasks, safety needs, objectives and relationship with other jobs.
4. **Socialisation**: The recruit learns the organisation's values, norms, power structure and acceptable behaviour, that is, he learns to "know the ropes".
5. **Follow-up**: Round table discussions, in-depth interviews and questionnaires identify and correct "dark areas".
6. **Importance: removes fear and creates a good impression**: The newcomer feels at home, proud and committed.
7. **Importance: quick productivity**: He understands his job quickly and becomes a productive contributor.
8. **Importance: lower turnover and grievances**: A feeling of belonging and team work reduce frustration and quitting.

Content → Socialisation → Follow-up

Conclusion: A checklist-based induction programme, followed up properly, helps the new employee settle quickly and supports organisational performance.

Q3. What should be the most important steps in an induction programme? Discuss the challenges involved.

Introduction: Induction is receiving and welcoming a new employee and giving him basic information to settle down quickly. The HR department organises it through a series of steps.

1. **Welcome and explain the company**: Welcome the recruit and tell him about the company and its position.
2. **Show the workplace**: Show the department and location where he will work.
3. **Give the company manual**: The manual gives him policies, rules and procedures in writing.
4. **Work groups and unions**: Explain the work groups and the extent of unionism.
5. **Pay, benefits and leave**: Explain pay, benefits, holidays and leave. Stress attendance and punctuality.
6. **Training and career prospects**: Explain future training opportunities and career growth.
7. **Clarify doubts**: Encourage him to ask questions freely.
8. **Guided tour and handover**: Show him the buildings and facilities, then hand him over to his supervisor.

Welcome → Company → Department → Manual → Work Groups → Pay & Benefits → Career → Doubts → Tour → Supervisor

Challenges:

- Use a **checklist** and a **buddy system** to strengthen formal orientation.
- The newcomer should not be:
  - overburdened with forms
  - overwhelmed with too much information
  - given complex or hazardous jobs with a high chance of failure
  - pushed into the job with a sketchy orientation

Conclusion: Following these steps while avoiding these mistakes helps the new employee settle in confidently and become effective quickly.

Q4. What is the significance of proper placement? What specific points must one consider while placing a new recruit?

Introduction: Placement is assigning a specific job, rank and responsibility to each selected candidate by matching job requirements with his qualifications. It includes initial assignment as well as promotion, transfer and demotion.

1. **Improves morale**: A suitable job keeps the employee satisfied and motivated.
2. **Reduces turnover**: A properly placed employee is less likely to quit in frustration.
3. **Reduces absenteeism and accidents**: Good adjustment means fewer absences and fewer accidents.
4. **Avoids misfit and achieves objectives**: The right person in the right job works towards the organisation's goals.
5. **Probation and monitoring**: Monitor the probationer closely. Use differential placement if he fails to adjust.
6. **Minimum disruption**: Make the placement with as little disruption to the employee and organisation as possible.
7. **Proper orientation and culture**: Orient recruits and adapt them to the culture (rules, jargon, customs, traditions).
8. **Clear expectations**: Telling new employees what is expected improves performance and reduces frustration and uncertainty.

Conclusion: Neglected placement causes absenteeism, turnover, accidents and poor performance. Proper placement is therefore important to both the employee and the organisation.

Unit 6: Training and Development

Unit at a Glance

- **Training** (Flippo) increases an employee's knowledge and skills for a particular job. **Development** is the long-term growth of managers.
- **T&D process**: identify needs → prepare programme → prepare learners → implement → performance try-out → follow-up.
- **Methods**: on-the-job (JIT, coaching/mentoring, job rotation, apprenticeship, committee assignments) and off-the-job (vestibule, role play, lecture, conference, programmed instruction, e-learning, behavioural training).
- **Executive development** builds managers' present and future capabilities through 6 organising steps and methods such as understudy, case study, business games and sensitivity training.
- **Training evaluation** measures the effects and value of training through questionnaires, tests, interviews, cost-benefit analysis and feedback.

Key Definitions

- **Training (Flippo)**: "The act of increasing the knowledge and skills of an employee for doing a particular job."
- **Training (general)**: A planned programme to improve performance and bring measurable changes in knowledge, skills, attitude and social behaviour of employees.
- **Development**: The nature and direction of change induced in employees, particularly managerial personnel, through training and education.
- **Executive Development**: "The process in which executives acquire not only skills and competence in their present jobs but also capabilities for future managerial tasks of increasing difficulty and scope."
- **Training Need**: The gap between the knowledge, skills and attitudes the trainee already possesses and those the job requires.
- **Training Evaluation**: "Any attempt to obtain information on the effects of training performance and to assess the value of training in the light of that information."
- **Behaviour Modelling**: Demonstrating desired behaviour, then letting trainees practise and role-play it and receive feedback.
- **Understudy**: A potential manager temporarily relieves an experienced manager of part of his job and acts as his substitute. This makes him the automatic choice in succession.
- **Vestibule Training**: Classroom training on equipment identical to that used at the workplace.
- **Role Playing**: Realistic behaviour in imaginary situations. It is the most widely used group training method.

Core Notes

Meaning of Training

- **Purpose**: Improves and moulds an employee's knowledge, skill, behaviour, aptitude and attitude to suit the job and the organisation.
- **Timing**: Given after selection, placement and induction, to adjust the employee to the job.
- **Nature**: Imparts specific skills for a particular purpose; it is learning a sequence of programmed behaviour for a job.

Characteristics of Training

1. **Increases knowledge and skills**: For doing the job.
2. **Bridges the gap**: Between job needs and employee skills, knowledge and behaviour.
3. **Job-oriented**: Vocational in nature.
4. **Short-term**: Designed mainly for operatives.

Difference between Training and Development

Basis	Training	Development
Meant for	Operatives (non-managers)	Managers

Basis	Training	Development
Skills	Technical, specific	Conceptual, general
Time	Short-term, one-shot	Long-term, continuous
Aim	Specific job skill	Total personality
Motivation	External	Internal
Focus	Current job; reactive	Future needs; proactive

Significance of Training

1. **Productivity**: Raises both quantity and quality.
2. **Safety**: Fewer accidents.
3. **Less supervision**: Saves the supervisor's time.
4. **Flexibility and stability**: Of the organisation.
5. **Morale**: Raises employee morale.
6. **Decision-making**: Improves decision-making and problem-solving.
7. **Responsibility and self-development**: Builds a sense of responsibility, self-confidence and self-development.
8. **Organisation**: Aids organisational development, provides information for future needs and creates a better corporate image.

Areas of Training

1. **Knowledge**: Rules, staff, the company's products and services.
2. **Technical skills**: Specific skills, e.g., operating a machine or a computer.
3. **Social skills**: Right attitude and being a good team member.
4. **Techniques**: Applying knowledge and skill to job situations; this also builds loyalty and commitment.

Training and Development Process

- **Principle**: Training is most effective when it is planned, implemented and evaluated systematically. Haphazard efforts reduce learning.

Identifying Training Needs → Preparing Training Programmes → Preparing the Learners → Implementing Training Programme → Performance Try-Out → Follow-Up Activities

Assessment	Implementation	Evaluation
Determine training needs	Select training methods	Compare outcomes against criteria
Identify training objectives	Conduct training	—

1. **Identifying training needs**:
   - **Organisational analysis**: Objectives, resources and their use, and interaction with the environment.
   - **Task/role analysis**: Roles played and the training they need; data collected through questionnaires, interviews, tests and observation.
   - **Manpower analysis**: Is performance satisfactory? Is the employee trainable, and in which area? Should poor performers be replaced?
2. **Preparing programmes**: Decide who is trained (new or old employees), the material, duration, on-the-job or off-the-job, methods and resource persons.
3. **Preparing learners**: Put them at ease, explain the job's importance and the training objectives, create interest, and place them close to the workplace.
4. **Implementing**: Effectiveness is checked by tests, observation, reactions, interviews, questionnaires, top management's opinion and productivity/quality comparison.

5. **Performance try-out**: The trainee performs slowly, explaining each step; mistakes are corrected and speed builds gradually.
6. **Follow-up**: Trainee works on his own; frequent checks; extra supervision is tapered off until normal supervision is enough.

On-the-Job Training Methods

1. Job Instruction Training (JIT)

- **Origin**: Developed during the **Second World War**; teaches the current job, with a supervisor or co-worker as coach.

Preparation (overview, purpose) → Presentation (trainer demonstrates) → Performance Try-Out (trainee practises) → Follow-Up (works independently)

Merits	Demerits
Fast learning by practice	Trainee is only as good as the trainer
Economical	Damage, waste, accidents
Quick confidence	Machines unavailable to experienced workers
Suits unskilled and semi-skilled jobs	—

2. Coaching and Mentoring

- **Coaching**: One-on-one guidance and feedback by a supervisor using real work projects; used for operative tasks.
- **Mentoring**: An experienced executive grooms juniors over a long period; used in higher-level, complex situations.
- **Project management**: Follows from coaching; experienced people widen their skills through new tasks.
- **Merits**: Quick learning through continuous interaction; constant guidance.
- **Demerits**: Jealousy among others; favouritism from strong bonds.

3. Job Rotation

- **Meaning**: Moving the trainee across jobs to understand how the whole organisation works.
- **Merits**: Broad perspective, career clarity, less boredom, cross-department rapport, flexibility for transfers and promotions, and preparation of future leaders.
- **Demerits**: Little depth of expertise, problems for slow learners, confusion from contrasting managers' styles, high cost, lower productivity and boredom for bright trainees.
- **Best practice**: Tailor the rotation to each trainee rather than using a standard sequence.

4. Apprenticeship Training

- **Meaning**: The oldest, most common method; 2–3 years for superior ability and 4–5 years for others (e.g., machinist, carpenter, fitter).
- **Merits**: Skilled workforce, immediate returns, good workmanship, low hiring cost (low turnover) and greater loyalty.

5. Committee Assignments

- **Meaning**: Trainees jointly solve an actual organisational problem.
- **Benefits**: Builds team spirit and a broader understanding of the organisation.
- **Risk**: Can become a time-wasting activity.

Merits and Demerits of On-the-Job Methods

- **Merits**: Cost-effective, production continues while learning, immediate feedback, easy transfer of training.
- **Demerits**: Disrupts production, ties up facilities, poor learners may damage machines, and the trainer may lack teaching skill.

Off-the-Job Training Methods

1. **Vestibule training**: Classroom training on duplicate machines. The trainee focuses on learning; it suits many semi-skilled workers.

2. **Role playing**: Realistic behaviour in imaginary situations; builds interpersonal relations.
3. **Lecture**: Direct talk to a group. It is economical for large groups, but transfer of training is poor.
4. **Conference/discussion**: Lecture plus discussion with audio-visual aids; a group-centred way to clarify ideas and standards.
5. **Programmed instruction**: Sequential units from simple to complex, answered by the trainee; expensive and time-consuming.
6. **Virtual organisation and e-learning**: Uses virtual classrooms, CD-ROM, intranet/internet and satellite broadcasts; can be self-paced or synchronous.
   - **Merits**: Own pace, active participation, time-bound upgrading of skills.
   - **Limits**: Needs top management support, internet and portals; unsuitable for behavioural skills; bandwidth barriers; may not match classroom effectiveness.
7. **Behaviourally experienced training**: Emotional and behavioural learning through role plays, games, cases and group discussions, e.g., **sensitivity (laboratory) training**.

Vestibule Merits	Vestibule Demerits
Separate room, less distraction	Split responsibility causes organisational problems
Skilled instructor can be used	Extra investment in equipment
No interruption of production	Useful only where equipment can be duplicated

On-the-Job vs Off-the-Job Training

Basis	On-the-Job	Off-the-Job
Place	Workplace	Away from workplace
Cost	Cost-effective	Extra investment
Production	Continues, may be disrupted	Not disturbed
Transfer of training	Easy	Weaker
Examples	JIT, job rotation, apprenticeship	Vestibule, lecture, role play

Designing the Training Programme

- **Birth of a programme**: Initiative by a training agency, the organisation, or a group of organisations.
- **Training needs**: Understand, identify and analyse them.
- **Objectives**: Understand them, see the need for them, and establish them using guidelines.

Identify Contents → Break into Modules → Categorise (Information, Knowledge, Skills, Attitudes) → Sequence → Learning Outcomes → Methods → Allocate Time → Support Materials → Assign Team Duties → Delegate Administration → Monitoring and Evaluation

- **Key considerations**: Organisation's objectives and work, training groups, momentum, flexibility, effective monitoring, the training team, management and administration.
- **Tips from the summary**: Sub-staff need practical, regional-language programmes; officers need experience-sharing and management games; much planning information comes from job analysis; learning by doing is best; the trainer must prepare materials and handouts thoroughly.

Executive Development

- **Meaning**: A planned, systematic, continuous process by which managers develop conceptual and analytical abilities, through formal courses and job experience.
- **Why managers matter**: They are priceless assets; their failure destroys scarce resources.

Need for Executive Development

1. **Long-run investment**: Managers gain KSAs (knowledge, skills, abilities) to handle changes in environment, technology and processes, and to stay ahead of market forces.
2. **Career goals**: Executives realise their aspirations in a planned way.

3. **Superior performance**: Varied jobs make them versatile and productive, and ready to step into their superiors' shoes.
4. **Broader outlook**: They take a dispassionate, holistic view of problems and the organisation.
5. **Human relations**: They learn to work without rubbing people the wrong way.

Steps in Organising a Management Development Programme

Analysis of Development Needs → Appraisal of Present Talent → Inventory of Management Manpower → Planning Individual Programmes → Establishment of Programmes → Evaluation of Results

1. **Needs analysis**: Number and type of managers needed now and in future; fill from inside or outside.
2. **Appraisal of talent**: Qualitative assessment of existing executives and their potential.
3. **Manpower inventory**: A card per executive (age, service, education, experience, health, test and appraisal data) showing strengths and weaknesses.
4. **Individual plans**: Based on appraisal results.
5. **Establishment**: The HR department sets up programmes such as leadership courses, management games and sensitivity training.
6. **Evaluation**: Opinion surveys, tests, interviews, observation and ratings.

Methods of Executive Development

Technique	Purpose
Job rotation / Multiple management	Diversified skills, broad outlook across functions
Understudy	Succession planning to a pre-set plan
Case study	Analytical and problem-solving skills
Role playing / Behaviour modelling	Human relations, interpersonal and cognitive skills
In-basket / Business games	Situational judgement; quick thinking, initiative, leadership
Sensitivity training / Conference / Lecture	Self-awareness; interpersonal skills; quick conceptual knowledge

- **Business games**: Simulations of actual business situations that compress time.
- **Case study merits**: Active participation, exposure to real-life problems, many possible solutions.
- **Case study demerits**: Time-consuming, lacks real decision pressure, depends on the trainer's skill.

Evaluating the Training Effort

- **Design**: Not a separate process; it runs simultaneously with training and depends on the type of programme.
- **Guiding principle**: Training must meet its objectives, and these must be implemented effectively.
- **Criteria**: Reactions, learning, behaviour, results.

Training Need Analysis → Evaluation Design → Pre-course Testing and Line-manager Briefing → Interim Validation → End-of-programme Testing and Reaction Review → Learner Action Planning → Line-manager Debriefing → Medium/Long-term Follow-up → Report on Objectives

1. **Questionnaire**: Trainees' opinions and reactions.
2. **Start-of-course assessment**: Replaces or confirms pre-programme assessment.
3. **Tests**: Pre-tests and post-tests of learning.
4. **Interviews**: Usefulness of training to operatives.
5. **Daily/interim evaluation**: Needed for programmes of a week or more.
6. **Studies**: Opinions of trainers, superiors and peers.
7. **HR factors**: Absenteeism, turnover, accidents, grievances, dismissals.
8. **Cost-benefit analysis**: Training cost compared with value (reduced learning time, better performance).

9. **End-of-programme evaluation**: Reactions, plus medium- or long-term follow-up by correspondence or visits.
10. **Feedback**: Find the causes of performance gaps and ensure the report is implemented.

Training Gaps (Summary)

- **Below standard**: Present performance is below the required standard.
- **Changed job**: Job requirements change with circumstances.
- **New job**: The job ceases to exist or the holder changes jobs, creating a new gap.

2-MARK QUESTIONS

Q1. Define training.

Flippo defines training as "the act of increasing the knowledge and skills of an employee for doing a particular job." It is a planned, short-term, job-oriented programme.

Q2. What is development?

Development is the nature and direction of change induced in employees, especially managers, through training and education. It is long-term and aims at the total personality.

Q3. Give the characteristics of training.

Training increases knowledge and skills and bridges the gap between job needs and employee skills. It is job-oriented (vocational) and a short-term activity mainly for operatives.

Q4. Distinguish between training and development.

Training is short-term, meant for operatives, focused on specific skills for the current job and reactive. Development is long-term, meant for managers, aimed at total personality and future needs, and proactive.

Q5. What is a training need?

It is the gap between the knowledge, skills and attitudes an employee possesses and those the job requires. It is identified through organisational, task/role and manpower analysis.

Q6. Name the steps in the training process.

Identifying training needs, preparing training programmes, preparing the learners, implementing the programme, performance try-out and follow-up activities.

Q7. What is Job Instruction Training?

JIT is a step-by-step on-the-job method developed during the Second World War to teach the current job. Its four steps are preparation, presentation, performance try-out and follow-up.

Q8. What is vestibule training?

It is classroom training on equipment identical to that used at work. Trainees learn without disturbing production; it suits many semi-skilled workers.

Q9. Differentiate between coaching and mentoring.

Coaching is one-on-one guidance and feedback by a supervisor, usually for operative tasks. Mentoring is grooming of juniors by an experienced executive over a long period, for higher-level roles.

Q10. Define executive development.

It is the process in which executives acquire not only skills and competence in their present jobs but also capabilities for future managerial tasks of increasing difficulty and scope.

Q11. What is understudy?

A potential manager temporarily relieves an experienced manager of part of his job and acts as his substitute. This gives him insight into the whole job and aids succession planning.

Q12. What is training evaluation?

It is "any attempt to obtain information on the effects of training performance and to assess the value of training in the light of that information." It uses questionnaires, tests, interviews and cost-benefit analysis.

LONG QUESTIONS (6 Marks)

Q1. How do you identify the training needs of an organisation? Explain the training process.

Introduction: A training need is the gap between the knowledge, skills and attitudes an employee possesses and those the job demands. Training works best when it is planned, implemented and evaluated systematically.

1. **Organisational analysis**: Study the organisation's objectives, its resources and their use, and its interaction with the environment, to locate training needs.
2. **Task or role analysis**: Study the roles employees play, using questionnaires, interviews, tests and observation, and design training to match.
3. **Manpower analysis**: Check whether performance is satisfactory, whether the employee is trainable and in which area, and whether poor performers should be replaced.
4. **Preparing training programmes**: Decide the trainees, material, duration, on-the-job or off-the-job mode, methods and resource persons.
5. **Preparing the learners**: Put learners at ease, explain the job's importance and the training objectives, create interest and place them near the workplace.
6. **Implementing the programme**: Conduct the training; check effectiveness through tests, observation, interviews, questionnaires and productivity comparison.
7. **Performance try-out**: The trainee performs slowly, explaining each step; mistakes are corrected and speed builds gradually.
8. **Follow-up**: The trainee works on his own with frequent checks; supervision is tapered off to normal level.

Identify Needs → Prepare Programmes → Prepare Learners → Implement → Performance Try-Out → Follow-Up

Conclusion: Correct need identification makes training relevant and cost-effective. A systematic process ensures that learning is transferred to the job.

Q2. What are the various methods available for training? Explain on-the-job and off-the-job methods.

Introduction: Training methods are the ways a trainer imparts knowledge and skills and changes attitudes. They are on-the-job (learning at the workplace) or off-the-job (learning away from it).

1. **Job Instruction Training**: Step-by-step training (preparation, presentation, try-out, follow-up). It is economical and suits unskilled and semi-skilled jobs.
2. **Coaching and mentoring**: A supervisor gives one-on-one guidance, or a senior executive grooms juniors. There is a risk of jealousy and favouritism.
3. **Job rotation**: Movement across jobs gives a broad perspective and flexibility, but it is costly and limits depth of expertise.
4. **Apprenticeship and committee assignments**: Apprenticeship is the oldest method (2–5 years) and ensures skilled workmanship. Committee assignments solve real problems in teams but may waste time.
5. **Vestibule training**: Classroom training on duplicate machines without disturbing production; it needs extra investment.
6. **Lecture and conference**: The lecture is economical for large groups but weak in transfer of training. The conference adds discussion to clear doubts.
7. **Role playing and behavioural training**: Realistic behaviour in imaginary situations builds interpersonal skills; sensitivity training builds self-awareness.
8. **Programmed instruction and e-learning**: Sequential units from simple to complex; virtual classrooms and the internet allow self-paced learning, but these are unsuitable for behavioural skills.

Basis	On-the-Job	Off-the-Job
Place	Workplace	Away from work
Production	May be disrupted	Not disturbed
Transfer of training	Easy	Weaker

Conclusion: No single method is best. The choice depends on the job, the trainees, the cost and the objectives, and a mix of methods usually works best.

Q3. What is executive development? Explain its need and the methods of executive development.

Introduction: Executive development is "the process in which executives acquire not only skills and competence in their present jobs but also capabilities for future managerial tasks of increasing difficulty and scope." It is planned, systematic and continuous.

1. **Long-run investment**: Managers gain the KSAs needed to handle complex changes in environment, technology and processes.
2. **Competitive edge**: They get a better grip over market forces and stay ahead of rivals.
3. **Career goals**: Executives realise their aspirations in a planned way.
4. **Superior performance and succession**: Varied jobs make them versatile and productive, and ready to step into their superiors' shoes.
5. **Broader outlook**: They examine problems dispassionately and take a holistic view of the organisation.
6. **Human relations**: Projects, committees and job rotation teach them to deal with subordinates, peers and customers smoothly.
7. **Value of managers**: Managers are priceless assets; their failure wastes scarce resources, so developing them is essential.

Method	Purpose
Job rotation / Understudy	Broad outlook; succession planning
Case study	Analytical, problem-solving skills
Role playing / Behaviour modelling	Human relations, interpersonal skills
In-basket / Business games	Judgement, quick thinking, leadership
Sensitivity training / Conference / Lecture	Self-awareness; knowledge to large groups

Conclusion: Executive development prepares managers for future tasks. A suitable mix of methods, chosen after needs analysis and followed by evaluation, gives the best results.

Q4. Why is evaluation of a training programme necessary, and how is it done?

Introduction: Training evaluation is "any attempt to obtain information on the effects of training performance and to assess the value of training in the light of that information." It runs alongside the training. It is necessary because training consumes time, money and effort, so we must check whether objectives were met and where changes are needed.

1. **Questionnaires**: Collect trainees' opinions, reactions and views.
2. **Tests**: Pre-tests and post-tests measure what has been learnt.
3. **Interviews and studies**: Gather views of trainees, trainers, superiors and peers on usefulness.
4. **Interim evaluation**: Daily or interim checks, necessary for programmes of a week or more.
5. **Human resource factors**: Check absenteeism, turnover, accidents, grievances and dismissals after training.
6. **Cost-benefit analysis**: Compare training costs (trainers, tools, centres, wastage) with benefits (reduced learning time, superior performance).
7. **End-of-programme evaluation**: Record reactions and arrange medium- and long-term follow-up by correspondence or visits.
8. **Feedback**: Identify the causes of performance gaps and ensure the feedback report is implemented.

Training Need Analysis → Pre-course Assessment → Interim Validation → End-of-programme Testing → Follow-up Evaluation → Report on Objectives

Conclusion: Evaluation shows the effect of training on reactions, learning, behaviour and results. It makes future programmes more relevant and cost-effective.

Unit 7: Performance Management

Unit at a Glance

- **Performance appraisal (PA)** systematically evaluates an employee's job performance and potential, and is used for rewards, development and validation.
- **Performance management** is a continuous process with five components: planning, monitoring, developing, rating and rewarding.
- **PA methods** are either past-oriented (rating scale, checklist, BARS, ACR and others) or future-oriented (MBO, psychological appraisal, assessment centre, 360-degree).
- **Potential appraisal** finds latent qualities for higher jobs, and **counselling** (directive, non-directive, participative) helps employees cope with problems.
- **Rating errors** (halo, horn, leniency, central tendency, recency and others) reduce accuracy, and the **Total Performance Management Process** has four stages.

Key Definitions

- **Performance Appraisal**: The systematic evaluation of the individual with respect to his or her performance on the job and his or her potential for development.
- **Performance Appraisal (comprehensive)**: "A formal structured system of measuring and evaluating an employee's job related behaviors and outcomes to discover how and why the employee is presently performing on the job and how the employee can perform more effectively in the future."
- **Performance Management**: The systematic process by which an agency involves its employees, as individuals and members of a group, in improving organisational effectiveness in accomplishing its mission and goals.
- **Monitoring**: Consistently measuring performance and providing ongoing feedback to employees and work groups on their progress toward their goals.
- **Rating Scale**: A method in which the rater gives a subjective performance evaluation along a scale from low to high.
- **360-degree Feedback**: An appraisal in which multiple raters (supervisors, peers, team members, customers and self) evaluate performance.
- **Assessment Centre**: An appraisal technique that relies on multiple types of evaluation and multiple raters.
- **Potential Appraisal (Pareek)**: Identifying the potential of a given employee to occupy higher positions in the organisational hierarchy and undertake higher responsibilities.
- **Counselling**: The discussion of a problem with an employee, with the general objective of helping the worker cope with it.
- **Bias**: The inaccurate distortion of a measurement, usually caused by raters who fail to remain emotionally unattached.

Core Notes

Introduction: Why Appraise Performance?

- **Link to goals**: Individual goal achievement decides organisational effectiveness, so assessing it is a critical HRM task.
- **Three purposes of PA**:
  - **Reward allocation**: Decides who gets salary increases, promotions and other rewards.
  - **Development**: Identifies areas where development efforts are needed.
  - **Validation**: Acts as the criterion for validating selection devices and development programmes.
- **Standards**: A valid, reliable and bias-free system sets standards of satisfactory performance.
- **Successful organisations**: Employees contribute at optimum levels through continual goal setting, measurement, feedback and rewards.
- **Career planning**: Performance appraisals are the building blocks of career planning.

Performance Appraisal: Meaning and Objectives

- **Meaning**: A formal, structured evaluation of job behaviours and outcomes. It shows how and why the employee performs as he does and how he can improve, for the benefit of the employee, organisation and society.
- **Three areas covered**: Appraisal systems define, facilitate and encourage performance.
- **Objectives of PA**:
  - **Compensation decision**: Pay raises are based on merit rather than seniority.
  - **Promotion decision**: Guides job change or promotion.
  - **Training and development**: Tells employees their progress and the skills needed for raises or promotion.
  - **Feedback**: Shows how to improve present performance and move up the ladder.
  - **Personal development**: Reveals the causes of good and poor performance.

Performance Management

- **Meaning**: A systematic process of involving employees, individually and in groups, in improving organisational effectiveness.
- **System nature**: Achieved results are continually measured and compared with desired goals.
- **Single system**: It consolidates goal setting, performance appraisal and development into one common system.
- **Five components**: planning work and setting expectations, continually monitoring, developing capacity, periodically rating in summary form, and rewarding good performance.

Planning → Monitoring → Developing → Rating → Rewarding

Basis	Performance Appraisal	Performance Management
Nature	Periodic event	Continuous process
Scope	Evaluation and rating	Plan, monitor, develop, rate, reward
Focus	Past performance	Present and future improvement
Manager's role	Judge	Coach
Relation	One part of PM	Includes PA

Components of Performance Management

1. Planning

- **Meaning**: Setting expectations and goals for groups and individuals, so their efforts are channelled toward organisational objectives.
- **Employee involvement**: Helps employees understand what needs to be done, why, and how well.
- **Elements and standards**: These should be measurable, understandable, verifiable, equitable and achievable.
- **Critical elements**: Hold employees individually accountable for assignments.
- **Flexibility**: Plans should adjust to changing objectives and work requirements.
- **Working documents**: Plans should be discussed often, not filed in a drawer.

2. Monitoring

- **Meaning**: Consistently measuring performance and giving ongoing feedback.
- **Progress reviews**: Performance is compared against elements and standards.
- **Benefits**: Checks whether standards are met, allows unrealistic standards to be changed, and identifies poor performance early instead of at the period end.
- **Example (MBO)**: The manager sets specific, measurable goals with each employee and periodically discusses progress.

3. Developing

- **Meaning**: Increasing the capacity to perform through training, new assignments with higher responsibility, and improved work processes.

- **Benefits**: Encourages good performance, strengthens skills, and helps employees keep up with change such as new technology.
- **Need identification**: Deficiencies show up during planning and monitoring, and good performers can also be helped to improve further.

4. Rating

- **Meaning**: Evaluating performance against the plan's elements and standards and assigning a summary rating of record.
- **Purpose**: Compares performance over time or among employees and identifies the best performers.
- **Basis**: Work done over the entire appraisal period.
- **Effects**: Influences within-grade pay increases and retention credit in a reduction in force.
- **Individual only**: The rating is given to individuals, not groups, though group performance may affect it.

5. Rewarding

- **Meaning**: Recognising individuals and groups for performance and contribution to the mission.
- **Principle**: All behaviour is controlled by its consequences, which may be formal or informal, positive or negative.
- **Daily recognition**: A simple "Thank you" needs no formal authority.
- **Formal rewards**: Cash, time off and non-monetary items, given for contributions from suggestions to group accomplishments.

Effective Performance Management

- **Routine practice**: Goals are set, progress is measured with feedback, high standards are backed by skill development, and formal and informal rewards are used.
- **Integration**: All five components work together and support each other.

Performance Appraisal Methods

Past-oriented Methods

1. **Rating scale**: Numerical scales from excellent to poor on criteria such as dependability, initiative and output; points may be linked to pay.
    - **Merit**: Suits nearly all jobs and rates many employees quickly.
    - **Demerit**: Open to rater bias; scoring gives an illusion of precision.
2. **Checklist**: The rater ticks Yes/No statements, and HR gives points for each "Yes" (a weighted checklist when weights are used).
    - **Merit**: Economical, easy, needs little rater training, and is standardised.
    - **Demerit**: HR may assign improper weights.
3. **Forced choice**: The rater picks the most or least descriptive statement in each block, and HR does the actual assessment.
    - **Merit**: No personal bias.
    - **Demerit**: Statements may be poorly framed.
4. **Critical incident**: Superiors record critical effective and ineffective behaviours as they occur.
    - **Merit**: Based on actual behaviour, so employees learn exactly what is expected.
    - **Demerit**: Negative incidents are more noticeable than positive ones.
5. **BARS**: Scales are anchored by behaviour statements from least to most effective, combining narrative and quantified ratings.
    - **Features**: Defined by the people who use them, anchored in actual job behaviour, observable, job-relevant and tailor-made, so raters are committed.
    - **Demerit**: Still has the distortions common to rating techniques.
6. **Field review**: An outsider from the corporate office or HR does the appraisal.
    - **Demerit**: The outsider does not know the work environment and cannot observe behaviour over time.
7. **Performance test**: A paper-and-pencil test or skill demonstration for a limited number of jobs.
    - **Requirement**: The test must be reliable and validated.
    - **Demerit**: Development and administration costs can be high.
8. **Annual Confidential Report (ACR)**: Used in government departments (ITI, military).
    - **Format**: 14 items; 12 are rated on a 4-point scale (excellent, good, fair, poor). Outstanding or poor ratings need justification.
    - **Overall rating**: A 5-point scale (outstanding to poor), plus a recommendation.

    - **Demerit**: Highly secret, and ratings are easily manipulated because they are linked to promotion.
9. **Cost accounting**: Evaluates performance by the monetary returns the employee yields, using the cost-benefit relationship.
10. **Comparative evaluation**: Compares a worker with co-workers through ranking and paired comparison; useful for merit pay and promotion.

Future-oriented Methods

1. **MBO (Peter F. Drucker, 1954, "The Practice of Management")**: Goals are set jointly, standards fixed for a time period, results compared with goals (showing training needs), and new goals set.
    - **Demerit**: Not suitable for inflexible jobs such as assembly-line work.
2. **Psychological appraisal**: Uses in-depth interviews, tests, discussions with supervisors and review of other evaluations to report intellectual, emotional and motivational traits that predict future performance.
    - **Demerit**: Depends on the psychologist's skill, and employees may object, especially where cross-cultural differences exist.
3. **Assessment centre (first used in the German Army, 1930)**: Experts assess several individuals using in-basket, role play, case studies, simulations and transactional analysis.
    - **Process**: Participants spend 2–3 days on tasks like those of the promoted job, and observers rank them by merit.
    - **Merit**: Equal opportunity and merit-based promotion.
    - **Demerit**: Costly and time-consuming.
4. **360-degree feedback**: Collects performance data from supervisors, team members, customers, peers and self.
    - **Merit**: Lets the employee compare his self-perception with others' views; good for soft skills (interpersonal, customer satisfaction, team-building).
    - **Demerit**: Can be intimidating, so a non-threatening environment is needed; choosing raters, designing questionnaires and analysing data take a long time.

Basis	Past-oriented	Future-oriented
Focus	Work already done	Future performance/potential
Merit	Measurable; gives feedback	Develops potential
Limitation	Past cannot be changed	Costly, needs experts
Examples	Rating scale, BARS, ACR	MBO, assessment centre, 360-degree

Potential Appraisal

- **Need**: In most Indian organisations, promotion depends on past performance. But a higher role may differ from the past role, so past performance may not predict suitability.
- **Potential (Pattanayak)**: Latent qualities such as foreseeing opportunities, identifying resource gaps, working in tough and diverse settings, seeing the big picture, and showing integrity.
- **Objective (Pareek)**: To identify the employee's potential for higher positions and responsibilities.
- **Required to**: Inform employees of their prospects, prepare a succession plan, update training, and advise on career improvement.

Steps in Introducing a Potential Appraisal System

1. **Role descriptions**: Define roles clearly and prepare job descriptions for each job.
2. **Qualities needed**: List the technical, managerial and behavioural qualities for each role.
3. **Rating mechanisms**: Use four sources:
    - rating by the immediate supervisor (technical ability);
    - psychological tests (managerial and behavioural dimensions);
    - games such as assessment centre, business games, in-basket and role play;
    - past records (initiative, creativity, risk-taking).
4. **Organising the system**: Decide the weightage of merit vs seniority and of each dimension, and choose reliable assessment mechanisms.
5. **Feedback**: Tell each employee his results, the qualities required and the mechanisms used.

Role Descriptions → Qualities Needed → Rating Mechanisms → Organising the System → Feedback

Basis	Performance Appraisal	Potential Appraisal
Focus	Current job performance	Capability for higher job
Time	Past/present	Future
Purpose	Pay, rewards, feedback	Promotion, succession
Methods	Rating scale, checklist, MBO	Assessment centre, tests, games

Performance Counselling

- **Meaning**: Discussing a problem with an employee to help him resolve or cope with it and become more effective.
- **Basic theory**: Stress and personal problems affect performance and life adjustment, so helping the employee benefits the employer, employee and community.
- **Counsellees**: Mostly healthy people under stress. Uncontrolled emotions may lead to quitting over trifling conflicts or lower morale.
- **Administration**: Usually run by the HR department, using in-house and external services.

Characteristics

- **Two people**: Needs a counsellor and a counselee, and is an act of communication.
- **Coping**: Helps employees cope and reduces problems and emotional upsets.
- **Performance**: Improves organisational performance and makes the organisation more humane.
- **Who performs it**: Both professionals and non-professionals.
- **Scope and privacy**: Covers job and personal problems, and is confidential and private.

Counselling Functions

1. **Advice**: Guides the employee toward the desired course of action.
2. **Reassurance**: Gives confidence in the chosen course and the courage to follow it.
3. **Communication**: Starts upward communication and lets the counsellor explain management problems.
4. **Release of emotional tension**: Discussion brings emotional relief.
5. **Clarified thinking**: Serious discussion removes distractions.
6. **Reorientation**: Changes the basic self through new goals and values, usually with professional help.

Types of Counselling

- **Continuum**: Counselling ranges from full direction (directive) to no direction (non-directive), with participative in the middle.

1. **Directive**: The counsellor listens, decides with the employee, then tells and motivates him. It mainly gives advice, and reorientation is seldom achieved.
2. **Non-directive (client-centred)**: The counsellor listens and the counsellee finds his own solutions. Its unique advantage is reorientation, because it changes the person.
3. **Participative (cooperative)**: A mutual exchange of ideas that starts with listening, after which the counsellor adds insight. It is a balanced compromise that suits most company counsellors.

Basis	Directive	Non-directive	Participative
Control	Counsellor	Counsellee	Shared
Main function	Advice	Reorientation	Reassurance, communication, release, clarity
Limitation	Rejected by modern employees	Costly; needs professionals	Few; balanced

Steps in Performance Counselling

Analyse Performance → Call Meeting → Begin Interview and Listen → Find How Things Are Going → Ask "The Question" → Self-analysis and Message

- **Step 1 (analyse)**: Identify specific positive behaviour changes and areas of better performance.
- **"The Question"**: "What can I (boss) do to make your job less frustrating and more satisfying?"

Common Rating Errors and Problems

- **Bias in subjective measures**: The most common rater biases are halo, personal prejudice, central tendency, recency, and leniency/strictness.
- **Past-oriented methods**: They measure performance that has already occurred and give feedback, but past performance cannot be changed.
- **Problems in PA (Teel; Gioia and Sims)**:
  - **Judgement errors**:
    - **Primacy (first impression)**: With a negative effect the employee does nothing right; with a positive effect he does no wrong (Harris).
    - **Halo**: One good aspect (few absences, good dress sense) raises all ratings.
    - **Horn**: One negative quality leads to harsh ratings.
    - **Leniency/strictness**: Ratings are too soft or too harsh, so employees are not differentiated.
    - **Central tendency**: Everyone is rated average to play safe.
    - **Stereotyping**: Ratings based on a mental picture of sex, age, religion or caste.
    - **Recency**: Recent events outweigh earlier work; spill-over effect means past performance influences present ratings.
  - **Poor appraisal forms**: Vague scales, important aspects ignored, irrelevant dimensions added, or forms too long and complex.
  - **Lack of rater preparedness**: No training or functional knowledge, little time, low self-confidence, or vague objectives.
  - **Ineffective policies**: Sincere effort is unrewarded, low ratings are seen as rater failure, and the supervisor's approval is skipped, so the rater "goes off the hook".

Creating the Total Performance Management Process

- **Meaning**: A system that captures all employee efforts (including special assignments, projects and innovative leadership behaviour) and aligns them with organisational results.
- **Four stages**:
  - **Performance planning**: Build strategic goals into the employee performance programme.
  - **Performance development**: Employee and manager agree on goals and the tools needed to meet them.
  - **Performance coaching**: Ongoing feedback identifies and addresses development gaps.
  - **Performance review**: A customised Total Performance Review Tool is used.

Performance Planning → Performance Development → Performance Coaching → Performance Review

2-MARK QUESTIONS

Q1. What is performance appraisal?

Performance appraisal is the systematic evaluation of an individual's job performance and potential for development. It is a formal, structured system of measuring job-related behaviours and outcomes, so that the employee can perform better in future.

Q2. What is performance management?

Performance management is the systematic process of involving employees, individually and in groups, in improving organisational effectiveness and achieving the mission and goals. It consolidates goal setting, appraisal and development into one system.

Q3. State any four objectives of performance appraisal.

- Compensation decisions (merit pay) and promotion decisions.
- Identifying training and development needs.

- Feedback for improvement and personal development.

Q4. Name the five components of performance management.

The five components are planning, monitoring, developing, rating and rewarding. Together they form one continuous, mutually supporting cycle.

Q5. What is performance monitoring?

Monitoring means consistently measuring performance and giving ongoing feedback on progress toward goals, through progress reviews against standards. It identifies poor performance early and allows unrealistic standards to be corrected.

Q6. What is 360-degree feedback?

It is an appraisal in which performance data is collected from multiple raters: supervisors, peers, team members, customers and self. It is especially useful for assessing soft skills such as interpersonal and team-building skills.

Q7. What is an assessment centre?

An assessment centre is a method in which experts assess several individuals over 2–3 days using in-basket, role play, case studies and simulations. It was first used in the German Army in 1930. It is merit-based but costly and time-consuming.

Q8. What is MBO? Who gave the concept?

Management by Objectives is a future-oriented method in which superior and subordinate jointly set goals and later compare results with them. Peter F. Drucker gave the concept in 1954 in "The Practice of Management".

Q9. What is BARS?

Behaviourally Anchored Rating Scales use descriptions of actual job behaviour, from least to most effective, as anchors on a scale. The rater picks the behaviour that best describes the employee. BARS combines narrative and quantified ratings.

Q10. What is potential appraisal?

Potential appraisal identifies an employee's potential to occupy higher positions and take higher responsibilities (Pareek). It assesses latent qualities and supports promotion and succession planning.

Q11. What is the halo effect?

The halo effect occurs when one aspect of performance influences the rating on all other dimensions. For example, a punctual employee is rated high on everything. The horn effect is its opposite.

Q12. What is counselling? Name its types.

Counselling is the discussion of a problem with an employee to help him cope with it. Its three types are directive, non-directive (client-centred) and participative (cooperative).

LONG QUESTIONS (6 Marks)

Q1. "Performance appraisal is not merely for appraisal but is for accomplishment and improvement of performance." Discuss.

Introduction: Performance appraisal is a formal, structured system of measuring an employee's job behaviours and outcomes. It finds out how and why he performs as he does and how he can perform more effectively in future. Its real aim is improvement, not just judgement.

1. **Merit-based rewards**: Linking pay raises to merit rather than seniority motivates better performance.
2. **Promotion decisions**: Appraisal guides job changes so that capable performers move up.
3. **Training needs**: It shows the skills employees must develop, so training can be targeted.
4. **Feedback**: It tells employees how to improve present performance and climb the ladder.
5. **Personal development**: It reveals the causes of good and poor performance so they can be corrected.
6. **Validation of HR programmes**: It provides the criterion for validating selection devices and training programmes.
7. **Part of performance management**: Rating is only one of five components, alongside planning, monitoring, developing and rewarding, all of which aim at continuous improvement.
8. **Defines, facilitates, encourages**: Appraisal systems cover these three areas, which shows their improvement focus.

Set Standards → Measure → Feedback → Develop → Reward → Improved Performance

Conclusion: Appraisal is therefore a tool for accomplishing goals. A valid, reliable and bias-free system turns evaluation into growth for both the employee and the organisation.

Q2. Suggest a stepwise process for the performance management system. How would you, as an HR manager, plan and monitor performance?

Introduction: Performance management is the systematic process of involving employees, individually and in groups, in improving organisational effectiveness. It is a continuous cycle of five components.

1. **Planning**: Set expectations and goals with employee involvement. Establish elements and standards that are measurable, understandable, verifiable, equitable and achievable.
2. **Flexible working plans**: Keep plans adjustable to changing objectives and discuss them often, not file them away.
3. **Monitoring**: Hold progress reviews against standards and give ongoing feedback. For example, in MBO the manager periodically discusses progress toward agreed goals.
4. **Early correction**: Identify unacceptable performance at any time and revise unrealistic standards, instead of waiting for the year end.
5. **Developing**: Build capacity through training, new assignments, higher responsibility and better work processes.
6. **Rating**: Assign each individual a summary rating of record for the full period. It affects pay increases and retention.
7. **Rewarding**: Recognise performance formally (cash, time off, non-monetary awards) and informally ("Thank you"), because behaviour is controlled by its consequences.
8. **Total Performance Management**: The same process can be organised in four stages: planning, development, coaching and review.

Planning → Monitoring → Developing → Rating → Rewarding

Conclusion: When all five components support each other, performance management becomes natural and effective, and individual efforts align with organisational goals.

Q3. Explain the various methods of performance appraisal.

Introduction: Performance appraisal methods are techniques for evaluating employee performance. They are classified as past-oriented (evaluating work already done) and future-oriented (focusing on future performance and potential).

1. **Rating scale and checklist**: A rating scale rates traits from excellent to poor; it is quick but open to bias. A checklist uses weighted Yes/No statements; it is economical, but weights may be improper.
2. **Forced choice and critical incident**: Forced choice makes the rater pick the most or least descriptive statement, which removes personal bias. The critical incident method records key behaviours as they occur.
3. **BARS**: Tailor-made scales anchored by actual job behaviours, from least to most effective.
4. **Field review, performance test and ACR**: An outside HR appraiser, a validated skill test, and a confidential 14-item report used in government departments.
5. **Cost accounting and comparative methods**: These measure the employee's monetary returns, or rank and pair-compare employees.
6. **MBO (Drucker, 1954)**: Goals are set jointly, reviewed, compared with results and reset. It is unsuitable for rigid jobs.
7. **Psychological appraisal and assessment centres**: Psychologists use interviews and tests to predict potential. Assessment centres (German Army, 1930) use simulations over 2–3 days.
8. **360-degree feedback**: Feedback comes from supervisors, peers, team members, customers and self. It is good for soft skills but time-consuming.

Basis	Past-oriented	Future-oriented
Focus	Work already done	Future performance/potential
Examples	Rating scale, BARS, ACR	MBO, assessment centre, 360-degree

Conclusion: No single method is perfect. Organisations should combine past-oriented methods (for measurement and feedback) with future-oriented methods (for development and potential).

Q4. What is the difference between potential appraisal and performance appraisal? Explain the steps in introducing a potential appraisal system.

Introduction: Performance appraisal evaluates present performance on the job. Potential appraisal identifies an employee's potential to occupy higher positions and undertake higher responsibilities (Pareek). It is needed because past performance may not predict success in a different, higher role.

Basis	Performance Appraisal	Potential Appraisal
Focus	Current job	Higher job
Time	Past/present	Future
Purpose	Pay, rewards, feedback	Promotion, succession
Methods	Rating scale, MBO	Assessment centre, tests, games

1. **Role descriptions**: Define roles clearly and prepare job descriptions for each job.
2. **Qualities needed**: List the technical, managerial and behavioural qualities for each role.
3. **Rating by others**: The immediate supervisor rates the candidate's technical capability.
4. **Tests**: Psychological tests measure managerial and behavioural dimensions.
5. **Games and records**: Simulations (assessment centre, business games, in-basket, role play) uncover hidden potential. Past records are checked for initiative, creativity and risk-taking.
6. **Organising the system**: Fix the weightage of merit vs seniority and of each dimension, and choose reliable assessment mechanisms.
7. **Feedback**: Tell each employee his results, the qualities required and the mechanisms used.

Conclusion: Performance appraisal suits rewarding the present job, while potential appraisal is better for promotions, because it informs employees of their prospects, supports succession plans and updates training.

Unit 8: Compensation Management

Unit at a Glance

- Compensation is what employees receive for their work: base pay, variable pay and benefits.
- Pay must be fair, which means internal, external and individual equity.
- Pay rates are set in five steps: job evaluation, wage survey, pay grades, wage curves and fine-tuning.
- Job evaluation methods are ranking, grading, point rating and factor comparison; managerial jobs are valued on universal factors.
- Newer pay plans are pay for performance, competency-based pay and variable pay; fringe benefits fall into five categories, many fixed by Indian labour laws.

Key Definitions

- **Compensation**: The financial and non-financial rewards given to employees for the services they render to the company.
- **Base Pay**: The basic compensation an employee gets, usually as a wage or salary.
- **Variable Pay**: Pay tied to some measure of individual, group or organisational performance, such as bonuses, incentives and stock options.
- **Benefit**: An indirect reward given to an employee or group of employees as a part of organisational membership, such as health insurance, vacation pay and pension.
- **Pay Equity**: An employee's perception that the compensation received is equal to the value of the work performed.
- **Pay Grades**: Groups of jobs within a particular class that are paid the same rate.
- **Job Evaluation**: Measuring the responsibilities, skills, efforts and working conditions of jobs to decide which jobs should be paid more than others.
- **Competency-based Pay (Brown and Armstrong)**: "Paying for the development and application of essential skills, behaviours and actions which support high levels of individual, team and organisational performance."
- **Fringe Benefits (ILO)**: "Wages are often augmented by special cash benefits, by the provision of medical and other services or by payments in kind... Such additions to the wages proper are sometimes referred to as fringe benefits."
- **Gratuity**: A benefit payable to all employees who render a minimum continuous service of five years with the present employer.

Core Notes

Meaning and Importance of Compensation

- **Meaning**: What employees receive in exchange for their work.
- **Role**: Helps the firm obtain, maintain and retain a productive workforce.
- **Pay dissatisfaction**: Lowers productivity and quality of work life.
- **Poor pay**: Causes absenteeism and other forms of withdrawal.
- **High pay costs**: Reduce the firm's competitiveness.
- **Core balance**: Pay satisfaction must be balanced against organisational competitiveness.
- **Aim**: The lowest-cost pay structure that attracts and motivates capable employees and is seen as fair.

Objectives of Compensation Management

1. **Acquire qualified personnel**: Pay high enough to attract talent.
2. **Retain present employees**: Uncompetitive pay makes employees quit.
3. **Ensure equity**: Pay equals job worth, so similar jobs get similar pay.
4. **Reward desired behaviour**: Reward loyalty, commitment, experience, risk-taking and initiative.
5. **Control costs**: Workers are neither overpaid nor underpaid.
6. **Comply with legal rules**: Meet laws on minimum wages, bonus, allowances and benefits.
7. **Administer efficiently**: The system is easy to understand and operate.

- To meet these objectives, specialists evaluate jobs, conduct wage surveys and price each job.

Nature (Components) of Compensation

Component	Type	Examples
Base pay	Direct	Salary, wage
Variable pay	Direct	Bonus, incentives, stock options
Benefits	Indirect	Health insurance, vacation pay, pension

- **Wage Boards**: Set up by the Government of India to fix and revise wages, with a separate board for each industry. They are appointed ad hoc and are not governed by any legislation.

Establishing Pay Plans and Rates – Equity

Type of Equity	Meaning	Achieved through
Internal	Difficult jobs paid more	Job evaluation
External	Fair compared with the labour market	Wage surveys
Individual	Equal pay for equal work	Fair individual pay

Steps in Determining Pay Rates

Job Evaluation → Wage and Salary Survey → Pay Grades → Wage Curves → Fine Tune Pay Rates (Wage Structure)

1. **Job evaluation**: A committee finds each job's worth from job analysis data and builds a job hierarchy. Methods are market pricing, ranking, point or factor comparison.
2. **Wage and salary survey**: Finds what competitors pay and ensures external equity. It is usually limited to **benchmark jobs**.
   - **Benchmark jobs**: Common in other firms, stable in content, and covering the full pay range from low to high.
   - **Published sources**: Ministry of Labour reports, Pay Commission reports, Wage Board reports, employers' and employees' organisations, and trade journals. Their weakness is poor comparability of jobs.
   - **Survey methods**: Key job matching, key class matching, occupational method, job evaluation method and broad classification method.
3. **Pay grades**: Jobs of roughly equal difficulty are grouped together. This gives 10–12 grades instead of hundreds of rates; 10–16 grades per job cluster is common.
4. **Wage curve**: A graph of current pay against job points or rank that shows out-of-line rates.
   - **Red circle rates**: Rates well above or below the wage line. They are frozen or given below-average increases until they fit.
5. **Fine tune**: A pay range is fixed for each grade, for example Officer Grade I, II and III. The **wage structure** is the resulting pay scale.

Job Evaluation Methods

1. **Job ranking**: Whole jobs are ranked subjectively. It lacks precision, so pay may be inaccurate.
2. **Job grading (classification)**: Each job is put into a predefined grade, and higher grades get higher pay.
3. **Point rating**: Weighted points are given for factors such as experience, training, mental alertness and physical effort. The total points give the job's value.
4. **Factor comparison**: Jobs are compared on responsibility, skill, mental effort, physical effort and working conditions.

Determine Critical Factors → Determine Key Jobs → Allot Present Wage to Key Jobs → Place Key Jobs on Factor Scale → Evaluate Other Jobs

Method	Basis	Precision
Ranking	Whole job	Low
Grading	Whole job in grades	Low–moderate
Point rating	Weighted factor points	High
Factor comparison	Factors vs key jobs	High

Pricing Managerial and Professional Jobs

- **Challenge**: Attracting and retaining quality employees.
- **Magnet**: The benefit programme helps attract and retain talent, along with challenging work and fair pay.
- **Cost**: Incentives and benefits often exceed 40% of total payroll cost, so the package can at best match industry practice.
- **Design**: A poorly designed programme has doubtful motivational value. Employees expect a unique, attractive and motivating package.

Characteristics of a Desirable Wage Plan (Armstrong; Hills)

1. **Simple**: Easy to understand and seen as equitable.
2. **Beneficial**: Gains are shared fairly between labour and management.
3. **Equitable**: Pay matches effort, ability and training.
4. **Guaranteed minimum wage**: Covers basic needs.
5. **Balanced**: Pay, benefits and rewards form a reasonable total package.
6. **Incentive-oriented and quality output**: Encourages more and better output.
7. **Certainty**: Pay is in cash at a convenient date, time and place.
8. **Cost-effective and flexible**: Affordable and open to change.

Universal Factors for Valuing Managerial and Professional Jobs

1. **Knowledge**: Formal education, from 3–12 months of training up to an advanced degree and a doctorate, plus work experience.
2. **Mental demands**: Original thinking, resourcefulness and creativity, from improving methods up to very complex ideas or directing a division.
3. **Operating responsibility**: The complexity of operating decisions and their impact, from one's own work area up to a division or the whole organisation.
4. **Administrative responsibility**: The difficulty of responsibility for others' work and the scope of direct supervision (none, 1–5, 6–14, 15+, up to the entire institute).
5. **Work environment**: Adverse working conditions, including travel, and hazardous conditions with risk of minor or major injury.

Pay for Performance

- **Expectation**: Pay should match skills, contribution and output, giving a fair share of the cake.
- **Forms**: Awards for cost-saving suggestions, attendance bonuses, and merit pay based on appraisal.
- **Basis**: Individual, group or organisational performance.
- **Objective**: A productive, efficient organisation with better motivation that attracts and retains talent.
- **Merit**: Weeds out dead wood and keeps the firm competitive.
- **Demerit**: The relationship becomes cold and "mercenary", which hurts camaraderie and the morale of laggards.
- **Reality**: Most firms still pay mainly by hours worked plus benefits for loyal service.

Competency-based Pay

Meaning

- **Competencies**: The knowledge, skills and attitudes needed to do a job effectively.
- **Idea**: Paying the person, not the job. It rewards the range, depth and types of skills, not the job title.
- **Assumption**: Competencies are the human input, and rewarding them helps the organisation reach its goals.

Levels of Competencies

1. **Knowledge and skill**: These form ability (Performance = Ability × Effort) and are found in the job specification.
2. **Behaviours**: Skills applied at work, similar to BARS.
3. **Personal characteristics**: Motives, attitudes, values and self-image, which explain "effort". This level is controversial.

- **Problems with level 3**: It takes time to develop, it is hard to measure reliably, and it can raise legal (civil rights) issues.

Types of Competencies

Type	Meaning	Example
Organisational	Unique factors making the firm competitive	Sony – miniaturisation
Job-related	Needed for a specific job	Operating equipment
Personal	Behavioural	Initiative, commitment

- **Hoyt W. Doyel (ECI) samples**: Insightful selling, calm under pressure, effective mentoring, negotiating ability and selfless team spirit.

Competency Mapping

- **Meaning**: Assessing a person's strengths as an individual or as part of an organisation.
- **Covers**: Emotional intelligence (EQ) and strengths in team structure, leadership and decision-making.
- **Use**: Employing strengths effectively and forming the most effective teams.

Job Analysis (PIQ) → Competency-based Job Description → Map Competencies in HR Processes → Use in Performance Evaluation → Objective Assessment → Identify Training Needs

Method (Stages) of Competency-based Pay

1. **Introduce**: Pre-conditions are an existing appraisal process, trained managers, aware staff, full commitment and a fair system that includes everyone.
2. **Determine competencies**: Core, technical, job-category (for example, leadership) and contribution competencies (communication, teamwork, problem solving, decision making).
3. **Competency framework**: Defines expected behaviour. Involve employees, keep it relevant and objective, use simple language and test it before use.
4. **Assess**: Use regular appraisal for pay progression within a grade, with core competencies plus extra ones for senior roles.
5. **Design pay structure**: Through broad banding or job families.

Basis	Broad Banding	Job Families
Meaning	Wide bands; position in band reflects competency	Separate structures for occupational groups
Advantage	Horizontal growth without promotion	Clear career path
Disadvantage	Hard to manage expectations of new recruits	Possible gender bias
Remedy	Manager–staff communication	Explain system; better gender mix

Benefits and Limitations of Competency-based Pay

- **Benefits**:
  - Employees give their best.
  - Employees stay focused.
  - Outstanding employees are separated from ordinary ones.
  - Constant training makes employees more valuable.
  - The plan is people-focused.
- **Limitations**:

- It needs heavy managerial time.
- The firm may pay for unused skills.
- The effort–reward link is weak if learning does not raise pay.
- Critics allege unfair, invalid or discriminatory outcomes.
- The failure rate is high (Cira et al., 1998).

Variable Pay Plans

- **Meaning**: Cash incentives and year-end bonuses for extraordinary contribution over a period.
- **Users**: Boeing, Timex and Westinghouse; in India, Shoppers' Stop, Pantaloon Retail and Philips India.

Basis	Base Pay	Variable Pay
Nature	Fixed	Linked to performance
Added to salary	Yes, permanent	No, lump sum
Effect on benefits	Raises them	No effect, so costs controlled
Risk	Low	Part at risk

Fringe Benefits – Meaning and Coverage

- **Meaning**: Extra benefits beyond wage or salary that are not directly connected with productive effort.
- **Other names**: Social security measures, welfare measures, supplements and workers' benefits.
- **Scope**: Monetary and non-monetary benefits, given during and after employment.
- **Coverage**:
  - statutory bonus, PF, gratuity and pension
  - workmen's compensation
  - housing, medical facilities and canteen
  - credit, consumer stores, education and recreation
- **Employer gain**: Works as advertising and buys employee loyalty. Some employers give more than the law requires, others only the legal minimum.

Need for Extending Fringe Benefits and Features

- **Origin**: Extended in World War II to neutralise inflation, then expanded through trade union pressure.
- **Features**:
  - supplementary to wages
  - based on membership
  - indirect (not linked to performance)
  - raise living conditions
  - statutory (PF) or voluntary (transport)

Need for Fringe Benefits

1. **Employee demand**: Benefits reduce the tax burden.
2. **Trade union demand**: Competition among unions widens benefits.
3. **Human relations**: Meet economic, social and psychological needs.
4. **Commitment**: Raise morale and loyalty.
5. **Social security**: Protect employees against contingencies.

Objectives of Fringe Benefits

- Sound industrial relations.
- Motivation through meeting unsatisfied needs.
- Security against social risks such as old age and maternity.
- Health and safety.
- Employee welfare.
- A sense of belongingness.
- Legal compliance.

Reasons for Growth of Fringe Benefits

1. **Rising cost of living**: Creates constant demand for extra benefits.
2. **Negotiation tool**: Useful when large pay rises are not feasible.
3. **Competition**: Rivals must match benefits.
4. **Non-taxable**: A major stimulus to growth.
5. **Industrialisation and urbanisation**: Employers share responsibility for employees.
6. **Social security laws**: Employers share old-age, survivor and disability costs.
7. **Trade union strength**: Unions push for more benefits.
8. **Labour scarcity**: Drives the initiation, evolution and implementation of plans.
9. **Management responsibility**: Productivity gains are shared with employees.

Types of Fringe Benefits (Five Categories)

Payment for Time not Worked → Employee Security → Safety and Health → Welfare and Recreation → Old Age and Retirement Benefits

1. Payment for Time not Worked

- **Hours of work**: Factories Act 1948 – Section 51 limits work to 48 hours a week; Section 54 limits it to 9 hours a day.
- **Paid holidays**: A weekly paid holiday, preferably Sunday.
- **Shift premium**: Extra pay for odd-hour shifts.
- **Holiday pay**: Usually double the normal rate.
- **Paid vacation**: After 240 days of work, 1 day per 20 days worked for adults and 1 per 15 days for child workers.

2. Employee Security

- **Income security laws**: Payment of Wages Act 1936, Minimum Wages Act 1948 and Payment of Bonus Act 1965.
- **Retrenchment compensation (ID Act 1947)**: 15 days' wage per completed year of service, also paid on closure of the undertaking.
- **Lay-off compensation**: 50% of basic wage plus DA, normally up to 45 days a year.

3. Safety and Health

- **Factories Act 1948**: Covers cleanliness, ventilation, lighting, drinking water and latrines.
- **Workmen's Compensation Act 1923**: Compensation for injury or death from employment, including dependants. The book states coverage for wages below Rs 500 per month.
- **ESI Act 1948**: Covers power-run factories with 20 or more workers; the book states eligibility for wages up to Rs 1,000 per month.

ESI Benefit	Provision
Sickness	Cash for up to 56 days a year
Maternity	12 weeks' leave plus cash
Disablement	Cash for employment injury
Dependants'	Periodic payments on death
Medical	Out-patient, home visits, in-patient care

4. Welfare and Recreational Facilities

- **Canteens**: Compulsory above 250 workers (Section 46, Factories Act), with subsidised food.
- **Stores and credit**: Consumer stores, credit societies and loans.
- **Housing**: Cheap quarters or housing loans.
- **Support services**: Legal aid, counselling (reduces absenteeism and turnover) and welfare officers.
- **Leisure and travel**: Holiday homes, education facilities, transport, and parties and picnics.

5. Old Age and Retirement Benefits

- **Provident fund**: Employer and employee both contribute. 100% of contributions with interest after 15 years of membership.
- **Pension (Family Pension Scheme 1971)**: Family pension on death, plus a lump sum on retirement or death.
- **Deposit linked insurance**: On a PF member's death in service, dependants get the average PF balance of the last 3 years, with a minimum of Rs 1,000.
- **Gratuity**: Needs 5 years of continuous service. Pays 15 days' wage per completed year (or part over six months), up to a maximum of 20 months' wage.
- **Medical benefit**: Given to retirees and families, creating permanent attachment to the firm.

2-MARK QUESTIONS

Q1. What is compensation?

Compensation is what employees receive in exchange for their work. It means the financial and non-financial rewards given for services rendered. It includes base pay, variable pay and benefits.

Q2. Name the three components of compensation.

Base pay is the basic wage or salary. Variable pay is linked to performance, such as bonuses and incentives. Benefits are indirect rewards for membership, such as insurance and pension.

Q3. What are the three dimensions of pay equity?

Internal equity means more difficult jobs are paid more. External equity means pay is fair compared with the labour market. Individual equity means equal pay for equal work.

Q4. List any four objectives of compensation management.

Acquire qualified personnel, retain present employees, ensure equity and reward desired behaviour. Others are controlling costs, complying with legal rules and administering efficiently.

Q5. What is a Wage Board?

A Wage Board is an institution set up by the Government of India to fix and revise wages, with a separate board for each industry. It is appointed ad hoc and is not governed by any legislation.

Q6. What are benchmark jobs?

Benchmark jobs anchor a company's pay scale, and other jobs are slotted around them. They are common in other firms, stable in content and cover the full pay range.

Q7. What are red circle rates?

Red circle rates are pay rates that fall well above or below the wage line on a wage curve. Such pay is frozen or given below-average increases until it comes within the normal range.

Q8. Define competency-based pay.

Brown and Armstrong define it as "paying for the development and application of essential skills, behaviours and actions which support high levels of individual, team and organisational performance." It pays the person, not the job.

Q9. What is competency mapping?

Competency mapping is a process to assess a person's strengths as an individual or as part of an organisation. It covers emotional intelligence (EQ) and strengths in teamwork, leadership and decision-making.

Q10. What is variable pay?

Variable pay is cash incentives and year-end bonuses for extraordinary contribution over a period. It is a lump sum not added to base salary, so labour costs stay under control.

Q11. Define fringe benefits.

Fringe benefits are extra benefits given in addition to wages or salary. They are not directly connected with productive effort. Examples are PF, gratuity, housing, canteen and medical facilities.

Q12. What is gratuity?

Gratuity is payable after a minimum of five years of continuous service, on retirement, death or disablement. It is paid at 15 days' wage per completed year of service, up to a maximum of 20 months' wage.

LONG QUESTIONS (6 Marks)

Q1. Describe the steps involved in establishing pay plans and pay rates.

Introduction: The most important objective of any pay system is equity, which is internal, external and individual. Pay rates are fixed through a five-step process so that pay is fair both inside the firm and compared with the market.

1. **Job evaluation**: A committee uses job analysis data to find the relative worth of jobs through ranking, grading, point or factor comparison methods. This ensures internal equity.
2. **Wage and salary survey**: It finds what competitors pay, usually for benchmark jobs that are common, stable and cover the full pay range. This ensures external equity.
3. **Sources and survey methods**: Sources include Ministry of Labour, Pay Commission and Wage Board reports and trade journals. Methods are key job matching, key class matching, occupational, job evaluation and broad classification.
4. **Pay grades**: Jobs of roughly equal difficulty or points are grouped, giving 10–16 grades per job cluster instead of hundreds of rates.
5. **Wage curve**: Current pay is plotted against job points to show the average relationship and the out-of-line rates.
6. **Red circle rates**: Rates well above or below the wage line are frozen or raised slowly until they fit the structure.
7. **Fine tune pay rates**: A pay range is fixed for each grade, for example Officer Grade I, II and III.
8. **Wage structure**: The final pay scale shows the range of pay within each grade.

Job Evaluation → Wage Survey → Pay Grades → Wage Curves → Fine Tune → Wage Structure

Conclusion: Combining job evaluation results with survey wage rates gives a pay structure that is fair, competitive and easy to administer.

Q2. What is job evaluation? Explain its methods.

Introduction: Job evaluation measures the responsibilities, skills, efforts and working conditions of jobs. It finds their relative worth and decides which jobs should be paid more, which ensures internal equity.

1. **Purpose and process**: A committee builds a hierarchy of jobs by value, using job analysis information, because the process is largely subjective.
2. **Job ranking**: Whole jobs are ranked by importance. It is simple, but it does not show how much one job differs from another, so pay may be inaccurate.
3. **Job grading (classification)**: Each job is placed in a predefined grade, and higher grades receive higher pay.
4. **Point rating**: Common factors such as experience, training, mental alertness and physical effort get points weighted by importance. The total points give the job's value.
5. **Factor comparison**: Jobs are compared on critical factors common to all jobs: responsibility, skill, mental effort, physical effort and working conditions.
6. **Steps of factor comparison**: Determine critical factors, determine key jobs, allot present wages, place key jobs on the factor scale, then evaluate other jobs.
7. **Market pricing**: Jobs may also be valued according to market rates.
8. **Use**: The results form pay grades, which are then priced through wage curves.

Method	Basis	Precision
Ranking	Whole job	Low
Grading	Whole job in grades	Low–moderate
Point rating	Weighted points	High
Factor comparison	Factors vs key jobs	High

Conclusion: Job evaluation is the foundation of a fair pay structure. Point rating and factor comparison are more precise than ranking and grading.

Q3. What is competency-based pay? Explain its method, benefits and limitations.

Introduction: Brown and Armstrong define competency-based pay as "paying for the development and application of essential skills, behaviours and actions which support high levels of individual, team and organisational performance." It pays for the person rather than the job title.

1. **Competencies**: These are knowledge, skills, behaviours and personal characteristics. They are of three types: organisational, job-related and personal.
2. **Introducing the plan**: It needs an existing appraisal process, trained managers, staff who know the required competencies, full commitment and a fair system that includes everyone.
3. **Determining competencies**: These are core, technical, job-category (such as leadership) and contribution competencies (communication, teamwork, problem solving).
4. **Competency framework**: It defines expected behaviour. It should involve employees, be relevant and objective, use simple language and be tested before use.
5. **Assessing competencies**: Regular appraisal is used for pay progression within a grade. Core competencies apply to all jobs, with extra ones for senior roles.
6. **Pay structure**: Broad banding allows growth without promotion but makes expectations hard to manage. Job families give a clear career path but risk gender bias.
7. **Benefits**: Employees give their best, outstanding staff are separated from ordinary ones, and continuous skill-building makes employees more valuable.
8. **Limitations**: It needs much managerial time and may pay for unused skills. Interest falls if the pay link is unclear, critics allege unfair outcomes, and the failure rate is high.

Introduce Plan → Determine Competencies → Build Framework → Assess → Design Pay Structure

Conclusion: Competency-based pay rewards how people work. It succeeds only when competencies are measured fairly and clearly linked to pay.

Q4. What are fringe benefits? Why do organisations need them? Explain their types.

Introduction: Fringe benefits are extra benefits given to employees in addition to wages or salary, not directly connected with productive effort. The ILO calls them additions to wages proper, such as holidays with pay, low-cost meals and low-rent housing.

1. **Features**: They are supplementary, based on membership, indirect, raise living standards, and may be statutory (PF) or voluntary (transport).
2. **Need**: They satisfy employee demands (benefits are tax-free) and trade union demands, improve human relations, build commitment and provide social security.
3. **Objectives**: Sound industrial relations, motivation, security against social risks, health and safety, welfare, belongingness and legal compliance.
4. **Payment for time not worked**: The Factories Act 1948 limits work to 48 hours a week and 9 hours a day. Other items are weekly paid holidays, shift premium, double holiday pay and paid vacation.
5. **Employee security**: Retrenchment compensation of 15 days' wage per year (ID Act 1947) and lay-off compensation of 50% of basic plus DA, up to 45 days a year.
6. **Safety and health**: Factories Act safety provisions, the Workmen's Compensation Act 1923, and ESI Act 1948 benefits (sickness, maternity, disablement, dependants' and medical).
7. **Welfare and recreation**: Canteens (compulsory above 250 workers), stores, credit societies, housing, legal aid, counselling, holiday homes, education, transport, and picnics.
8. **Old age and retirement**: PF, family pension (1971 scheme), deposit linked insurance, gratuity (5 years' service, 15 days per year, maximum 20 months' wage) and retiree medical benefit.

Conclusion: Fringe benefits ensure, maintain and increase the material welfare of employees. They act as a "magnet" to attract and retain talent.

Unit 9: HRD

Unit at a Glance

- HRD is a **planned, continuous process** of developing employees' capabilities, team spirit and organisational health; it treats people as **assets**.
- HRD works at the **macro (national)** and **micro (organisational)** levels. It is **proactive**, unlike the reactive personnel function.
- **HRD climate** (structure, culture, processes), the **HRD Matrix**, Indian HRD practices in the **LPG era** and T.V. Rao's **HRD Scorecard** are covered.
- **QWL** (Walton's 8 criteria, quality circles, socio-technical systems, autonomous groups, suggestion systems), **empowerment** and **career planning** are key HRD practices.
- **Knowledge management**, **mentoring** and **reverse mentoring** are newer HRD tools for competitive advantage.

Key Definitions

- **HRD**: A planned way of developing individual employees, groups and the total organisation to achieve organisational goals, in an atmosphere of mutual trust and cooperation.
- **Human Resources**: The sum of knowledge, skills, attitudes, commitment, values and the like of the people of an organisation.
- **Organisational Climate**: "A set of characteristics of an organization which are referred in the descriptions employees make of the policies, practices and conditions which exist in the working environment."
- **HRD Scorecard (T.V. Rao)**: A tool that measures the effectiveness and efficiency of the HR function in producing employee behaviours needed for strategic objectives. It indicates HRD maturity.
- **Quality of Work Life (QWL)**: Systematic efforts by organisations to give workers a greater opportunity to affect their jobs and their contribution to the organisation's overall effectiveness.
- **Quality Circles**: Small groups of employees who meet regularly with their common leader to identify and solve work-related problems.
- **Socio-technical Systems**: Interventions that restructure the work, the work groups and the relationship between workers and the technologies they use.
- **Suggestion System**: A formal method for generating, evaluating and implementing employee ideas. If any one of the three is missing, the plan fails.
- **Career (Flippo)**: "A sequence of separate but related work activities that provide continuity, order and meaning in a person's life."
- **Knowledge Management**: The process of capturing and using a firm's collective expertise, whether on paper, in documents and databases (explicit) or in people's heads (tacit).

Core Notes

Meaning of HRD

- **Positive concept**: Investment in people brings substantial long-run benefits to employees, the organisation and society.
- **Belief in potential**: People can always do better, so HRD values their dignity and latent energy.
- **People as assets**: Balance sheets show people on the debit side; HRD shows them as **assets on the credit side**.

HRD helps employees, in a continuous and planned way, to:

1. **Sharpen capabilities**: Build the capabilities needed for present and expected future roles.
2. **Develop general capabilities**: Discover and use their inner potential.
3. **Develop organisational culture**: Build strong superior-subordinate relations, teamwork and collaboration among sub-units.

Need and Scope of HRD

Need

1. **Real assets**: People who are treated well can take the firm to commanding heights ("two plus two could be four or even ten").

2. **Goals need people**: Goals mean nothing unless people translate them into action plans and work wholeheartedly.
3. **Mutual dependence**: Firms need people to survive and grow. People need firms for income, recognition, status and achievement.
4. **Removing obstacles**: HRD reduces the problems faced by both sides and improves people's contribution.
5. **Competition**: Competent, motivated employees are essential for survival, growth and excellence.

Scope: HRD Develops

1. **Individual capabilities**: Each employee as a person.
2. **Present and future role capabilities**: Skills for the current job and expected future roles.
3. **Dyadic relationship**: The bond between the employee and the employer/superior.
4. **Team spirit**: Functioning of every organisational unit.
5. **Inter-unit collaboration**: Cooperation among different units.
6. **Organisational health**: Overall health and **self-renewing capabilities**.

HRD at Macro and Micro Level

Basis	Macro HRD	Micro HRD
Focus	Nation's well-being	Organisation's development
Concern	Health, skills, attitudes of people	Grass-root development in firms
Use	Base for economic planning	Manpower planning, training, appraisal, OD
Popularity	Not yet popular	Well received by managements

Personnel Function vs HRD

Basis	Personnel Function	HRD
Nature	Service-oriented, reactive	Productive, proactive
Scope	People only	Whole organisation
Focus	Maintenance factors (wages, procedures)	Motivating factors (job enrichment, creativity, trust)
Responsibility	Personnel department	All managers
Cause of performance	Morale and job satisfaction	Job challenges, creativity, development

HRD Matrix

HRD Instruments → HRD Processes → HRD Outcomes → Organisational Effectiveness

1. **Instruments**: Appraisal, counselling, role analysis, training, job rotation, rewards and job enrichment. They vary with firm size, environment and top management support.
2. **Processes**: Role clarity, performance planning, development climate, risk-taking and dynamism.
3. **Outcomes**: Competent, satisfied and committed people who give their best.
4. **Organisational effectiveness**: Also depends on environment, technology and competitors.

- **Use**: The matrix is used to diagnose and plan HRD by deciding which instruments are needed to produce the desired outcomes.

HRD Climate

- **Meaning**: The overall feeling conveyed by the physical layout, employee interaction and dealings with outsiders. A dynamic firm needs dynamic, pro-active people.

Components

1. **Organisational structure**: A "snapshot" of the work process. Clear roles show who is responsible for what.
2. **Organisational culture**: The pattern of beliefs, attitudes and customs. It can be supportive or unsupportive, and it should align behaviours with desired results.

3. **HRD processes**: Clear, impartial HR care from **joining to leaving** that builds belongingness.

Importance

1. **Anticipation**: Gives time to anticipate opportunities and plan responses.
2. **Drives strategy**: Climate factors are prime influences on change in HR strategy.
3. **Early warning**: Helps prevent threats or turn them into opportunities.
4. **Latest practices**: Allows entry of national and international HR developments.
5. **Alignment**: Matches organisational strengths with environmental change.

HRD Practices in Indian Organisations

- **Private sector**: Follows a **traditional philosophy** based mainly on economic motivation.
- **Public sector**: Professes a **modern philosophy**, but surveys show a **blurred picture**.
- **"Dual world"**: Managers talk "empowerment" but hoard power, and claim "reengineering" while only firing a few weak workers.
- **British legacy**: Indian managers inherited a style of **emotional aloofness plus high control**.
- **Determinants**: Economic and cultural traditions shape managerial philosophy.
- **Way forward**: People want **care and respect**; firms want **commitment and integrity**. Modern HR practices combine the two.

Employees are the New Corporate Heroes

- **Talent pool**: The most valuable resource and primary source of **competitive advantage**.
- **Human capital**: The collective knowledge, skills, abilities and attitudes of the workforce. It **cannot be imitated** by competitors.
- **Fair climate**: Fairness, equity and autonomy produce outstanding results ("one plus one could be two hundred"), for example Indica, Nano and Scorpio.
- **Bridge gaps**: Close competency gaps through training, and keep HR policies in sync with business plans.

HRD and the LPG Era

- **Global competition**: Firms now compete in an integrated global market.
- **New mantra**: Best quality, at amazing speed, at an affordable price.
- **Actions required**: Adopt the latest technology, hire the best talent, outsource, use flat structures, innovate, train employees and align HR with strategy.
- **Aim**: Build organisational capabilities, raise employee satisfaction and give customers value for money.

HRD Scorecard (T.V. Rao)

- **Purpose**: Measures HRD maturity on a **10-point scale** (10 = highest, 5 = moderate, 1 = least). The rating is done by **trained assessors**.
- **Assumption**: Competent, motivated employees deliver quality at affordable prices.

1. **HRD systems maturity**: HR planning, performance management, potential appraisal, coaching, training, career development, OD and HRIS.
2. **HRD competence**: HRD skills and attitudes of top management, line managers, supervisors, union leaders and employees.
3. **HRD culture**: Employee values and styles, measured by questionnaires.
4. **Business linkage**: Alignment with goals such as business excellence, customer satisfaction, quality, technology adoption and cost effectiveness.

Quality of Work Life (QWL)

- **Need**: Employers used workers' labour but **not their ideas**, so responsibility, teamwork and productivity suffered. A new generation of workers also brought new expectations.
- **Benefits**: Higher productivity, less stress, better communication and less resistance to change. Benefits are similar to those of OD.
- **HR role**: Initiates and directs QWL efforts and **wins key managers' support**. Top management support is an almost universal prerequisite.

Walton's Eight Criteria

1. **Adequate and fair compensation**
2. **Safe and healthy working conditions**
3. **Opportunity to use and develop human capital**

4. **Opportunity for career growth**
5. **Social integration**
6. **Constitutionalism** in the work organisation
7. **Work-life balance**
8. **Social relevance of work**

QWL through Employee Involvement (EI)

- **Meaning**: Systematic methods that let employees participate in decisions affecting them. This gives them a sense of **ownership**.
- **Culture**: EI must become part of the organisation's culture and management philosophy.
- **Traditional EI methods**: Attitude survey feedback, suggestion systems, HR communication, profit sharing, gain sharing and appraisal interviews.

Approaches to QWL and EI

1. Quality Circles

- **Origin**: Japan, early 1960s, helped by **Deming and Juran**, to remove the "poor quality" image of "Made in Japan".
- **Unique features**: Voluntary membership, in-house training (one day in problem solving), and the group selects its own problems.

Training → Weekly 1-hour meeting → Brainstorm problems → Select one → Collect and analyse data → Find cause → Develop solution → Management decision

- **Management's duty**: Give timely authorisation, or explain why the idea is rejected.
- **Why circles disband**: Autocratic supervisors, or repeated arbitrary rejection by top management.
- **Facilitator**: A line manager or HR specialist trained for five days by the **Quality Circles Forum of India**. Reports to a **steering committee**.

2. Socio-technical Systems

- **Meaning**: Restructure work, work groups and the worker-technology relationship. Change can be more radical than job enrichment.
- **Ergonomics**: Fits the physical demands of the job to workers' physical attributes, reducing strain and boredom.

3. Autonomous Work Groups

- **Meaning**: Teams **without a company-appointed leader**.
- **Decisions**: The team decides work assignments, job rotation, orientation, training and schedules.
- **Future trend**: An educated workforce will demand more challenge and autonomy.

4. Suggestion Systems

Employee idea → Discuss with supervisor → Complete form → Supervisor sign-off → Acknowledgement → Evaluation → Decision → Communication → Recognition and award → Savings to employer

Socio-technical System vs Suggestion System

Basis	Socio-technical System	Suggestion System
Meaning	Restructures work, groups, technology	Formal method to collect employee ideas
Nature	Structural, may be radical	Idea-based, gradual
Source	Management-led redesign	Individual employees
Focus	Worker-technology fit, ergonomics	Generate, evaluate, implement ideas
Reward	Better QWL, less strain	Recognition and award

Barriers and Success Factors

- **Barriers**:

    - Employees and unions suspect the programme benefits only management.
    - Managers stick to traditional methods.
    - Unions do not want to give up "proven" roles.
    - The HR department lacks resources or clout.
- **How to overcome**: Explain the need for change, offer job security and ensure **broad participation** of managers, union officials and affected employees.
- **Success factors**: **Top management commitment** and a **long-term perspective**.

Employee Empowerment

- **Meaning**: Valuing people and trusting them to act and decide. People who are trusted almost always perform well.
- **Authoritarian control**: It may work in some situations, but it **smothers human potential**.
- **Leadership**: Empowerment does not happen on its own; the manager must lead people through it.
- **Attitude**: It suits managers who believe people can do more than they do now.
- **Caution**: Be clear about what empowerment means to you and what you want to achieve.

Career Planning

- **Individual importance**: Driven by the growth of knowledge, education facilities and job opportunities.
- **Organisational importance**: Driven by changes in technology, needs and values, and by growth in size and complexity.

Term	Meaning
Career	All jobs held during one's working life
Career goals	Future positions one strives to reach
Career planning	Selecting career goals and the path to them
Career development	Personal improvements made to achieve a career plan
Career management	Organisation's plans to meet employee needs and career goals

- **Douglas T. Hall**: A career is "an individually perceived sequence of attitudes and behaviours associated with work related experiences" over a person's life.

Career Counselling

- **Counsellor's role**: Listens, gives job information and administers aptitude and skills tests.
- **Self-assessment**: The career plan should fit the life plan. An honest **self-inventory** is matched with HR career information.
- **Environmental assessment**: Consider technological change. For example, Linotype operator jobs are disappearing due to computers.
- **Problems**:
    - Career counselling is a sensitive issue.
    - Employees may feel unfairly treated when told they need more skills.
    - Employees may resist extra training.
    - Employees may wrongly assume someone else owns their career.

Career Development

Individual Career Development

1. **Job performance**: The most important factor in career progress.
2. **Mentors and sponsors**: A mentor guides; a sponsor nominates the employee for promotions.
3. **Exposure**: Becoming known to decision makers.
4. **Key subordinates**: Developing capable juniors.
5. **Organisational loyalty**: Many put career loyalty first. Loyalty reduces turnover.
6. **Growth opportunities**: Training, degrees and new assignments that build internal replacements.

HR-Supported Career Development

- **Why HR support is needed**: Individual efforts alone may not serve the firm, since employees may leave or miss opportunities.

- **Key goal**: Build an **internal talent pool**.
- **Other gains**: Identifies training needs and improves loyalty, motivation, profits and QWL.
- **Management support**: **Top management commitment** is crucial.
- **Feedback**: On job placement decisions (tell unsuccessful candidates why) and on **job performance** (the most important feedback).

Benefits of Career Planning and Development

1. **Knowledge of opportunities**: The individual learns options and priorities, and chooses a suitable career.
2. **Internal promotion**: The firm identifies employees who can be promoted.
3. **Morale**: Promotions and transfers raise morale and satisfaction.
4. **Loyalty**: Employees feel a sense of belonging and commitment.
5. **Lower turnover**: Employees wait for promotion instead of leaving.
6. **Growth and esteem**: Potential is tapped and esteem needs are satisfied.

Career Problems and Solutions

- **Dual-career families**: Transfers become complicated.
- **Low-ceiling careers**: Little scope for advancement.
- **Declining opportunities**: Caused by technological or economic change, for example statisticians after computerisation. The remedy is a **career shift**.

By Employees	By Organisation
Spread career information	Better HR planning and forecasting
Discover own talents and motives	Career counselling
Easier career switching	Internal and external assessment centres
Educational facilities	Support for education and training; flexible rewards

Knowledge Management (KM)

- **Meaning**: An emerging, **interdisciplinary business model** drawing on economics, psychology and information management.
- **Value**: The **ultimate competitive advantage** and the fuel for innovation.
- **Three overlapping factors**: **People, organisational process, technology**.
- **Premise**: The **"sticky" nature of knowledge**.
- **Goal**: An integrated system linking human expertise and documents to capture, distribute and share knowledge.
- **Why now**: Information-based work, competitive advantage, lifelong learning, innovation, shorter product life cycles and diversification.

Cross-disciplinary Domain

- **Draws on**: Cognitive science, AI and expert systems, groupware (Lotus Notes in Europe), library science, technical writing and document management.
- **Also draws on**: Decision support systems (Daniel J. Power), semantic networks, databases, simulation (Karl-Erik Sveiby) and organisational science.
- **Different views**: The **USA** sees KM as an IT process; **Europe** as managing intellectual capital; **Japan** as developing knowledge workers.

Strategic Levers

1. **Customer knowledge**: The most vital lever; it reveals unmet needs.
2. **Knowledge in people**: Built through learning organisations.
3. **Knowledge in products**: "Smart" products command premium prices.
4. **Knowledge in processes**: Expert knowledge embedded in workflow.
5. **Organisational memory**: Databases and intranets.
6. **Knowledge in relationships**: With customers, suppliers and partners.
7. **Knowledge assets**: Human, organisational and customer assets, and intellectual property (patents, copyright, trademarks).

Difficulties and Conditions for Success

- **Protect knowledge**: Management must create, innovate, monitor and protect its knowledge inventory.
- **Knowledge core**: About **20% of knowledgeable staff run 80% of daily business**. HR must preserve this core to avoid brain drain.
- **Sustain advantage**: Tap and share tacit knowledge, focus on innovation, and stress organisational learning and systems thinking.
- **Biggest difficulty**: **Sharing knowledge is unnatural**, because knowledge adds value to one's own career.
- **Good KM system (6 attributes)**: Learning capacity, improves with use, knows what you want, two-way communication, recalls past actions, real-time unique configuration.
- **Culture**: Success needs a culture of communication and connection, building a knowledge "community".

Types of Knowledge

- **Explicit**: Documented and recorded.
- **Implicit**: Not yet documented, but can be articulated.
- **Tacit**: In people's heads, from experience.

Term	Meaning
Data	Facts out of context; no direct meaning
Information	Data in an interpretive context; has meaning
Knowledge	Structured, relevant, actionable information based on experience

Basis	Explicit Knowledge	Tacit Knowledge
Nature	Formally articulated or encoded	Knowledge-in-practice
Source	Abstract, removed from experience	Direct experience and action
Transfer	Easily shared	Through conversation and shared experience
Awareness	Conscious	Sub-conscious, hard to articulate

Tacit Knowledge in Innovation

- **Problem solving**: Experts apply experience-based patterns to find solutions quickly.
- **Problem finding**: Rejecting the "obvious" answer and asking a different question leads to radical innovation.

Mentoring

- **Analogy**: A mentor is to a mentee what Chanakya was to Chandragupta Maurya, or Krishna to Arjuna.
- **Meaning**: A senior manager acts as **friend, philosopher and guide** to a new entrant (protégé or mentee).
- **Role**: Training gives knowledge and skills; mentoring adds personal guidance on how to operate in that company. It also smooths cultural diversity.
- **SmithKline Beecham (since 1996)**: Trained senior mentors work with trainees for nine months, and the company has lost no trainees. **Buddies** were added from 1997.
- **Sponsor role**: A mentor can nominate the mentee for training and acts as a **sponsor** for transfers and promotions.

Benefits

1. **Identifies** skills, interests and aspirations.
2. **Instructs** in job-critical skills.
3. **Explains** unwritten rules and how to avoid gaffes.
4. **Answers questions** and gives insights.
5. **Supports** emotionally.
6. **Serves as a role model**.

Limitations

1. **Helps mainly the deficient**: It mostly helps people with weaknesses.

2. **Slows high performers**: They may see it as a lag, not a booster.
3. **Mentoring gone bad**: Creates adverse relationships.
4. **Gaps**: Generation, communication and culture gaps arise, and the mentor's seniority may inhibit the mentee.

Reverse Mentoring

- **Meaning**: A **younger, junior executive helps a senior manager** learn about IT, young mindsets, new business concepts and out-of-the-box thinking. Expertise flows **upward**.

Basis	Traditional Mentoring	Reverse Mentoring
Mentor	Senior manager	Junior executive
Mentee	New entrant	Senior executive
Knowledge flow	Downward	Upward
Content	Culture, career guidance	Technology, new trends

- **Benefits**:
  - Better decisions; it works as a **Decision Support System** and builds closer bonds with juniors.
  - Seniors learn new areas such as computers and technology.
  - It is a natural evolution of learning in the digital age.
  - Seniors gain new skills, performance and motivation.
- **Steps**: Structured programme with goals and ground rules → Make it a priority (block time) → Mentor shows patience → Mentee checks his ego → Correct through participant surveys.
- **Good mentors**: Listen, challenge, teach by example, introduce new technologies, are patient and give restricted advice.
- **Good mentees**: Listen, act on advice, show commitment, ask for feedback, are open-minded, willing to change and pro-active.
- **Limitations**:
  - Seniors' ego problems.
  - Rarely formalised in organisations.
  - Programmes wither without clear goals.
  - If mishandled, it can ruin discipline.

2-MARK QUESTIONS

Q1. What is Human Resource Development (HRD)?

HRD is a planned way of developing individual employees, groups and the total organisation to achieve organisational goals in an atmosphere of mutual trust and cooperation. It helps people acquire competencies for present and future roles.

Q2. What is the macro level scope of HRD?

Macro HRD develops the health, skills, knowledge, attitudes and aspirations of people for the nation's well-being. It gives a concrete base for economic planning, but it has not yet become popular.

Q3. When would you use an HRD Matrix?

The HRD Matrix links HRD instruments, processes, outcomes and organisational effectiveness. It is used to diagnose and plan HRD, that is, to decide which instruments will produce the desired processes and outcomes.

Q4. Name the components of HRD climate.

The three components are organisational structure, organisational culture and HRD processes. HRD processes care for employees from joining to leaving.

Q5. What is the HRD Scorecard?

Introduced in India by T.V. Rao, it measures HRD maturity on a 10-point scale. Its four dimensions are HRD systems maturity, HRD competence, HRD culture and business linkage.

Q6. What is Quality of Work Life?

QWL refers to systematic efforts to give workers greater opportunity to affect their jobs and their contribution to organisational effectiveness. It improves motivation and communication, and reduces stress and resistance to change.

Q7. List Walton's criteria of QWL.

Walton's eight criteria are fair compensation, safe and healthy conditions, use and development of human capital, career growth, social integration, constitutionalism, work-life balance and social relevance of work.

Q8. What are quality circles?

Quality circles are small voluntary groups that meet regularly (usually one hour a week) with their common leader to identify and solve work-related problems. They began in Japan in the early 1960s with help from Deming and Juran.

Q9. Differentiate between socio-technical system and suggestion system.

A socio-technical system restructures work, work groups and the worker-technology relationship, for example through ergonomics. A suggestion system is a formal method of generating, evaluating and implementing employees' ideas, with recognition and awards.

Q10. Define career and career planning.

Flippo defines a career as "a sequence of separate but related work activities that provide continuity, order and meaning in a person's life". Career planning is the process of selecting career goals and the path to them.

Q11. What are the different types of knowledge?

Knowledge is explicit (documented and easily shared), implicit (not yet documented but can be articulated) or tacit (in people's heads, from experience, and hard to articulate).

Q12. What is reverse mentoring?

In reverse mentoring, a younger or junior executive helps a senior manager learn IT, new business concepts and the mindset of the young generation. Expertise flows upward instead of downward.

LONG QUESTIONS (6 Marks)

Q1. Why is HRD needed in modern organisations? Explain its scope.

Introduction: HRD is a planned way of developing individual employees, groups and the total organisation to achieve organisational goals in an atmosphere of mutual trust and cooperation. It treats people as assets.

1. **People are real assets**: The skills and knowledge of employees cannot be imitated by competitors. Well-treated people take firms to commanding heights.
2. **Goals into action**: Goals have meaning only when people understand them, make action plans and work wholeheartedly.
3. **Mutual dependence**: Firms need people to survive and grow, and people need firms for income, status and growth. HRD reduces obstacles on both sides.
4. **Competition (LPG era)**: Global markets demand top quality at speed and low cost, which only competent, motivated people can deliver.
5. **Proactive approach**: Unlike the reactive personnel function, HRD anticipates future needs and prepares people for them.
6. **Scope at the individual level**: HRD develops each employee's capabilities as an individual and for present and future roles.
7. **Scope at the group level**: It develops the employee-superior dyad, team spirit and inter-unit collaboration.
8. **Scope at the organisational level**: It builds overall organisational health and self-renewing capability.

Individual → Dyad → Team → Inter-unit collaboration → Whole organisation

Conclusion: HRD is needed for organisations to survive and flourish in a competitive world. It builds competence, commitment and a healthy culture.

Q2. Analyse the importance of HRD at the micro and macro levels. (HRD is needed at national as well as organisational level. Examine.)

Introduction: HRD develops the competencies of people to meet present and future challenges. It applies at both the national (macro) and institutional (micro) levels.

1. **Macro meaning**: Macro HRD develops the health, capabilities, skills and attitudes of people for national development.
2. **Base for planning**: It studies people's potential, attitudes, aspirations and skills, giving a concrete base for economic planning and national income.
3. **Limited popularity**: Its contribution at the macro level has not yet gained popularity.
4. **Micro meaning**: Micro HRD is concerned with grass-root development in organisations, and managements have welcomed it.
5. **Micro activities**: It covers manpower planning, selection, training, appraisal, potential appraisal, compensation and organisational development.
6. **New capabilities**: It equips people to meet present job challenges and future requirements.
7. **Motivating focus**: It stresses job enrichment, autonomous groups, creativity and trust, rather than only wages and procedures.
8. **Link between levels**: Developed employees add up to national human capital. National education and health in turn supply better people to firms.

Basis	Macro HRD	Micro HRD
Unit	Nation	Organisation
Aim	National well-being	Organisational goals
Tools	Health, education, planning	Training, appraisal, OD

Conclusion: Both levels are necessary. Micro HRD makes firms competitive, while macro HRD builds the national talent on which firms depend.

Q3. Discuss HRD practices in Indian organisations. Explain the HRD Scorecard.

Introduction: HRD practices are the systems through which firms develop people's competencies and commitment. Studies show Indian organisations moving slowly from a traditional to a modern management philosophy.

1. **Private sector**: Follows a traditional philosophy based mainly on economic motivation.
2. **Public sector**: Professes a modern philosophy, but surveys show a blurred picture. Managers live in a "dual world", talking empowerment while hoarding power.
3. **British legacy**: Indian managers inherited emotional aloofness and high control of subordinates.
4. **Employees as corporate heroes**: The talent pool is now seen as the main source of competitive advantage. Indica, Nano and Scorpio show what committed people achieve.
5. **LPG era pressures**: Firms must adopt new technology, hire the best talent, train continuously and align HR with strategy.
6. **HRD Scorecard (T.V. Rao)**: Trained assessors rate HRD maturity on a 10-point scale across four blocks:
   - HRD systems maturity
   - HRD competence
   - HRD culture
   - Business linkage
7. **HRD tools in use**: Training, appraisal, career planning, QWL, quality circles and mentoring, for example at SmithKline Beecham.
8. **Way forward**: People want care and respect; firms want commitment and integrity. Modern HR practices combine both.

Conclusion: Indian firms are shifting from control-based management to people-centred HRD. The HRD Scorecard helps measure this progress.

Q4. What is reverse mentoring? Discuss its benefits and limitations.

Introduction: Reverse mentoring is the concept of a senior person learning new and latest concepts from a fairly young and junior person. While traditional mentoring passes knowledge downward, reverse mentoring feeds expertise upward.

1. **Meaning and scope**: A junior executive helps a senior manager understand computers, changing IT, young mindsets, new business concepts and out-of-the-box thinking.
2. **Better decisions**: It brings inputs on employee feelings, industry developments and best practices, so it serves as a Decision Support System.
3. **Learning and performance**: Seniors learn new skills, which boosts their performance and motivation. It is a natural evolution of learning in the digital age.
4. **Closer relationships**: It builds tightly knit bonds between seniors and juniors.
5. **Steps for success**: A structured programme with goals and ground rules, blocked time, patient mentors, ego-free mentees and correction through surveys.
6. **Essential qualities**: Mentors should listen, teach by example and give restricted advice. Mentees should be open-minded, act on advice and be willing to change.
7. **Limitation: ego and formality**: Seniors may dislike advice from juniors, and little formal reverse mentoring exists in organisations.
8. **Limitation: goals and discipline**: Programmes wither without clear goals, and if mishandled they can ruin the work atmosphere and discipline.

Basis	Mentoring	Reverse Mentoring
Mentor	Senior	Junior
Flow	Downward	Upward
Focus	Culture, career	Technology, new trends

Conclusion: Reverse mentoring keeps leaders in touch with today's workplace. However, it must be used judiciously, with clear goals.

Unit 10: Industrial Relations and Trade Unions

Unit at a Glance

- **Industrial relations (IR)** is the relationship between employer and workmen. It involves unions, employers' organisations and the State.
- The industrial system evolved in six stages. IR theories are **political** or **apolitical** (Jerome Joseph); **Dunlop's systems model** is the main one.
- A **trade union** is a continuing association of workers that uses collective action. It benefits labour, employers and society, but Indian unions are weak and political.
- An **industrial dispute** is defined in the ID Act, 1947, Sec. 2(k). It must satisfy certain essentials before it counts as a dispute.
- Disputes are handled by **preventive machinery** (ILC, SLC, committees, JMC) and **settlement machinery** (conciliation, arbitration, adjudication).

Key Definitions

- **Industrial Relations (V. Agnihotri)**: "The relationship between employees and management which stem directly or indirectly from union-employer relationship."
- **Industrial Relations (ILO)**: "Deal with either the relationship between the state and employers' organisations or the relations between the occupational organisations themselves."
- **Trade Union (British Ministry of Labour)**: "All organisations of employees ... which are known to include among their functions that of negotiating with employers with the object of regulating conditions of employment."
- **Trade Union (Dale Yoder)**: "A continuous and long duration workers' organisation meant for attainment of specific objectives to protect the interest of its members and for the improvement of labour relations."
- **Trade Union (V.V. Giri)**: "A voluntary organisation of workers formed to promote and protect their interests by collective action."
- **Industrial Dispute (ID Act, 1947, Sec. 2(k))**: "Any dispute or difference between employers and employers, or between employers and workmen, or between workmen and workmen, which is connected with the employment or non-employment or the terms of employment or with the conditions of labour of any person."
- **Collective Bargaining**: The terms of employment are governed by agreements between workers' bargaining agents and employers.
- **Lock-out**: The employer closes an undertaking, suspends work or refuses to continue employing workers. The place of business is closed, but the business itself continues.
- **Conciliation**: A neutral third party helps the disputing parties narrow their differences and reach an amicable settlement.
- **Adjudication**: A third party appointed by the government intervenes to decide the final settlement of a dispute.

Core Notes

Meaning of Industrial Relations

- **Industry**: any organisation in which an individual is engaged.
- **Relations**: the relations between the employer and his workmen in the industry.
- **Outcome of employment**: IR arises from the employment relationship in an industrial unit.
- **Approach**: compromise and accommodation instead of conflict.
- **Basic objective**: sound employer–employee relations, leading to industrial peace and higher productivity.
- **Need**: openness, trust and collaboration. Poor relations cause discontent and sudden conflicts.

Evolution of the Industrial System (Stages)

Labour management became an issue only when mass production brought large numbers of people under one roof.

1. **Primitive**: simple life based on hunting and fishing. There was no saving or exchange, and the family elder held authority.

2. **Agrarian**: propertied and propertyless classes appeared. The relationship was master–slave, and the government had no role.
3. **Serfdom**: in feudal society, serfs were little better than slaves. Their duties were fixed as quantities of produce owed to masters.
4. **Handicraft**: craftsmen owned their own tools. **Craft guilds** fixed wages, prices and quality, and paid death, disability and unemployment benefits.
5. **Cottage/putting-out**: traders supplied raw material and finance to craftsmen working at home.
6. **Factory/industrial capitalism**: power-driven machines replaced labour, leading to the **Industrial Revolution**.

Features of the factory system:

- women and child labour;
- deplorable living conditions and poor housing;
- impersonal relations and strict discipline;
- economic dependence of workers on employers;
- wages set by supply and demand;
- profit as the sole aim, with the human element lost.

Primitive → Agrarian → Serfdom → Handicraft → Cottage/Putting-out → Factory Capitalism

Theories of Industrial Relations

Jerome Joseph classifies IR theories as **political** or **apolitical**.

Basis	Political	Apolitical
Level	Macro social questions	Micro organisational (strategic, functional, operational)
Issues	Class conflict, exploitation, ownership, political power	Procedural laws and rules for unions
Focus	Rights of the working class	Productivity, competitive advantage, technology

Main theories:

- Marxian (Marx and Engels, Lenin, Trotsky, Michels, Hyman);
- Pluralist (Flanders, Clegg and Fox);
- Weber's social action theory;
- Miller and Form's model;
- Dunlop's model.

Approaches to study IR: psychological, sociological, human relations, Giri's and Gandhian.

Dunlop's Systems Model

- **Actors**: workers and their organisations, managers and their organisations, and government agencies.
- **Environment (3 contexts)**: technology, market or budgetary constraints, and the power relations and status of the actors.
- **Output**: a web of **rules**, such as agreements, statutes, awards, policies and customs.
- **Evidence**: rules in coal mining compared across 8 countries and in building across 9 countries. Similar rules exist despite different political systems, because of common technology and markets and migration of workers.
- **India**: IR is a subsystem of society, influenced by the ILO and global factors. Government, business and labour interact to produce labour laws, voluntary codes and collective bargaining.

Actors → Environment (Technology, Market, Power) → Web of Rules

Determinants of Industrial Relations

IR is **multi-dimensional** and needs an inter-disciplinary study. Four sets of factors determine it:

1. **Institutional**: state policy, labour laws, voluntary codes, collective agreements, unions and employers' organisations.

2. **Economic**: type of economic organisation (socialist, capitalist, government ownership), inflation, recession or expansion.
3. **Technological**: production techniques, modernisation and rationalisation. Labour- and capital-intensive industries conflict, and India has a **mixed economy**.
4. **Socio-political**: the status of labour and employer and their nearness to power.

- **Tripartism** has grown in India, and the government plays an **interventionist** role.
- **External factors** such as the ILO and global ideologies also influence IR.
- **Bargaining zone**: the area within which union and employer are willing to concede.

Objectives of Industrial Relations

1. **Economic improvement** of workers.
2. **State control** of industries to regulate production and IR.
3. **Socialisation or nationalisation**, with the State as employer.
4. **Workers' ownership** of industries.

Scope and Aspects of Industrial Relations

Scope:

1. **Labour relations**: union–management.
2. **Employer–employee relations**: management and employees.
3. **Group relations**: among groups of workmen.
4. **Community relations**: industry and society.

The last two are usually studied under sociology.

Aspects:

- healthy labour–management relations;
- industrial peace (avoiding strife);
- industrial democracy.

Requirements for healthy relations:

1. **Strong unions and employers' associations** that are democratic and responsible, providing a base for negotiation.
2. **Collective bargaining and voluntary arbitration**, which give equality of status, trust and goodwill.
3. **Welfare work**, statutory or non-statutory, by the State, unions and employers.

Collective Bargaining

- **Meaning**: management and worker representatives negotiate wages, hours and other terms of employment.
- **Aim**: an acceptable contract reached **voluntarily** through negotiation.
- **Nature**: a **continuous** process (not a one-shot deal) and **bipartite**. It was traditionally adversarial but is now increasingly based on mutual trust.
- **India**: it has made little headway compared with other industrialised nations.
- **Negotiation**: the parties modify their demands to reach agreement.

Trade Unions: Meaning

- **Meaning**: a formal association of workers protecting their mutual interests through collective action.
- **Law**: the Trade Unions Act, 1926.
- **First union**: the Bombay Mill Hands Association, 1890.
- **Size (per book)**: more than 43,000 registered unions, 10 central organisations and over 60 lakh members of central unions.
- **Employers' association**: a formal group that defends, represents and advises affiliated employers.

Nature and Characteristics of Trade Unions

1. **Continuing association**: long-term, not casual.
2. **Membership**: employees or independent workers.
3. **Cooperative labour marketing association**: secures economic (and social, political and cultural) benefits.
4. **Collective action**: through bargaining and negotiation. Generally, the larger the union movement, the greater its power.

Objectives, Functions and Role of Trade Unions

1. **Improve conditions**: working and living conditions.
2. **Fair wages**.
3. **Security of tenure** and better service conditions.
4. **Promotion and training** opportunities.
5. **Productivity cooperation**: help improve production, discipline and quality.
6. **Identity of interests** between workers and industry.
7. **Technological advance**: help workers understand the issues behind it.
8. **Welfare**: educational, cultural and recreational facilities.
9. **Responsibility**: towards industry and community.
10. **Social and political role**: national integration and influencing socio-economic policy.

Type	Examples
Protective	Fair wages, job security, bargaining
Fraternal	Welfare, education, recreation
Social/political	National integration, policy influence

Advantages and Importance of Trade Unions

To Labour	To Employers	To Society/Country
Less exploitation, unity	Avoid conflict via bargaining	Present labour's problems to nation
Overall development	Pacify disputes	Help frame labour laws and policy
Participation in management	Unity, cooperation, fraternity	Promote productivity
Efficiency, economic and entertainment facilities	Trained, effective workforce	Strong unions prevent disputes

Weaknesses of Trade Unions

1. **Small size**: unions cannot afford experts.
2. **Political control**: unions become centres of political activity rather than welfare.
3. **Weak finance and bargaining power**.
4. **Government policy**: the government encourages weak, dependent unions, and its labour policies are unrealistic.
5. **Moral idealism** about goals, which has slowed voluntary growth.
6. **Rivalry** and the political involvement of leaders.
7. **Urban concentration** in metropolitan centres.

Causes of Slow Progress of Trade Unions in India (National Commission on Labour)

Cause	NCL Recommendation
Rivalries	Central bodies settle rivalry; **one union, one industry**
Political influence	**Internal leadership**; workers' education
Registration	Cancel if membership is below minimum or returns are not filed
Financial crunch	Membership fee **Re 1 per month**

Weaknesses of the Trade Union Movement in India

1. **Urban concentration**: unions are concentrated in large-industry metropolitan centres.
2. **Loose organisation**: casteism, regionalism and linguism cause intra-union rivalry.
3. **Highly political**: this weakens the movement.

4. **Small membership and failed strikes**: these make unions unproductive and redundant.
5. **Hostile employers**: they victimise leaders, promote rival unions, bribe officials and exploit communal factors.

Industrial Conflict and Industrial Dispute

- **Conflict**: an organised, militant protest against conditions of employment. It becomes a **dispute** when it takes specific dimensions. Other names are labour dispute and trade dispute.
- **Forms**: strikes, lock-outs, gheraos, picketing and boycott. A strike in support of workers in other industries is a **sympathetic strike**.
- **Causes**: wages and allowances, bonus, recognition, retrenchment, indiscipline, ill-treatment and employment conditions.

Essentials of an Industrial Dispute (Sec. 2(k))

1. **Parties**: employers–employers, employer–workmen, or workmen–workmen.
2. **Subject**: employment, non-employment, terms of employment or conditions of labour.
3. **Wage limit**: the workman draws wages of no more than Rs. 1,600 per month (as per book).
4. **Relationship**: an existing contractual employer–workman relationship. Piece-rate payment still counts.
5. **Collective will**: a substantial number of workmen take up the cause. The demand must be raised with management and rejected, and the employer must be able to redress it.

Grievance → Conflict → Industrial Dispute → Preventive Machinery → Settlement Machinery

Dispute Resolution: Preventive Machinery

- **Whitley Commission (1931)**: recommended ILO-pattern tripartite consultation. It was not implemented until the Second World War.
- **Fourth Labour Conference (August 1942)**: set up the **Indian Labour Conference (ILC)** and the **Standing Labour Committee (SLC)**.
- **Representation**:
  - equality between government and non-government members;
  - parity between employers and workers;
  - nominees chosen by their own organisations;
  - ad hoc government nominations.
- **ILC**: advises the Government of India on referred matters and meets **once a year**. It follows ILO guidelines: flexible procedures, no voting and circulated records.
- **SLC**: examines questions referred by the Conference or government and meets **as and when necessary**. The Labour Ministry fixes the agenda.
- **Committee on Conventions (1954)**: a three-member tripartite body. It examines ILO conventions not yet ratified and suggests phased implementation.
- **Industrial Committees**: discuss proposed labour legislation before it reaches the legislature.
- **Works Committees**: statutory bipartite bodies in units with **100 or more workers**. They prevent and settle disputes at unit level and are the most effective institution of industrial democracy.
- **Joint Management Councils**: give workers a sense of participation and cooperation, align private firms with national interest, and supervise nationalised undertakings.

Dispute Resolution: Settlement Machinery

Negotiation → Conciliation → Arbitration → Adjudication

Conciliation

- **Meaning**: a neutral conciliator guides discussion and persuades the parties. He does not impose a decision.
- **Voluntary conciliation**: both parties refer the dispute by choice and are free to reject the result.
- **Compulsory conciliation**: attendance is compelled, and strikes or lockouts are banned without prior conciliation.

Arbitration

- **Meaning**: an impartial arbitrator (chosen by the parties or appointed under statute) hears the case and gives an **award**, usually binding.

- **Voluntary arbitration**: the parties agree to submit the dispute (a "voluntary reference"). Elements:
  - voluntary submission;
  - witnesses and investigation;
  - the award is not legally compulsory but is generally accepted;
  - suited to disputes arising under agreements.
- **Compulsory arbitration**: an aggrieved party applies to the government for reference (an "involuntary reference"). It leaves **no scope for strikes or lockouts**.
- **Merits**: the parties' own machinery gives greater faith, and it is flexible.
- **Evils**: loss of the right to strike, and arbitrary awards because arbitrators may lack technical and economic knowledge.

Adjudication

- **Meaning**: the **ultimate legal remedy**. The government refers the dispute to a third party it appoints, after a conciliation failure report.
- **Rationale**: a developing economy cannot afford long strikes, and unions are not mature enough to rely only on bargaining.
- **Voluntary adjudication**: both parties agree, and the government must refer.
- **Compulsory adjudication**: the government refers without the parties' consent.

Basis	Conciliation	Arbitration	Adjudication
Third party	Neutral conciliator	Arbitrator (parties/statute)	Govt-appointed authority
Role	Persuades	Gives award	Final legal decision
Binding	No	Usually	Yes
Initiative	Parties/law	Mostly parties	Government

2-MARK QUESTIONS

Q1. What is meant by industrial relations?

According to V. Agnihotri, IR is the relationship between employees and management that stems directly or indirectly from the union–employer relationship. It aims at sound relations, industrial peace and higher productivity.

Q2. What are political and apolitical theories of IR?

Jerome Joseph's classification. Political theories deal with macro issues such as class conflict, exploitation and workers' rights. Apolitical theories deal with micro organisational and procedural issues such as productivity and competitive advantage.

Q3. Name the actors and contexts in Dunlop's model.

The actors are workers, managers and government agencies. The contexts are technology, market or budgetary constraints, and power status. Their interaction produces a web of rules.

Q4. State the four determinants of IR.

Institutional factors (laws, unions, codes), economic factors (type of economy, inflation, recession), technological factors (modernisation, rationalisation) and socio-political factors (status and nearness to power).

Q5. Define trade union.

V.V. Giri defines it as "a voluntary organisation of workers formed to promote and protect their interests by collective action." Dale Yoder calls it a continuous, long-duration workers' organisation.

Q6. State any four functions of trade unions.

Securing fair wages, improving working and living conditions, safeguarding security of tenure, and providing educational, cultural and recreational facilities.

Q7. What did the National Commission on Labour recommend for unions?

One union, one industry; internal leadership through workers' education; cancelling the registration of defaulting unions; and raising the membership fee to Re 1 per month.

Q8. Define industrial dispute.

Under Sec. 2(k) of the ID Act, 1947, it is any dispute between employers and employers, employers and workmen, or workmen and workmen. It must be connected with employment, non-employment, terms of employment or conditions of labour.

Q9. Differentiate between strike and lock-out.

A strike is a collective stoppage of work by workers and is labour's weapon. A lock-out is the closing of an undertaking, or refusal to employ workers, by the employer and is the employer's weapon.

Q10. Differentiate between lock-out and closure.

In a lock-out, only the place of business is closed and the business continues. In a closure, the employer shuts the place of business and also suspends all business transactions.

Q11. What is a works committee?

It is a statutory bipartite body of management and workmen's representatives within a unit employing 100 or more workers. It prevents and settles disputes at unit level.

Q12. Differentiate between conciliation and arbitration.

In conciliation, a neutral party only persuades, and the parties may reject the outcome. In arbitration, an impartial arbitrator hears the case and gives an award that is usually binding.

LONG QUESTIONS (6 Marks)

Q1. What is industrial relations? What measures would you suggest to improve labour relations in a firm?

Introduction: Industrial relations is the relationship between employees and management that stems from the union–employer relationship (V. Agnihotri). Its aim is sound relations, industrial peace and productivity.

1. **Objectives**: improving workers' economic condition, state control, nationalisation and workers' ownership.
2. **Scope**: labour relations, employer–employee relations, group relations and community relations.
3. **Strong unions and employers' associations**: democratic, responsible bodies create a base for negotiation and consultation.
4. **Collective bargaining**: it gives equality of status and settles terms voluntarily in an atmosphere of trust.
5. **Voluntary arbitration**: disputes are settled through the parties' own machinery instead of strikes.
6. **Welfare work**: statutory and non-statutory welfare by the State, unions and employers improves relations.
7. **Participative bodies**: works committees and JMCs give workers a sense of participation.
8. **Openness and trust**: fair grievance handling and no victimisation prevent conflicts.

Strong Unions → Collective Bargaining → Welfare → Participation → Industrial Peace

Conclusion: Good IR needs trust and cooperation among management, unions and government. It results in industrial peace and higher productivity.

Q2. Define trade union. Explain its characteristics, functions and importance.

Introduction: A trade union is "a voluntary organisation of workers formed to promote and protect their interests by collective action" (V.V. Giri). Dale Yoder calls it a continuous, long-duration workers' organisation.

1. **Characteristics**: a continuing association of employees or independent workers that acts as a cooperative labour marketing association.
2. **Protective functions**: fair wages, better working and living conditions and security of tenure.
3. **Development functions**: promotion and training opportunities, and help in accepting technological advance.
4. **Cooperative functions**: improving productivity, discipline and quality, and building identity of interest with the industry.
5. **Fraternal and welfare functions**: educational, cultural and recreational facilities, and collective welfare.
6. **Social and political functions**: national integration and influence on socio-economic policy.
7. **Importance to labour and employers**: labour gains less exploitation, unity, participation and efficiency. Employers gain fewer conflicts and a trained workforce.

8. **Importance to the country**: unions present labour's problems to the nation, help frame labour laws and promote productivity.

Conclusion: Responsible, non-political trade unions protect workers and also benefit employers and the nation.

Q3. Discuss the weaknesses of the trade union movement in India and suggest measures to strengthen it.

Introduction: India's first union was the Bombay Mill Hands Association (1890). Today there are more than 43,000 registered unions, yet the movement remains weak.

1. **Political domination**: political leaders control unions, which become political centres rather than welfare bodies.
2. **Multiplicity and rivalry**: casteism, regionalism and linguism divide workers.
3. **Small size and weak finance**: unions cannot hire experts and have weak bargaining power.
4. **Urban concentration**: unions are confined to metropolitan large-industry centres.
5. **Failed strikes**: small membership and unsuccessful strikes make unions redundant.
6. **Hostile employers and government**: employers victimise leaders and promote rival unions, and the government encourages weak, dependent unions.
7. **NCL remedies for rivalry and politics**: one union, one industry, plus internal leadership built through workers' education.
8. **NCL remedies for registration and finance**: cancel the registration of defaulting unions and raise the membership fee to Re 1 per month.

Problem	Remedy
Rivalry	One union, one industry
Outside politics	Internal leadership
Poor finance	Higher fee

Conclusion: If they become democratic, financially sound and free from politics, unions can play a constructive role amid technological and competitive change.

Q4. What is an industrial dispute? Explain the settlement machinery: conciliation, arbitration and adjudication.

Introduction: Under Sec. 2(k) of the ID Act, 1947, an industrial dispute is any difference between employers and employers, employers and workmen, or workmen and workmen, connected with employment or conditions of labour. Disputes not prevented are settled by third-party machinery.

1. **Conciliation (meaning)**: a neutral conciliator helps the parties reduce their differences and reach an amicable settlement through discussion.
2. **Types of conciliation**: voluntary, where the outcome can be rejected; and compulsory, where attendance is compelled and strikes or lockouts are barred before conciliation.
3. **Arbitration (meaning)**: an impartial arbitrator chosen by the parties or under statute hears the case and gives an award, usually binding.
4. **Voluntary arbitration**: the parties agree to submit the dispute and generally accept the award. It is useful for disputes under agreements.
5. **Compulsory arbitration**: the government refers the dispute on an aggrieved party's application. It leaves no scope for strikes or lockouts.
6. **Merits and evils of arbitration**: it is the parties' own flexible machinery, but it removes the right to strike and awards may be arbitrary.
7. **Adjudication**: the ultimate legal remedy, used after conciliation fails. It is needed because India cannot afford long strikes and unions are immature.
8. **Types of adjudication**: voluntary, where both parties agree and the government must refer; and compulsory, where the government refers without consent.

Dispute → Conciliation → Arbitration → Adjudication → Binding Award

Conclusion: Voluntary methods build better relations. Adjudication should be the last resort.

Unit 11: Employee Grievance and Discipline

Unit at a Glance

- A **grievance** is employee discontent caused by the gap between **employee expectation** and **management practice**. It may be factual, imaginary or disguised.
- Grievances are uncovered through observation, gripe boxes, open door policy, exit interviews and opinion surveys. They are settled through a clear, simple and prompt **grievance procedure**.
- Indian law covers grievances through the **Standing Orders Act 1946**, **Factories Act 1948** and **ID Act 1947**, and the voluntary **Model Grievance Procedure (1958)** supports them.
- **Discipline** means orderliness. It is guided by McGregor's **Red-Hot Stove Rule** and by **progressive** and **positive** discipline. Disciplinary action runs from charge sheet to follow-up, and punishments range from oral warning to dismissal.
- **Empowerment** lets employees take responsibility for their decisions and work. It is different from **delegation**.

Key Definitions

- **Grievance (Beach)**: "Any dissatisfaction or feeling of injustice in connection with one's employment situation that is brought to the management."
- **Grievance (Jucius)**: "Any discontent or dissatisfaction, whether exposed or not, whether valid or not, arising out of anything connected with the company which an employee thinks, believes or even feels to be unfair, unjust or inequitable."
- **Grievance (National Commission on Labour)**: "Complaints affecting one or more individual workers in respect of their wage payments, overtime, leave, transfer, promotion, seniority, work assignment and discharge would constitute grievance."
- **Discipline**: A force that prompts individuals or groups to observe the rules, regulations and procedures necessary for the effective functioning of an organisation.
  - Narrow sense: imposing penalties for wrong behaviour.
  - Broad sense: orderliness and conformance to rules and codes of conduct.
- **Misconduct**: Violation of established rules and norms of behaviour, both formal and informal.
- **Red-Hot Stove Rule (McGregor)**: Discipline should be immediate, consistent and impersonal, and should include a warning.
- **Dismissal**: Termination from employment for any misconduct mentioned in the Industrial Employment (Standing Orders) Act, 1946.
- **Standing Orders**: Service rules and agreed terms of employment certified by an authority under the Standing Orders Act, 1946.
- **Suspension**: The employee is not allowed to work until a departmental enquiry decides further action, which may range from reinstatement to dismissal.
- **Empowerment**: Allowing employees more control over what they do on the job, with power to initiate change.

Core Notes

Meaning of Grievance

- **Sign of discontent**: the employee is unhappy with the job and its nature.
- **Cause**: a gap between employee expectation and management practice.
- **Feeling matters**: a grievance may be expressed or not, and valid or not. It counts if the employee feels it is unfair (Jucius).
- **Employment-linked**: it must arise from something connected with the company.
- **Effect if ignored**: it harms workers, managers and the whole organisation.

Characteristics (Types) of Grievances

1. **Factual**: genuine needs and expectations are not fulfilled. It shows drawbacks in how policies are implemented.

2. **Imaginary**: an unclear job contract makes the employee expect what the organisation is not obliged to give. It rests on wrong perception and wrong information.
3. **Disguised**: unattended psychological needs such as recognition, affection, power or achievement. It can have far-reaching consequences if ignored.

Basis	Factual	Imaginary	Disguised
Source	Unmet genuine expectations	Unclear job contract	Unmet psychological needs
Basis	Real facts	Wrong perception or information	Hidden motive

Nature and Causes of Grievances

- **Collective issue**: a problem endorsed by all or most employees, or a general union claim such as wage revision, goes to **collective bargaining**.
- **Grievance issue**: a problem of individual workers, such as wages not as per the **Wage Board award**, goes to the **grievance machinery**.

Basis	Grievance	Collective Bargaining Issue
Raised by	One or a few workers	Majority or trade union
Nature	Individual, specific	General, wider
Example	Wage not as per Wage Board award	Wage revision demand

Causes of grievances:

- **Pay**: wages, allowances, overtime pay, increments.
- **Career**: placement, transfer, promotion, seniority.
- **Work**: work assignment, working conditions, safety measures.
- **Leave and service**: leave, break in service.
- **Benefits**: medical, housing, loans.
- **Disciplinary**: fines, suspension, discharge.

Methods of Uncovering Grievances

1. **Observation**: the supervisor watches employee behaviour.
2. **Gripe boxes**: complaint boxes, which may be anonymous.
3. **Open door policy**: employees meet superiors freely.
4. **Exit interviews**: leaving employees reveal their reasons for dissatisfaction.
5. **Opinion surveys**: periodic attitude or morale surveys.

Pre-requisites of a Grievance Procedure

1. **Conformity with legislation**: the procedure must respect existing statutory provisions.
2. **Clarity**: the employee knows whom to approach. The authority knows its role, the measures to take and the time limit.
3. **Simplicity**: stages, forms and witnesses are easy to understand.
4. **Promptness**: grievances are disposed of quickly, because "justice delayed is justice denied".
5. **Follow-up**: the procedure is reviewed periodically and structural changes are made.

Open Door Policy

- **Purpose**: tap sources of dissatisfaction and keep upward communication free of blocks.
- **Problem solved**: many organisations suppress grievances and stop employees from "speaking out".
- **Meaning**: a general invitation to all employees to walk in at any time. It needs effort and willingness from the superior.
- **Limitation**: it works only in small organisations. Top management in large firms lacks time and familiarity with each work situation.

Grievance Management: Legislation in India

1. **Industrial Employment (Standing Orders) Act, 1946**: firms with **100 or more workers** must frame standing orders, including a provision for redressal of grievances.
2. **Factories Act, 1948**: factories with **500 or more workers** must appoint a **Welfare Officer**. He handles grievances and the implementation of labour laws.
3. **Industrial Disputes Act, 1947 (amended 1965)**: covers discharge, dismissal and retrenchment.

Model Grievance Procedure

- **Adopted by**: the Indian Labour Conference, at its 16th session in 1958.
- **Nature**: voluntary. Industries adopt it or use their own modified procedure.
- **Working**: an unsettled grievance moves upward step by step. A departmental representative assists at the supervisor and HOD stages.

Grievant Employee → Foreman → Supervisor (with Departmental Representative) → Head of Department (with Departmental Representative) → Grievance Committee → Manager → Committee of Union and Management Representatives → Voluntary Arbitration

Discipline

- **Meaning**: an attitude among employees towards rules. It is orderliness, the opposite of confusion.
- **As a procedure**: it corrects or punishes a subordinate who has violated a rule.
- **Need**:
  - Orderly functioning.
  - Productivity and morale.
  - Industrial peace.
  - Goal achievement.
  - Legal compliance, which requires equitable administration.
- **Causes of indiscipline**:
  - Absence of effective leadership.
  - Unfair management practices.
  - Communication barriers.
  - Divide and rule policies.
  - Victimisation.
  - Unredressed grievances.
- **Forms of indiscipline**:
  - Absenteeism and late coming.
  - Drunkenness on duty.
  - Insubordination and negligence.
  - Violation of safety rules.
  - Theft and damage to property.

Red-Hot Stove Rule (McGregor)

- **Analogy**: undergoing discipline is like touching a hot stove.
- **Four principles**:
  - **Immediate**: action starts as soon as the offence is noticed.
  - **Warning**: rules and penalties are announced in advance.
  - **Consistent**: the same punishment is given for the same offence.
  - **Impersonal**: punishment is the same irrespective of status, and is linked to the act, not the person.
- **Importance**: discipline becomes fair, predictable and acceptable, and favouritism is avoided.

Progressive and Positive Discipline

- **Progressive discipline**: ample warning first, then increasingly harsher action if behaviour does not change. The usual sequence is oral warning, written warning, suspension, dismissal.
- **Positive discipline**: correction and reform through counselling and support, rather than punishment.
- **Guidelines**: make discipline corrective and progressive, and follow the hot-stove rule.

Basis	Positive Discipline	Negative Discipline
Approach	Correction, self-discipline	Punishment, fear
Tools	Counselling, guidance	Warnings, fines, dismissal
Effect	Morale, cooperation	Resentment, minimum effort
Legal	Fewer lawsuits	More disputes

Disciplinary Action / Procedure

Charge Sheet → Consideration of Explanation → Show Cause Notice → Full-fledged Enquiry → Final Order (with Appeal) → Follow-up

1. **Charge sheet**: states the misconduct clearly and precisely and calls for an explanation.
2. **Explanation**: if the employee admits the misconduct without qualification, no enquiry is needed.
3. **Show cause notice**: gives another chance to explain and rebut the charges.
4. **Full-fledged enquiry**: follows natural justice, so the employee gets a reasonable opportunity of being heard. He may also suggest the nature of action.
5. **Final order**: punishment is given if misconduct is proved, with a chance to appeal.
6. **Follow-up**: management checks that the employee does not repeat the mistake.

Principles of natural justice

- **Right to be heard**: no one is held guilty without a chance to explain.
- **Clear charge**: the charge is specific and communicated in advance.
- **Unbiased officer**: no one judges his own cause.
- **Fair hearing**: the employee may present evidence and witnesses.
- **Equitable penalty**: the penalty is linked to the violation, not the violator's personality, and an appeal is allowed.

Documentation

- **Records**: charge sheet, explanation, enquiry proceedings and orders.
- **Purpose**: they prove a fair procedure was followed, which is vital if the action is challenged legally.

Types of Punishments

These are listed from mild to severe.

1. **Oral warning**: a verbal reprimand for minor omissions.
2. **Written warning ("pink slip")**: certain rights will be withdrawn if the misconduct continues.
3. **Loss of privileges and fines**: imposed if the employment contract provides for them.
4. **Punitive suspension**: the employee is barred from work and wages are withdrawn.
5. **Withholding of increments**: the annual increment in the graded scale is stopped.
6. **Demotion**: reduction to a lower grade, usually when someone was promoted by mistake.
7. **Discharge and dismissal**: termination of employment.
    - **Dismissal**: the extreme punishment, used when conduct is incompatible with faithful duty.
    - **Discharge**: termination by agreed notice or pay in lieu of notice.
    - **Discharge simpliciter**: termination not for misconduct, so it casts no slur on the employee.

Basis	Discharge	Dismissal
Severity	Milder	Extreme punishment
Method	Agreed notice or pay in lieu	For misconduct under Standing Orders
Stigma	None if simpliciter	Carries stigma

Basis	Suspension	Lay-off
Reason	Pending enquiry or punishment	No work available

Basis	Suspension	Lay-off
Fault	Employee misconduct	Not the employee's fault
Outcome	Reinstatement to dismissal	Recall when work comes

Employee Empowerment

- **Meaning**: employees get power to initiate change, take initiative, try new ideas, use resources freely and work independently towards goals.
- **Stephen R. Covey ("Principle-Centered Leadership")**: management must remove the barriers that crush employees' commitment and creativity, and must become **empowering leaders**.
- **Focus**: better service to customers through improved individual and team performance.

Basis	Delegation	Empowerment
Who decides	Manager decides what people take on	People take responsibility themselves
Manager's role	Assigner	Facilitator

Preparing for empowerment

1. **Define empowerment**: inherit the company's definition or form a working definition of your own.
2. **List big issues**: empowerment is dynamic and leads to change.
3. **Personal preparation**: the manager shifts from "benign dictator" to empowerer or facilitator.
4. **Know the starting point**: understand the organisational culture, "the way we do things around here". A hierarchical culture makes empowerment harder; an open culture makes it easier.

2-MARK QUESTIONS

Q1. Define grievance.

Beach defines it as "any dissatisfaction or feeling of injustice in connection with one's employment situation that is brought to the management." It arises from the gap between employee expectation and management practice.

Q2. What are the three types of grievances?

Factual grievances come from genuine unmet expectations. Imaginary grievances come from wrong perception or information due to an unclear job contract. Disguised grievances come from unmet psychological needs such as recognition.

Q3. Name any four causes of grievances.

Wage payments and overtime, transfer and promotion, seniority and leave, and working conditions and safety. Fines, suspension and discharge are other causes.

Q4. How can grievances be uncovered?

Through observation, gripe (complaint) boxes, the open door policy, exit interviews and opinion surveys.

Q5. What is the open door policy?

It is a general invitation to all employees to walk in at any time and discuss their grievances with superiors. It keeps upward communication free but works only in small organisations.

Q6. State the pre-requisites of a grievance procedure.

Conformity with prevailing legislation, clarity, simplicity, promptness ("justice delayed is justice denied") and periodic follow-up.

Q7. What is the Model Grievance Procedure?

It is a voluntary grievance procedure adopted by the Indian Labour Conference at its 16th session in 1958. A grievance moves from the foreman to the supervisor, HOD, grievance committee, manager, union-management committee and finally voluntary arbitration.

Q8. Define discipline.

Discipline is a force that prompts individuals or groups to observe the rules, regulations and procedures needed for effective functioning of an organisation. It means orderliness, the opposite of confusion.

Q9. What is the Red-Hot Stove Rule?

McGregor compared discipline to touching a hot stove. Discipline should be immediate, give advance warning, be consistent and be impersonal.

Q10. Differentiate between positive and negative discipline.

Positive discipline corrects and reforms employees through counselling and guidance, aiming at self-discipline. Negative discipline enforces rules through fear of punishment such as fines, suspension or dismissal.

Q11. Differentiate between discharge and dismissal.

Dismissal is the extreme punishment for misconduct under the Standing Orders Act. Discharge ends employment by agreed notice or pay in lieu of notice; discharge simpliciter casts no slur on the employee.

Q12. Differentiate between delegation and empowerment.

In delegation, the manager decides what people should take on. In empowerment, employees themselves take responsibility for decisions and their work.

LONG QUESTIONS (6 Marks)

Q1. Define grievance. How would you try to uncover grievances?

Introduction: Jucius defines grievance as "any discontent or dissatisfaction, whether exposed or not, whether valid or not, arising out of anything connected with the company which an employee thinks, believes or even feels to be unfair, unjust or inequitable." It arises from the gap between employee expectation and management practice.

1. **Types of grievance**: Grievances may be factual (genuine unmet needs), imaginary (wrong perception due to an unclear contract) or disguised (hidden psychological needs).
2. **Individual nature**: Grievances concern one or a few workers. General demands such as wage revision fall under collective bargaining.
3. **Causes**: Wages, overtime, leave, transfer, promotion, seniority, work assignment, working conditions, safety, fines, suspension and discharge.
4. **Observation**: Supervisors watch for signs such as absenteeism or a casual attitude.
5. **Gripe boxes**: Complaint boxes let employees express grievances anonymously.
6. **Open door policy**: Employees may walk in any time to discuss problems. This is workable mainly in small organisations.
7. **Exit interviews**: Leaving employees reveal the real reasons for their dissatisfaction.
8. **Opinion surveys**: Periodic attitude surveys bring out hidden discontent among existing staff.

Conclusion: Unidentified and unredressed grievances hurt workers, managers and the organisation. Early detection and fair handling are therefore essential.

Q2. Discuss the Model Grievance Procedure applicable in India. What are the essential pre-requisites of a grievance procedure?

Introduction: A grievance procedure is a formal, step-by-step machinery for settling employee grievances. India's Model Grievance Procedure was adopted by the Indian Labour Conference at its 16th session in 1958 and is voluntary for industries.

1. **Foreman and Supervisor**: The grievant employee first approaches the foreman, then the supervisor, with help from the departmental representative.
2. **Head of Department**: If the employee is still dissatisfied, the grievance goes to the HOD along with the departmental representative.
3. **Grievance Committee and Manager**: The grievance committee examines the case, and the manager then decides.
4. **Union-Management Committee and Voluntary Arbitration**: An unresolved grievance goes to a joint union-management committee and finally to voluntary arbitration.
5. **Supporting laws**: The Standing Orders Act 1946 (100+ workers), the Factories Act 1948 (Welfare Officer in factories with 500+ workers) and the ID Act 1947 (discharge, dismissal, retrenchment).
6. **Conformity with legislation and clarity**: The procedure must respect statutory provisions. The employee must know whom to approach, and the authority must know its role and time limits.
7. **Simplicity and promptness**: Stages and forms must be easy to understand, and disposal must be quick, because justice delayed is justice denied.

8. **Follow-up**: The procedure must be reviewed periodically and improved.

Grievant Employee → Foreman → Supervisor → Head of Department → Grievance Committee → Manager → Union-Management Committee → Voluntary Arbitration

Conclusion: A clear, simple and prompt grievance procedure builds trust, prevents disputes and maintains industrial peace.

Q3. What is meant by discipline? Why is it needed? Discuss the importance of the Red-Hot Stove Rule.

Introduction: Discipline is a force that prompts individuals or groups to observe the rules, regulations and procedures necessary for effective functioning of an organisation. It is orderliness, the opposite of confusion.

1. **Orderly functioning**: Rules are followed, so work proceeds smoothly.
2. **Productivity and morale**: Discipline reduces absenteeism and misconduct and creates a fair, predictable climate.
3. **Industrial peace**: Fair discipline reduces conflict. Indiscipline often stems from poor leadership, unfair practices, communication barriers, divide-and-rule and victimisation.
4. **Immediacy**: Just as a hot stove burns at once, action should begin as soon as the offence is noticed.
5. **Advance warning**: Just as a stove warns through its heat, rules and penalties must be announced beforehand.
6. **Consistency**: The same offence must always receive the same punishment.
7. **Impersonality**: Punishment depends on the violation, not on the status or personality of the violator.
8. **Benefits of the rule**: Discipline becomes fair and acceptable, favouritism is avoided and legal disputes are reduced, especially when combined with corrective and progressive discipline.

Conclusion: Discipline is essential for achieving organisational goals. McGregor's Red-Hot Stove Rule ensures it is fair, consistent and impersonal.

Q4. Explain the Principles of Natural Justice. Describe how the disciplinary procedure and domestic enquiry fulfil them.

Introduction: Disciplinary procedure is the systematic process for dealing with misconduct, which is the violation of established rules and norms of behaviour. It must follow natural justice: no one should be held guilty without a fair chance to explain.

1. **Charge sheet**: A letter of charge states the misconduct clearly and precisely and calls for an explanation. This ensures the employee knows the charge.
2. **Consideration of explanation**: If the employee admits the misconduct without qualification, no further enquiry is required.
3. **Show cause notice**: The employee gets another chance to explain and rebut the charges.
4. **Domestic enquiry**: A full-fledged enquiry gives a reasonable opportunity of being heard. The employee may produce evidence and suggest the nature of action.
5. **Final order and appeal**: Punishment follows only proven misconduct, and the employee may appeal if the enquiry was improper.
6. **Follow-up**: Management checks that the mistake is not repeated.
7. **Unbiased and equitable decision**: The enquiry officer is impartial, all cases are treated fairly, and the penalty fits the violation, not the person.
8. **Documentation**: Written records of the charge, explanation, proceedings and orders prove that the procedure was fair.

Charge Sheet → Explanation → Show Cause Notice → Domestic Enquiry → Final Order and Appeal → Follow-up

Conclusion: A disciplinary procedure based on natural justice protects the employee's rights and makes management's action legally sound.

Unit 12: Health & Safety Management

Unit at a Glance

- A safe and healthy workplace is the **primary responsibility of every employer**. It cuts accident costs and builds a good public image.
- **Health** covers physical, mental and emotional well-being. Firms tackle **alcoholism and drug abuse**, run **health promotion/wellness programmes** and offer **EAPs**.
- The **Factories Act, 1948** contains health provisions (Sec. 11–20) and safety provisions (Sec. 21–41), including **safety officers** (Sec. 40B).
- Management and **supervisors** reduce **unsafe conditions and unsafe acts** through a comprehensive 9-step safety approach.
- Accidents have **human** (the majority) or **environmental** causes. They are prevented by education, training, engineering, protection, enforcement and inspection.

Key Definitions

- **Health**: A general state of physical, mental and emotional well-being.
- **Safety**: Protecting the physical well-being of an employee from injuries caused by work-related accidents.
- **Security**: Protection of employer facilities and equipment from unauthorised access, and protection of employees while on work premises or work assignments.
- **Health Promotion**: Any effort to prevent disease or premature death through behavioural and organisational change. It focuses on prevention rather than cure.
- **Wellness Programmes**: Programmes that focus on prevention to help employees build lifestyles that let them achieve their full physical and mental potential.
- **Employee Assistance Programme (EAP)**: A programme providing professional counselling, medical help and rehabilitation to troubled employees.
- **Troubled Employee**: An individual confronted by unresolved personal or work-related problems.
- **Effective Safety Management**: Safety management that considers the type of safety problems, accidents, employees and technology in the organisational setting.
- **Biorhythm**: Regularly repeated life cycles (emotional, physical, intellectual).
- **Attention Diagnostic Method (ADM)**: A technique for predicting accidents, based on the idea that accident-prone persons suffer from attention failure.

Core Notes

Introduction: Need for Health and Safety

- **Primary responsibility**: The employer's duty; it shows sensitivity to employee needs and rights.
- **Cost saving**: Avoids sick leave, disability payments and replacement of injured or killed employees.
- **Image**: Obeying the law, and going beyond it proactively, gives a healthy market image.
- **Well-being**: Preserves and enhances the physical and emotional well-being of employees.
- **Indian reality**: Safety laws are often violated and the health and safety record is poor. The Bhopal tragedy (1984) was caused by avoidable equipment design flaws.
- **High-risk industries**: Jute, cotton and textile mills, lead batteries, chemicals, match and fireworks (Sivakasi), mining, construction, sugar and flour mills.

Health and Medical Facilities

- **Medical unit**: Treats on-the-job illness and injury, examines new employees and advises the safety staff on hazards.
- **Need rises with**: The size of the organisation and the level of job hazards.
- **Psychological problems**: The two most widespread are **alcoholism and drug abuse**.

Alcoholism

- **Effects**: Lower productivity, more absenteeism, more on-the-job accidents and higher health care costs.
- **All levels**: Managers and white-collar staff are as likely to be alcoholics as blue-collar workers.

Early Development Stage (symptoms almost absent; preventive action) → Disruptive Stage (symptoms visible; early detection) → Fully Developed (intensive treatment)

- **Handling**:
  - Treat it as an illness.
  - Train supervisors to detect early signs and counsel employees.
  - Refer 2nd and 3rd stage cases to rehabilitation.
  - Support the employee while he cooperates; otherwise use discipline (suspension or discharge).

Drug Abuse

Basis	Alcoholism	Drug Abuse
Legality	Legal	Often illegal; police may be involved
Social tolerance	More	Less
Age group	40s and 50s	Under 30
Theft	Less linked	More linked (money for drugs)

- **Handling**: Same as alcoholism, with three changes:
  - **Careful selection**: Screen out abusers at hiring.
  - **Closer scrutiny**: Users hide the habit, so supervisors must know drug paraphernalia.
  - **Severe discipline**: Justified because drugs such as marijuana, heroin and cocaine are illegal.

Legal Provisions Regarding Health (Factories Act, 1948, Sec. 11–20)

- **Background**: Based on the British Factories Act. The Act was amended after Bhopal, and the **Factories (Amendment) Act** came into force on **1 December 1987**. Its focus shifted from dealing with disaster to preventing it.

1. **Cleanliness (11)**: Remove dirt daily. Wash floors weekly with disinfectant. Paint or varnish walls periodically.
2. **Wastes (12)**: Effective disposal and treatment of wastes and effluents.
3. **Ventilation and temperature (13)**: Fresh air and a comfortable temperature. Control heat by whitewashing, spraying and insulation.
4. **Dust and fumes (14)**: Exhaust appliances near the source.
5. **Artificial humidification (15)**: For cotton textile and cigarette units. Follow State rules and use purified water.
6. **Overcrowding (16)**: At least **14.2 cubic metres** per worker.
7. **Lighting (17)**: Sufficient natural and artificial light, clean windows, no glare or shadows.
8. **Drinking water (18)**: At marked points not within **6 metres** of latrines or drains. **Cool water** in summer if more than **250 workers**.
9. **Latrines and urinals (19)**: Separate for men and women. Enclosed, lighted, ventilated and kept clean by sweepers.
10. **Spittoons (20)**: Sufficient in number, clean and hygienic.

Measures to Promote Employee Health

- **Focus**: Controllable risk factors such as smoking, obesity, high cholesterol, stress, hypertension and low fitness.
- **Needs**: Continuous education, systematic campaigns and top management support. First study the needs and resources of employees and the organisation.

Setting Goals → Developing the Plan → Allocation of Resources → Implementation → Evaluation

- **Core activities**: Healthy living, eating wisely, exercise and fitness, smoking cessation, stress management, and protection from workplace hazards.
- **Benefits**: High initial cost, but better attitudes, morale and job satisfaction, with lower absenteeism and turnover.
- **Trends**:

- Some firms refuse to hire smokers, and India bans smoking in public places.
- IT, telecom and FMCG firms see wellness programmes as **inexpensive insurance**.

Employee Assistance Programmes (EAPs)

- **Working**: The firm ties up with a counselling agency. Employees go voluntarily or on referral, and the employer pays fully or up to a limit.
- **Main area**: Personal crises (marital, family, financial, legal) that may lead to **workplace violence**.
- **Managing violence**: Pre-employment screening, conflict resolution programmes, anonymous reporting, more security (emergency alarms), and supportive supervisors.
- **Handling an angry employee**:
  - Make eye contact and give full attention.
  - Speak calmly and be open and honest.
  - Let the person have his or her way.
  - Seek specific examples and define the problem.
  - Explore all sides and listen sympathetically.

Employee Safety

Basis	Health	Safety	Security
Meaning	Physical, mental, emotional well-being	Protection of physical well-being	Protection of facilities and employees
Focus	Illness, stress	Work accidents, injuries	Unauthorised access
Tools	Wellness, EAP	Fencing, goggles	Guards, alarms

Legal Provisions Regarding Safety (Factories Act, 1948, Sec. 21–41)

1. **Fencing of machinery (21)**: Dangerous parts securely fenced.
2. **Machinery in motion (22)**: Only trained workers in tight clothes. Women and young persons are barred.
3. **Young persons (23)**: May work on dangerous machines only after instruction and training, under supervision.
4. **Striking gear and power cut-off (24)**: Emergency cut-off in every room, locked to prevent accidental starting.
5. **Self-acting machines (25)**: Traversing parts must not run within **18 inches** of a fixed structure.
6. **Casing of new machinery (26)**: Power machinery installed after **1-4-1949** must be encased or guarded.
7. **Cotton openers (27)**: No women or children, except at a partitioned feed-end.
8. **Hoists and lifts (28)**: Sound and enclosed with gates. Examined every **six months**, with the safe load displayed.
9. **Lifting machines, chains, ropes (29)**: Sound and strong enough for the loads.
10. **Revolving machinery and pressure plant (30–31)**: Safe speed and safe pressure must not be exceeded.
11. **Floors, stairs, pits (32–33)**: Sound, unobstructed and with hand rails. Pits covered or fenced.
12. **Excessive weights (34)**: No load likely to cause injury.
13. **Eyes (35)**: Screens or goggles.
14. **Fumes and gases (36)**: Enter confined spaces only after fumes are removed, with a manhole exit. Breathing apparatus and trained persons must be ready.
15. **Portable electric light (36A)**: Not above **25 volts** in confined spaces. **Flame-proof** lamps where inflammable gas is present.
16. **Explosive gas or dust (37)**: Enclose the plant and ignition sources. Remove accumulations. Weld only after removing fumes.
17. **Fire (38–39)**: Marked escape routes, audible alarms, extinguishers and trained workers. The Inspector may order safety drills.
18. **Buildings and machinery (40, 40A)**: Dangerous ones are not used till repaired. The Inspector may order repairs in writing.
19. **Safety officer (40B)**: Required in factories with **1000 or more workers**. Duties:
    - formulate the safety policy;
    - investigate accidents;

    - organise safety education, training and publicity;
    - act as technician, planner, organiser and stimulator of safety.
20. **Rules (41)**: The State Government may make supplementary rules.

Management Role in Safety

- **Legal minimum**: Working conditions must meet the law's minimum standards.
- **Direct accident costs**: These show in the worker's compensation premium:
    - wages for time lost;
    - equipment and material damage;
    - investigation and reporting costs;
    - lost production from stoppages and personnel changeover.

Role of Supervisors

1. **Protective gear**: Remind workers to wear goggles and similar equipment.
2. **Cleanliness**: Check the work spot.
3. **Observation**: Spot alcohol, drug or emotional problems.
4. **Equipment changes**: Suggest screens, railings and safety devices to safety experts.
5. **Screening**: Keep accident-prone persons out at selection.
6. **Safety promotion**: Training, posters, safety rules and regular inspections.
7. **Job redesign**: Reduce the boredom and monotony of repetitive work.
8. **Environment studies**: Study fatigue, lighting, tools and equipment layout.

Effective Safety Management (Comprehensive Approach)

- **Behaviour matters**: Engineering machines alone fails without attention to employees' behavioural reactions.

1. **Safety policy**: Aimed at eliminating or reducing accidents and injuries.
2. **Top management support**: Personal involvement, top priority in meetings and scheduling, high status for the safety officer, and safety training for new workers.
3. **Safety committee**: Chaired by the safety officer, with worker and supervisor representatives. It meets regularly and recommends changes.
4. **Discipline and motivation**: Strict enforcement, feedback and reinforcement, rewards, certificates, contests and incentives.
5. **Safety engineering**: Fencing, spacing, material handling equipment, safety devices and maintenance.
6. **Training and communication**: Safe practices, first aid and fire prevention, supported by posters, newsletters, slogans and films.
7. **Accident investigation**: Early probe, photos and videos, interviews with the injured worker and supervisor, and a report with recommendations.
8. **Evaluation**: Periodic **safety audits** and comparison of accident statistics.
9. **Governmental support**: **National Safety Council (1966)**, **National Safety Day** (its foundation day) and **National Safety Awards**.

Safety Policy → Top Management Support → Safety Committee → Discipline & Motivation → Safety Engineering → Training & Communication → Accident Investigation → Evaluation → Government Support

Causes of Accidents

Basis	Human Causes	Environmental Causes
Source	Human error	Workplace conditions
Examples	Carelessness, intoxication, daydreaming, inability	Faulty tools, equipment, plant, environment
Share	Vast majority	Smaller
Remedy	Selection, training, discipline	Engineering, inspection

- **Human element**: A low accident rate comes only from concentrating on the human element.
- **Safety engineers**: Scrutinise the environment for potential accident sources.
- **Accident-proneness**: Some people are more prone to accidents, so "accidents do not just happen, they are caused".

Prevention of Accidents

Predicting the Accident-Prone

- **No valid test**: No proven test exists, and no personality type consistently has more accidents. Visual skills, age and length of service matter in some jobs.

1. **Life-change components**: Events needing adjustment can change health. Examples: marriage, vacations, job change, trouble with in-laws.
2. **Biorhythmic patterns**:
   - **Emotional cycle (28 days)**: affects sensitivity, attitudes and irritability.
   - **Physical cycle (23 days)**: affects strength, endurance and energy.
   - **Intellectual cycle (33 days)**: affects memory and mental responses.
3. **ADM**: Accident-prone persons suffer from attention failure.

Preventive Measures

1. **Education**: Make people "think safety" through slogans, signs and newsletter articles.
2. **Skill training**: Build safety into training from the start.
3. **Engineering**: Safe equipment and job design. Consider posture and position of controls, which cause stooping, twisting and tension.
4. **Protection**: Safety shoes, gloves, hard hats, goggles and noise mufflers. Preventive maintenance avoids fires, explosions and oil leaks.
5. **Regulation enforcement**: No smoking in banned areas, staying behind safety zones, wearing helmets.
6. **Inspection**: Acts as a feedback system to confirm rules are followed.

Education → Skill Training → Engineering → Protection → Regulation Enforcement → Inspection

2-MARK QUESTIONS

Q1. Define health and safety.

Health is a general state of physical, mental and emotional well-being. Safety means protecting the physical well-being of employees from injuries caused by work-related accidents.

Q2. What is an Employee Assistance Programme (EAP)?

An EAP offers counselling, medical help and rehabilitation to troubled employees. The firm ties up with a counselling agency, employees approach it voluntarily or on referral, and the employer usually pays.

Q3. What is health promotion?

Health promotion is any effort to prevent disease or premature death through behavioural and organisational change. It focuses on prevention rather than cure, targeting risks such as smoking, obesity and stress.

Q4. Name any four core health promotion activities.

Healthy living, eating wisely, exercise and physical fitness, smoking cessation, stress management, and protecting oneself from workplace hazards.

Q5. What are the stages of alcoholism?

1. Early development stage: symptoms almost absent.
2. Disruptive stage: symptoms visible.
3. Fully developed stage: intensive treatment needed.

Q6. Give two differences between alcoholism and drug abuse.

Alcohol is legal, while many drugs are illegal and may involve the police. Alcoholism is common among employees in their 40s and 50s, while drug abuse is common among those under 30 and is more linked to theft.

Q7. Name any four health provisions of the Factories Act, 1948.

Cleanliness (Sec. 11), disposal of wastes (Sec. 12), ventilation and temperature (Sec. 13), overcrowding (Sec. 16), lighting (Sec. 17), and drinking water (Sec. 18).

Q8. When is a safety officer required under the Factories Act?

Under Sec. 40B, a safety officer is required in every factory employing 1000 or more workers. He frames the safety policy, investigates accidents and organises safety training and publicity.

Q9. What are the two main causes of accidents?

Human causes (carelessness, intoxication, daydreaming, inability to do the job) and environmental causes (faulty tools, equipment, plant or environment). Human causes account for the vast majority.

Q10. What is meant by biorhythm?

Biorhythm means regularly repeated life cycles: emotional (28 days), physical (23 days) and intellectual (33 days). These cycles are believed to affect accident-proneness.

Q11. What is the Attention Diagnostic Method (ADM)?

ADM is a new technique for predicting accidents. It is based on the idea that accident-prone persons suffer from attention failure.

Q12. What is the National Safety Council?

It was set up by the Government of India in 1966 to promote safety consciousness at plant level and conduct safety programmes. National Safety Day marks its foundation day, and National Safety Awards go to accident-free units.

LONG QUESTIONS (6 Marks)

Q1. Comment on the pragmatism of the legal provisions regarding employee health under the Factories Act, 1948.

Introduction: Health is a state of physical, mental and emotional well-being. The Factories Act, 1948, amended by the Factories (Amendment) Act, 1987 after Bhopal, lays down preventive health measures in Sections 11–20.

1. **Cleanliness (Sec. 11)**: The factory must be free from effluvia, with dirt removed daily. Floors are washed weekly with disinfectant, and walls painted or varnished periodically.
2. **Wastes and effluents (Sec. 12)**: Effective arrangements are required for disposal and treatment.
3. **Ventilation and temperature (Sec. 13)**: Fresh air and a comfortable temperature are required. Heat is controlled by whitewashing, spraying and insulation.
4. **Dust, fumes and humidification (Sec. 14–15)**: Exhaust appliances must be fitted near the source. Purified water must be used for humidification in cotton and cigarette units.
5. **Overcrowding (Sec. 16)**: At least 14.2 cubic metres of space is required per worker.
6. **Lighting (Sec. 17)**: Sufficient natural and artificial light is required, with clean windows and no glare or shadows.
7. **Drinking water (Sec. 18)**: Wholesome water must be provided at marked points not within 6 metres of latrines or drains. Cool water is required in summer where there are more than 250 workers.
8. **Latrines, urinals and spittoons (Sec. 19–20)**: Separate, clean, lighted and ventilated facilities are required for men and women, with enough hygienic spittoons.

Conclusion: The provisions are practical and preventive. In India, however, they are often ignored with the help of enforcing authorities, so strict enforcement and employer commitment are needed.

Q2. Identify the causes of accidents in a factory and the steps to prevent them. ("Accidents do not just happen, they are caused" — comment.)

Introduction: An accident is an unplanned event causing injury or damage at work. Accidents result from human errors (unsafe acts) and environmental defects (unsafe conditions). They are therefore caused, and can be prevented.

1. **Human causes**: Carelessness, intoxication, daydreaming, inability to do the job and other human deficiencies cause the vast majority of accidents.
2. **Environmental causes**: Faulty tools and equipment, poor physical plant, poor lighting, poor ventilation and wet floors.
3. **Accident-proneness**: Some people are more prone to accidents. Predictors are life-change events, biorhythms (28/23/33 days) and attention failure (ADM).

4. **Education**: Create a "think safety" attitude through slogans, signs and newsletter articles.
5. **Skill training**: Build safety and preventive techniques into training from the beginning.
6. **Engineering**: Design safe equipment and jobs, considering posture and the worker–machine interplay.
7. **Protection**: Provide safety shoes, gloves, hard hats, goggles and noise mufflers. Carry out preventive maintenance of machines.
8. **Enforcement and inspection**: Enforce no-smoking areas, safety zones and helmet rules. Inspect work surroundings as a feedback system.

Basis	Human Causes	Environmental Causes
Nature	Unsafe acts	Unsafe conditions
Remedy	Selection, training, discipline	Engineering, maintenance, inspection

Conclusion: Since most accidents come from identifiable unsafe acts and conditions, the statement "accidents are caused" is true. Focusing on the human element along with safety engineering greatly reduces accidents.

Q3. What causes unsafe acts? Explain the role of a supervisor in safety.

Introduction: Unsafe acts arise from carelessness, intoxication, daydreaming, lack of skill, boredom from repetitive work, and alcohol, drug or emotional problems. Supervisors play a great role in reducing both unsafe acts and unsafe conditions.

1. **Enforcing protective gear**: Remind employees to wear safety goggles and other protective equipment.
2. **Checking cleanliness**: Inspect the cleanliness of the work spot regularly.
3. **Observing behaviour**: Watch for alcohol, drug or emotional problems that affect work behaviour.
4. **Suggesting safety devices**: Recommend screens, railings and other devices to the factory's safety experts.
5. **Screening the accident-prone**: Keep accident-prone persons out at the selection stage.
6. **Safety promotion**: Use safety training, posters, safety rules and regular inspections to raise safety consciousness.
7. **Job redesign**: Redesign repetitive jobs to reduce the boredom and monotony that lead to carelessness and bad work habits.
8. **Work environment studies**: Study fatigue factors, lighting, tools and equipment layout to improve the work climate.

Conclusion: The supervisor is the first line of defence in safety. With management support, he can greatly reduce unsafe acts and conditions.

Q4. Explain the steps in effective safety management. How can management formulate a safety policy and increase motivation for safety?

Introduction: Effective safety management considers the type of safety problems, accidents, employees and technology in the organisation. It attends to both machines and the behavioural reactions of employees.

1. **Safety policy**: Frame and implement a policy aimed at eliminating or reducing accidents and injuries.
2. **Top management support**: Shown through personal involvement, top priority in meetings and scheduling, high status for the safety officer, and safety training for new workers.
3. **Safety committee**: Worker and supervisor representatives, chaired by the safety officer, meet regularly, review safety and recommend changes.
4. **Discipline and motivation**: Enforce rules strictly and give feedback and reinforcement. Offer rewards, certificates, safety contests and incentives.
5. **Safety engineering**: Machine fencing, adequate spacing, material handling equipment, safety devices and proper maintenance.
6. **Training and communication**: Train recruits in safe practices, first aid and fire prevention. Use posters, newsletters, slogans and films.
7. **Accident investigation and evaluation**: Investigate early using photos and interviews, and report with recommendations. Conduct periodic safety audits and compare accident statistics.
8. **Government support**: National Safety Council (1966), National Safety Day and National Safety Awards.

Safety Policy → Top Management Support → Safety Committee → Discipline & Motivation → Engineering → Training → Investigation → Evaluation

Conclusion: A comprehensive approach, led by top management and backed by motivation and training, is the heart of effective safety management.

Unit 13: Workplace Health Hazards

Unit at a Glance

- Management's new challenge is a **positive work environment** that attracts, keeps and motivates employees.
- **Safety programmes** exist to prevent work-related injuries and accidents. A well-managed factory has **no physical hazards**.
- **Physical hazards** (Bernklau; Philson): slipping/falling, obstruction/collision, equipment, falling objects, fire.
- **Other hazards**: lead, noise, poor indoor environmental quality (IEQ), communicable diseases.
- In **India**, many safety laws exist but are weakly enforced. Inspectors are overloaded and sometimes corrupt, and women and children work on dangerous machines.

Key Definitions

- **Workplace Environment**: The physical surroundings required for human activity or industrial processes.
- **Health**: A state of well-being. It includes physical, emotional and mental well-being.
- **Health Hazard**: Any condition at the workplace that can cause injury, illness or death to employees.
- **Indoor Environmental Quality (IEQ)**: Simply, "the quality of the air in an office or other building environments."
- **Noise**: Any unwanted sound.
- **Housekeeping**: The management, care and servicing of the property and equipment of an industrial or commercial building or organisation.
- **Maintenance**: Keeping something in proper or good condition.
- **Welfare**: Financial or other assistance to an individual or family from a city, state or national government. In industry, it means facilities provided for workers' well-being.
- **Diversity in the Workplace**: The variety of people in a work environment, such as different races, genders, religions and political persuasions.

Core Notes

Workplace Environment

- **Meaning**: The physical surroundings for human activity or industrial processes.
- **New challenge**: Create an environment that attracts, keeps and motivates the workforce.
- **Responsibility**: Managers and supervisors at all levels.
- **Features of a good environment**:
  - People **enjoy** their work, feel a **purpose**, take **pride** in it and can reach their **potential**.
- **Changing workplace**:
  - The workplace is different, diverse and constantly changing.
  - The old employer–employee relationship is turned upside down.
  - Workers have almost limitless job options, so **the business needs employees more than employees need the business**.
  - Dissatisfied employees leave, so smart firms create a positive environment.
- **Workplace design**: Leaders should link good workplace design with better business performance when building or overhauling premises.

Five Factors Affecting Employee Productivity

1. **Attitude**: The employee's mindset and morale.
2. **Boss**: The supervisor's behaviour and support.
3. **Health**: Physical and mental well-being.
4. **Tech Tools**: Proper technology and tools.
5. **Downsizing and Outsourcing**: The insecurity and stress they create.

Workplace Health Hazards – Meaning and Purpose of Safety

- **Health hazards**: Workplace dangers that harm employees' physical or mental health.
- **Purpose of safety programmes**: To prevent work-related injuries and accidents.

- **Causes of deaths, injuries and illnesses**:
  - Safety violations, poor equipment design and gross negligence.
  - Mechanical failures, unsafe physical conditions and employee ignorance.
- **Why prevention matters**:
  - An unhealthy environment lowers productivity and morale.
  - It raises medical and workers' compensation costs.

Physical Hazards and Remedies (Bernklau; Philson)

Hazard	Causes	Remedy
Slipping/falling	Polished floors; water, soap, oil; torn coverings	Anti-skid floors, clean spills, repair coverings
Obstruction/collision	Poor layout, misplaced furniture, overcrowding, narrow space	Proper layout, clear aisles
Equipment	Unguarded moving parts, wiring, switches, cords, metal edges, small carts	Guards, safe wiring, maintenance
Falling objects	Badly placed cabinets, lockers, shelves; materials on tables	Secure fixing, proper storage
Fire	Heavy paperwork, poor smoker disposal, no safety cans, no exits	Extinguishers, fire equipment, exits

- **Manager's duty**: Fire protection equipment and extinguishers must be available at all times.

Identify hazard → Find cause → Apply remedy → Inspect regularly

Other Workplace Hazards

1. Lead

- **Industries**: Construction, mining and manufacturing. Lead is also used in burning fossil fuels.
- **Exposure**: Breathing it in, ingesting it or contact.
- **Uses**: Combined into alloys for batteries, ammunition and metal products.
- **Past uses**: Paint, ceramics, caulk and pipe solder.
- **Present position**: Because of health problems, lead use is now greatly reduced.

2. Noise

- **Most common injury**: Occupational hearing loss is the most common work-related injury.
- **Threat to miners**: Noise is both a health and a safety threat.
- **Direct effect**: Permanent hearing loss from damage to the inner ear's sensory cells.
- **Indirect safety hazard**: Noise "masks" backup alarms and spoken warnings.
- **Still a problem**: The effects are beyond scientific dispute, yet noise remains a big problem in mining.

Eight components of a hearing loss prevention programme:

1. **Noise exposure monitoring**
2. **Engineering and administrative controls**
3. **Audiometric evaluation**
4. **Hearing protection devices**
5. **Education and motivation**
6. **Record keeping**
7. **Programme evaluation**
8. **Programme audit**

Monitor noise → Control → Test hearing → Protect → Educate → Record → Evaluate → Audit

3. Indoor Environmental Quality (IEQ)

- **Meaning**: The quality of air in an office or building.
- **Worker concern**: Symptoms often improve away from the building.

- **Research**: Respiratory illness is linked with damp buildings.
- **Measurement problem**: Tests often cannot identify the responsible contaminant.
- **Linked building features**: Dampness, cleanliness and ventilation.
- **Contaminant sources (gases and particles)**:
  - Office machines, cleaning products, construction work, carpets and furnishings.
  - Perfumes, cigarette smoke and water-damaged materials.
  - Mould, fungi, bacteria, insects and outdoor pollutants.
- **Other factors**: Temperature, relative humidity and ventilation levels.
- **Remedies**:
  - Understand and control sources, and ventilate properly.
  - Prevent dampness and keep the building clean.
  - Follow practical guidance for the indoor environment.
  - Workers with persistent symptoms should get a medical evaluation.

4. Communicable Diseases

- **Problem**: Colds and flu can knock out large parts of the workforce.
- **Cause**: Work culture. Limited sick days encourage ill workers to come in.
- **Remedies**:
  - **Flexible sick leave**.
  - **Epidemic preparedness**: Test whether contagious but mobile staff can work remotely.
  - **Work-from-home access**: Not possible in manufacturing, where workers must be on site.

Basis	Lead	Noise
Nature	Toxic metal	Unwanted sound
Exposure	Breathing, ingesting, contact	Loud sound
Effect	Health problems	Permanent hearing loss, masked warnings
Control	Reduced use, protection	8-component programme

Indian Scenario

- **Working conditions**: Most workers work in inhuman conditions.
- **Labour supply**: Labour is abundant, low-skilled and available at short notice.
- **Unemployment**: High unemployment makes unorganised labour accept big sacrifices.
- **Exploitation**: Greedy employers exploit this vulnerable situation at every stage.
- **Caution**: Getting work matters more than checking hazards, making a mockery of government machinery.

Reasons for Industrial Accidents in India

1. **Mechanical failures and unsafe conditions**: Machines break down and surroundings are unsafe.
2. **Employee ignorance and negligence**: Workers lack awareness and care.
3. **Weak enforcement**: Many laws exist, but their provisions are not strictly enforced.
4. **Overburdened inspectors**: Each covers more than 150 factories a year.
5. **Corruption**: Inspectors bend rules for a price, so large factories run without fire-fighting or safety devices.
6. **Private sector negligence**: Firms cut costs instead of protecting lives.
7. **Women and child labour**: They work on dangerous machines, e.g., cracker units around Sivakasi.
8. **High cost of standards**: Companies are unwilling to spend on new safety standards.

Safety Laws in India

- The Factories Act
- The Indian Electricity Act
- The Pesticides Act
- The Boiler Act
- The Environment Protection Act

Dr Subodh Medhekar (Industrial Accident Investigator)

- **Implementation**: "India has safety standards and regulations but they are not rigorously implemented."

- **Cost**: Standards cost a lot, and companies will not pay.
- **Solution**: Make them compulsory for all companies, so firms share the cost.
- **Comparison**: "In India life is cheap."

Basis	India	USA
One death / five injuries	"Life is cheap"	"A very big deal"
Compensation	Low priority	Huge insurance claims and damages

Legal Provisions Regarding Safety

1. **Fencing of machinery**.
2. **No young persons** near dangerous machines.
3. **Safety devices** to cut off power.
4. **Good hoists and lifts**.
5. **Enough room** to move safely.
6. **Quality flooring**.
7. **Ventilators** to pump out fumes and gases.
8. **Fire precautions** against accidents.

Methods of Preventing / Reducing Health Hazards

Housekeeping

1. **Clean floors**: Removing oil, water and soap prevents slips.
2. **Clear passages**: Prevents collisions.
3. **Orderly storage**: Prevents falling objects and keeps chemicals in place.
4. **Waste removal**: Lowers fire risk.
5. **Cleanliness**: Better indoor air, less mould and fewer insects.
6. **Morale**: A tidy workplace improves productivity.

Other Methods

1. **Maintenance and machine guarding**: Keep machines in good condition and guard moving parts.
2. **Proper layout**: Avoid overcrowding.
3. **Fire safety**: Extinguishers, exits and safety cans.
4. **Hearing loss prevention programme**: For noise.
5. **Lead control**: Reduce use and provide protective gear.
6. **IEQ control**: Ventilation and source control.
7. **Flexible sick leave and remote work**: Control communicable disease.
8. **Medical check-ups, training, law enforcement and welfare**: First aid, drinking water and rest rooms.

Managerial Measures (Review Question 1)

- **Indoor air quality**: Ventilation, cleaning, controlling contaminant sources and preventing dampness.
- **Smokers and non-smokers**: Separate smoking zones, or no-smoking premises.
- **Workplace violence**:
  - A clear policy and grievance handling with counselling.
  - Careful selection, better security and good union–management relations.

2-MARK QUESTIONS

Q1. Define workplace environment.

It is the physical surroundings required for human activity or industrial processes. A good one attracts, keeps and motivates employees.

Q2. What is meant by health hazards?

Health hazards are unsafe conditions or substances at work that can cause injury, illness or death. Examples are slippery floors, unguarded machines, fire, lead and noise.

Q3. Name the five factors affecting employee productivity.

Attitude, boss, health, tech tools, and downsizing and outsourcing.

Q4. List any four physical hazards in a factory.

Slipping and falling hazards, obstruction and collision hazards, equipment hazards and fire hazards. Falling objects are a fifth type.

Q5. What is Indoor Environmental Quality (IEQ)?

IEQ is the quality of air in an office or building. It is affected by contaminants such as smoke, mould and cleaning products, and by temperature, humidity and ventilation.

Q6. Why is lead a workplace hazard?

Lead is a toxic metal used in construction, mining and manufacturing. Workers are exposed by breathing it in, ingesting it or contact, which causes health problems.

Q7. Why is noise called an indirect safety hazard?

Noise can "mask" important sounds like backup alarms and spoken warnings. Workers may then miss danger signals and meet with accidents.

Q8. What is housekeeping?

Housekeeping is the management, care and servicing of the property and equipment of an industrial or commercial building. It reduces slipping, collision, falling-object and fire hazards.

Q9. Define health.

Health is a state of well-being. It includes physical, emotional and mental well-being.

Q10. What is employee welfare?

Welfare is financial or other assistance to individuals or families. In industry, it means facilities such as canteens, rest rooms, first aid and medical care for workers' well-being.

Q11. Name any four safety laws in India.

The Factories Act, the Indian Electricity Act, the Boiler Act and the Environment Protection Act. The Pesticides Act is another.

Q12. Name any four components of a hearing loss prevention programme.

Noise exposure monitoring, engineering and administrative controls, audiometric evaluation, and use of hearing protection devices.

LONG QUESTIONS (6 Marks)

Q1. What are the various workplace health hazard problems? Suggest remedies.

Introduction: Workplace health hazards are unsafe conditions or substances at work that cause injury, illness or death. Effective safety programmes aim to prevent work-related injuries and accidents. A well-managed factory allows no physical hazards (Bernklau; Philson).

1. **Slipping and falling**: Caused by polished floors, water, oil, soap and torn coverings. Remedy: anti-skid floors and prompt cleaning.
2. **Obstruction and collision**: Caused by poor layout, misplaced furniture and overcrowding. Remedy: proper layout and clear passages.
3. **Equipment hazards**: Caused by unguarded moving parts, wiring, switches, cords and sharp metal edges. Remedy: guards and regular maintenance.
4. **Falling objects**: Caused by improperly placed cabinets, lockers and shelves, or materials stacked on tables. Remedy: secure fixing and storage.
5. **Fire hazards**: Caused by heavy paperwork, poor smoker disposal, no safety cans and no exits. Remedy: extinguishers, fire equipment and exits.
6. **Lead**: A toxic metal that enters through breathing, ingestion or contact. Remedy: reduce lead use and provide protective gear.
7. **Noise**: Causes permanent hearing loss and masks warnings. Remedy: an eight-component hearing loss prevention programme.
8. **Poor IEQ and communicable diseases**: Dampness, poor ventilation and contaminants cause symptoms, and colds and flu spread. Remedy: source control, ventilation, flexible sick leave and remote work.

Conclusion: Most hazards arise from safety violations, poor design or negligence. Good housekeeping, maintenance and strict enforcement of safety rules remove them and raise productivity and morale.

Q2. How are noise and lead harmful hazards? Discuss.

Introduction: Noise means any unwanted sound, and lead is a toxic metal used in many industries. Both are serious occupational hazards that can permanently damage workers' health.

1. **Lead – use**: Used in construction, mining, manufacturing and burning fossil fuels. Its alloys go into batteries, ammunition and metal products.
2. **Lead – exposure**: Workers are exposed by breathing it in, ingesting it or contact.
3. **Lead – health risk**: Lead is toxic, so its earlier use in paint, ceramics, caulk and pipe solder has been greatly reduced.
4. **Noise – direct effect**: Occupational hearing loss is the most common work-related injury. Loud noise damages the inner ear's sensory cells, causing permanent loss.
5. **Noise – indirect effect**: It masks backup alarms and spoken warnings, which leads to accidents.
6. **Noise in mining**: The hazards are beyond scientific dispute, yet noise remains a significant problem for miners.
7. **Control of noise**: A programme of noise monitoring, engineering and administrative controls, audiometric evaluation, protection devices, education and motivation, record keeping, programme evaluation and audit.
8. **Control of lead**: Reduce lead in products, provide protective clothing and masks, ensure ventilation and hold medical check-ups.

Basis	Lead	Noise
Type	Toxic metal	Unwanted sound
Effect	Health problems	Hearing loss, masked warnings
Control	Reduced use, protection	8-component programme

Conclusion: Lead and noise are silent but serious hazards. Monitoring, protective devices and employee education greatly reduce their harm.

Q3. What is Indoor Environmental Quality? How can it be improved?

Introduction: Indoor Environmental Quality (IEQ) simply means the quality of the air in an office or other building. Workers often suspect building contaminants cause their symptoms, because the symptoms improve away from the building.

1. **Health link**: Research links some respiratory symptoms and illnesses with damp buildings.
2. **Measurement difficulty**: Medical and environmental tests often cannot show which contaminant is responsible.
3. **Building characteristics**: Symptoms are associated with dampness, poor cleanliness and poor ventilation.
4. **Sources of contaminants**: Office machines, cleaning products, construction, carpets, perfumes, cigarette smoke, water-damaged materials, mould, bacteria, insects and outdoor pollutants.
5. **Other factors**: Indoor temperature, relative humidity and ventilation levels.
6. **Control sources**: Identify and control contaminant sources, and repair water damage quickly.
7. **Ventilation and cleanliness**: Ensure good ventilation and correct humidity, clean regularly, and provide smoking zones or no-smoking premises.
8. **Medical evaluation**: Workers with persistent or worsening symptoms should seek diagnosis and treatment, and practical guidance should be followed.

Identify sources → Control sources → Improve ventilation → Clean regularly → Medical evaluation

Conclusion: Understanding and controlling contaminant sources is the key to good IEQ. Good IEQ reduces illness, absenteeism and medical costs.

Q4. Discuss the present state of the Indian scenario for workplace health hazards.

Introduction: In India, the large majority of workers work in inhuman conditions. Accidents arise from mechanical failures, unsafe conditions, ignorance and negligence, and also from weak enforcement of safety laws.

1. **Many laws, weak enforcement**: The Factories, Indian Electricity, Pesticides, Boiler and Environment Protection Acts exist, but their provisions are not strictly enforced.
2. **Overloaded inspectors**: Each covers more than 150 factories a year, leaving little time for strict inspection.
3. **Corruption**: Inspectors bend rules for a price, so large factories run without fire-fighting equipment and safety devices.
4. **Private sector negligence**: Firms cut costs to stay competitive instead of protecting workers' lives.
5. **Women and child labour**: They are employed on dangerous machines, especially in cracker units around Sivakasi.
6. **Unemployment and exploitation**: Abundant, low-skilled labour accepts big sacrifices, and greedy employers exploit it.
7. **Dr Subodh Medhekar's view**: Standards exist but are not rigorously implemented because of cost. Compulsory standards would encourage cost sharing. In the US, one death is "a very big deal", but "in India life is cheap".
8. **Way forward**: Honest inspections, compulsory standards, no children near machines, and worker training.

Conclusion: India does not lack safety laws, but it lacks their implementation. Honest enforcement and a safety-first attitude among employers are essential to protect workers.

Unit 14: Global HRM

Unit at a Glance

- Global HRM manages a **diverse worldwide workforce** and is critical for an MNC's competitiveness and productivity.
- **Globalization** views the world as a single market. It has changed HR from a **support (staff) function** to a **strategic function**.
- Global HRM blends **HR activities, types of employees and countries of operation**.
- Key challenges are recruitment sources (PCN, HCN, TCN, inpatriates), staffing approaches, selection criteria, cultural integration, diversity, compensation and work-life balance.
- **Cross-cultural training**, **knowledge management** and the **knowledge life cycle** help HR face global challenges. The unit also revises HRP, job analysis and recruitment and selection.

Key Definitions

- **Global HRM**: Management of the human resources of a firm operating across countries. It blends HR activities, types of employees and countries of operation.
- **Globalization**: "An attitude of mind which views the entire world as a single market." It is a way of corporate life made necessary by the trans-nationalization of the world economy.
- **Human Resource Planning**: Getting the right number of qualified people into the right job at the right time, so that the organisation meets its objectives.
- **Job Analysis**: The systematic study of job requirements and the factors that influence their performance.
- **Expatriates (Expats)**: Home or parent country nationals who live and work outside their home country.
- **Host Country Nationals (HCNs)**: Local employees hired by an MNC in the nation where it operates.
- **Third Country Nationals (TCNs)**: Citizens of countries other than the MNC's headquarters country and the country where they work.
- **Inpatriates**: Individuals from a host or third country who are assigned to work in the home country.
- **Cultural Integration**: The process of one culture gaining the ideas, technologies and products of another, so that it seems to integrate into the other.
- **Balance Sheet Approach (Reynolds, 1986)**: A system designed to equalize employees' purchasing power and maintain the same standard of living across countries.

Core Notes

Introduction – Need for Global HRM

- **Diversity**: The workforce is growing more diverse, including women as a major HR source. This is a key challenge for managers.
- **Relocation**: MNCs move operations to places where they get the most for their "HR currency".
- **Competitiveness**: Better HRM is needed to compete on cost and quality.
- **Employees as assets**: Talent must be attracted, developed and retained with loyalty and commitment.

Objectives of HRP and Job Analysis

- **HRP objective**: Always have the **right people in the right places** to do the required work.
- **HRP is part of strategic planning**. It covers four areas:
  - environmental scanning;
  - business and economic forecasting;
  - developing and keeping a competitive advantage;
  - determining long-range technical needs.
- **HR forecasting**: Estimates future HR needs. Demand and supply forecasts are then **matched** to find future overstaffing and shortages.
- **Job analysis**: The **first step in staffing**. It shows who does what, where, when and how.
- **McCormick (1976)** lists six focus areas of job analysis:
  - **Work activities**: the exact tasks to be done.
  - **Performance standards**: expected output in quantity and quality.

  - **Work technologies**: machines and tools used.
  - **Tangibles and intangibles**: knowledge applied, materials processed, products made.
  - **Job context**: work and social conditions, pay and schedule.
  - **Personal requirements**: skills, experience, education and training.
- **Data methods**: observation, interviews with incumbents or superiors, and questionnaires.
- **Job description**: duties, working conditions, tools and equipment.
- **Job specification**: the minimum qualifications needed. This is the most important part.

Job Analysis → Job Description → Job Specification → Recruitment → Selection

Globalization

- **Meaning**: A corporate way of life driven by the trans-nationalization of the world economy. It treats the **world as a single market**.
- **Global village**: This view needs a new perspective called **global HR functions**.
- **Ford**: Plans globally and moves employees "from anywhere to anywhere" if they are the best for the job.

Impact of Globalization on HRM

1. **Change in HR practices**: Change is needed in HR, not only in production and marketing.
2. **Right employee mix**: Firms need people with the right knowledge, skills and **cultural adaptability**.
3. **Redesign of HR policies**: HR practice and policy must be redefined.
4. **LPG effect**: Since the 1990s, liberalisation, globalisation and technology have changed business, including in India.
5. **New challenges**: HRM, as the prime mover of people, faces many challenges in managing them.

Functional Transformation of HR – Support to Strategic Function

- **Future of HR**: mobile, dynamic, action-oriented and innovative. It changes both behaviour and outputs.
- **Focus**: A value-added agenda of intangibles and organisational and individual capabilities.
- **As a strategic function, HR ensures three things**:
  - **Integration**: HR is fully integrated with the firm's strategic needs.
  - **Coherence**: Policies are consistent with each other and across hierarchies.
  - **Acceptance**: Line managers and employees follow HR practices in routine work.

Basis	Support Function	Strategic Function
Role	Staff/administrative	Business partner
Focus	Routine personnel work	Value-added capabilities
Link to strategy	Weak	Fully integrated
Followed by	HR department	Line managers and employees

Global Perspective of HRM

- **Success factors**: The type of people, their willingness and their commitment.
- **International orientation**: Needed in recruitment, training, performance review, motivation and industrial relations.
- **Three dimensions of Global HRM**:
  - **HR activities**: procurement, allocation and utilisation.
  - **Types of employees**: home, host and third country nationals.
  - **Countries of operation**: home, host and other countries.

International HR Challenges

- **Core challenge**: Be **people-centric, not work-centric**.
- **Nine challenges**: selectivity in recruitment, staffing strategy, selection criteria, cultural integration, workforce diversity, information sharing, talent management, international compensation and work-life balance.

Selectivity in Recruitment – Sources for Overseas Positions

1. **Home country nationals (expatriates/PCNs)**: Their share is declining. **Beamish and Inkpen** studied over 3,200 Japanese subsidiaries and found expats are costly, while local managers are more reliable.
2. **Host country nationals**: Hired to avoid expatriate problems. They know the culture and language and cost less.
3. **Third country nationals**: Hired as "the best person for the job". They bring **cross-cultural skills**.
4. **Inpatriates**: Host or third country staff assigned to the home country.

Basis	Expatriate (PCN)	HCN	TCN
Citizenship	HQ country	Country of operation	A third country
Cost	Very high	Low	Moderate
Local cultural fit	Low	High	Medium
HQ control	High	Low	Medium

Staffing Strategy (Approaches to Multinational Staffing)

These approaches reflect the **managerial philosophy of top management** at headquarters.

1. **Ethnocentric**: Key posts go to **parent-nation employees** to create a single corporate culture. It is costly. **Cieri, Dowling & Taylor (1991)**: 50% of firms said an expat costs **3–4 times** a normal salary.
2. **Polycentric**: **Host country nationals** run the subsidiaries. Reasons are cultural familiarity, cost and language. It assumes local managers know best.
3. **Third country nationals**: The best person is hired regardless of nationality. TCNs bring a transnational image.
4. **Geocentric**: The **best people** fill key posts **regardless of nationality**.
5. **Regiocentric**: Operations are split into **regions** (Europe, Africa, Asia Pacific). Managers are transferred within a region.

- **Caution**: A firm may use one approach or a combination, as needed.

Approach	Strategic Fit	Advantages	Disadvantages
Ethnocentric	International	Fills lack of host managers; unified culture; transfers core competencies	Host resentment; cultural myopia
Polycentric	Multidomestic	Reduces cultural myopia; inexpensive	Limits career mobility; isolates HQ
Geocentric	Global/transnational	Efficient HR use; strong culture and informal network	Immigration limits; expensive

Selection Criteria for International Assignments

1. **Ability to adapt**: Gets along with new people, cultures and businesses, and solves problems from different perspectives.
2. **Age, experience and education**: The right mix helps the person handle the job and make progress.
3. **Language**: English is essential. The local language is needed in non-English countries.
4. **Spouse and family**: **Adaptability screening** checks whether the family can cope with overseas stress, climate and culture.
5. **Leadership ability**: Effective at home and abroad. Key traits are emotional stability, initiative and maturity.

- **Key basis**: The individual's **ability to adjust**.

Cultural Integration

- **Forms**: a multicultural society; the **global village** (a borderless world through technology and trade); a **mass consumer culture** (fashion, sport, music, TV).
- **Two views**: Some see it as unifying the world. Others see a **threat to national sovereignty and cultural diversity**.
- **Mergers**: It was a major problem in **Nissan–Renault** and **Daimler–Chrysler**.

- **Global work culture**: Workplace cultures are becoming more uniform.
- **Solution**: **Cross-cultural training**. For example, **TCS** works to integrate a global workforce into one culture.

Managing Workforce Diversity

- **Nature**: Differences in culture, age, gender, race, education, ethics and values.
- **Merit**: Encourages **creativity** and better solutions to complex decisions.
- **Problem**: Makes human behaviour harder to understand.

Employee Information Sharing

- **Benefit**: Informed staff feel **trust and confidence**. They are more participative and committed, which gives a competitive advantage.
- **Basis**: Trust needs management **credibility**, which comes from integrity.
- **Examples**: JW Marriott (daily HR newsletter read at each shift), **Intel's "The Right to Know"** (anonymous questions answered promptly), and **FedEx** (Fred Smith's open phone lines).

Talent Management Strategies

- **SHRM function**: Build a talent team that designs development programmes matching the firm's technological needs.
- **Learning**: The key component. It builds career development and **retains skilled workers**.

International Compensation Management

- **Objectives**:
  - Equalize pay globally.
  - Align pay with structure, business needs and strategy.
  - Attract and retain the best talent.
- **Components**:
  - Basic salary
  - Foreign service inducement premium
  - Allowances
  - Benefits
  - Long-term incentives
  - Taxes (tax equalization and tax protection)

Approaches to International Compensation

1. **Balance sheet approach (Reynolds, 1986)**: Equalizes **purchasing power** so employees keep the **same standard of living** across countries.
2. **Market rate approach**: Base salary is linked to the **host country's pay structure** and standards.

Basis	Balance Sheet	Market Rate
Linked to	Home standard of living	Host country pay structure
Aim	Equal purchasing power	Match local standards
Equity with	Home colleagues	Local colleagues

Work Life Balance

- **Value proposition**: Work-life balance and joy at work matter today.
- **Zipped career**: People want to get rich fast but also want personal space.
- **Pressures**: Rapid technology change and working couples.
- **HR role**: Create **innovative work patterns** that turn monotony into creativity.
- **Two ways to provide balance**:
  - **Flexi-time**: best for clerical, professional and managerial jobs.
  - **Assignment-based work**: no fixed tenure; staff take assignments in their specialisation as available.
- **Compressed workweek**: For example, airline pilots, four 10-hour days, or 12-hour shifts.

Employee Participation, Empowerment and Commitment

- **New work ethic**: Enjoyable, meaningful work with **privacy, autonomy and flexibility**.

- **Transparency**: Employees expect openness in business policies.
- **Indian challenge**: Teamwork, innovation and creativity. Indian education and culture do not foster creativity.
- **Tool**: **Dr. Edward de Bono's Six Thinking Hats** separates thinking into six categories to analyse issues and generate ideas.

Cross-cultural Training

- **Need**: Training must be cost-effective, flexible and culturally relevant across time zones.
- **E-learning**: Efficient, but may fail to build **social learning communities**.
- **Content**: The host country's history, politics, business norms, education, demographics, values and communication.
- **Greatest need**: Where the cultural gap is large (**Forster, 2000**).
- **Importance**:
  - Expat failure is costly (**Bennet et al., 2000**).
  - Accurate expectations aid adjustment (**Caligiuri et al., 2001**).
  - Training reduces failure (**Marquardt & Engel, 1993**).
  - It also boosts morale.
- **Limitation**: Only **30% of US MNCs** gave such training. Researchers have not agreed on how to implement their findings.

Leveraging Cultural Diversity

- **Global work culture**: It is emerging, but behaviour shaped by **socio-economic culture** still matters.
- **Indian traits**: Mainly work-focused, with work-only talks with foreign colleagues and a benevolent rather than equal attitude to clients.
- **Response**: Heavy investment in cross-cultural training experts.

Knowledge Management

- **Need**: Business complexity forces firms to be **proactive, targeted and focused**. HRM adopts an **innovation policy**.
- **Initiatives**:
  - Knowledge research centre
  - Knowledge and technology diffusion
  - Awareness and promotion of knowledge
- **Multidisciplinary**: KM combines technology, culture, economics and politics.

Knowledge Assessment → Knowledge Acquisition → Knowledge Development → Knowledge Sharing → Knowledge Utilization → Knowledge Retention

Knowledge Life Cycle and Knowledge Capital

- **Knowledge capital**: Defined differently in each organisation. It depends on the firm's **core competence** and its people's **collective knowledge, experience and creativity**.
- **Knowledge life cycle (Knowledge Research Institute)**:
  - **Create**: learn, innovate and research.
  - **Capture and store**: reuse and build on it.
  - **Organize and transform**: make it widely available and embed it.
  - **Deploy**: improve processes, products and services.
  - **Use and leverage**: act intelligently for success.

Create Knowledge → Capture and Store → Organize and Transform → Deploy → Use and Leverage

Strategies for Building Knowledge Capital

- **Succession planning**: Use development experiences and assignments.
- **Peter Drucker (1992)**: People learn to see the whole through **cross-functional task forces**.
- **HR role**: Identify key people, get them to transfer knowledge, use it in strategic HR planning and spark innovation.

Business Strategy → Knowledge Management Strategy → Culture & People / OD / Infrastructure & Process / Intellectual Assets

Recruitment and Selection – Summary Points

- **Recruitment**: Attracting applicants, either **internal** or **external**. Recruitment policies set the guidelines.
- **Realistic Job Preview (RJP)**: Gives candidates full, realistic information about the job and organisation.
- **Selection**: Choosing the applicants who best fit the job.
- **Seven factors of selection**: application forms, interviewing, assessment centres, employment testing, reference checks, physical examinations and selection validation.

2-MARK QUESTIONS

Q1. Define Global HRM.

Global HRM is managing the human resources of a firm operating across countries. It blends HR activities, types of employees (home, host and third country nationals) and countries of operation.

Q2. What is globalization?

Globalization is an attitude of mind which views the entire world as a single market. It is a way of corporate life made necessary by the trans-nationalization of the world economy.

Q3. Who are expatriates?

Expatriates are parent (home) country nationals who live and work outside their home country for the MNC. They are costly, so their share is declining.

Q4. Who are host country nationals?

They are local people hired by the MNC in the country where it operates. They know the culture and language and are cheaper than expatriates.

Q5. Who are third country nationals?

TCNs are citizens of a country other than the MNC's headquarters country and the country where they work. They are hired as the best person for the job and bring cross-cultural skills.

Q6. What is an inpatriate?

An inpatriate is an individual from a host country or third country who is assigned to work in the MNC's home country.

Q7. Name the approaches to multinational staffing.

The four approaches are ethnocentric (parent nationals in key posts), polycentric (host nationals), geocentric (best person, any nationality) and regiocentric (transfers within a region).

Q8. Differentiate between ethnocentric and polycentric approach.

In the ethnocentric approach, parent-country staff fill key posts to build one corporate culture. In the polycentric approach, host country nationals run subsidiaries because of cultural and language familiarity and lower cost.

Q9. What is cultural integration?

It is the process of one culture gaining the ideas, technologies and products of another, so that it seems to integrate into the other. Examples are a multicultural society and the global village.

Q10. What is adaptability screening?

It is a step in expatriate selection. It evaluates how well the spouse and family can withstand the stress of overseas life, a new climate and a new culture.

Q11. Name the components of an international compensation package.

The components are basic salary, foreign service inducement premium, allowances, benefits, long-term incentives, and taxes (tax equalization and tax protection).

Q12. List the stages of the knowledge management cycle.

The stages are knowledge assessment, acquisition, development, sharing, utilization and retention.

LONG QUESTIONS (6 Marks)

Q1. What are the approaches to multinationals' staffing decisions?

Introduction: Staffing approaches are the policies an MNC uses to fill key posts in overseas units. They reflect the managerial philosophy of top management at headquarters. The four approaches are ethnocentric, polycentric, geocentric and regiocentric.

1. **Ethnocentric approach**: Parent country nationals fill all key positions to build a single corporate culture worldwide. Local people may be involved later.
2. **Merits and demerits of ethnocentric**: It overcomes the lack of qualified host managers, unifies culture and transfers core competencies. However, it causes host resentment and cultural myopia, and is costly (Cieri, Dowling & Taylor: 3–4 times normal salary).
3. **Polycentric approach**: Host country nationals manage subsidiaries because of cultural familiarity, language and lower cost. It assumes local managers know best.
4. **Merits and demerits of polycentric**: It reduces cultural myopia and is inexpensive. However, it limits career mobility and isolates headquarters from subsidiaries.
5. **Geocentric approach**: The best people are placed in key positions regardless of nationality. TCNs, with their cross-cultural skills, fit here.
6. **Merits and demerits of geocentric**: It uses HR efficiently and builds a strong culture and informal network. However, it is expensive and limited by immigration policies.
7. **Regiocentric approach**: Operations are divided into regions such as Europe, Africa and Asia Pacific. Senior managers are transferred within their region.
8. **Combination**: A firm may use one approach or a mix, depending on its needs at the time.

Approach	Key Posts Filled By	Main Merit	Main Demerit
Ethnocentric	Parent nationals	Unified culture	Host resentment
Polycentric	Host nationals	Low cost, local fit	Isolated HQ
Geocentric	Best person, any nation	Efficient talent use	Expensive
Regiocentric	Staff within region	Regional mobility	Limited global view

Conclusion: No single approach suits all firms. An MNC should choose the approach, or combination, that matches its strategy and stage of international operations.

Q2. What sources can an MNC tap for overseas positions? Discuss the selection criteria for international assignments.

Introduction: Global recruitment means attracting suitable people for overseas positions. An MNC can tap home, host and third country nationals and inpatriates. Selection must be careful because expatriate failure is costly.

1. **Home country nationals (expatriates)**: Parent country citizens working abroad. They give HQ control but are costly. Beamish and Inkpen found their share declining in Japanese subsidiaries.
2. **Host country nationals**: Local people who know the culture and language and are cheaper. They help avoid expatriate problems.
3. **Third country nationals**: Citizens of a third country, chosen as the best person for the job. They bring cross-cultural skills.
4. **Inpatriates**: Host or third country employees assigned to work in the home country.
5. **Ability to adapt**: The candidate must adjust to new people, cultures and businesses, and solve problems from different perspectives.
6. **Age, experience and education**: The right mix helps the candidate handle the job and make developmental efforts.
7. **Language skills**: English is essential. The local language helps in non-English-speaking countries.
8. **Family and leadership**: Adaptability screening checks whether the family can cope abroad. A global leader needs emotional stability, initiative and maturity.

Conclusion: The right source and careful selection, based mainly on the person's ability to adjust, reduce expatriate failure and help the MNC succeed abroad.

Q3. Explain the meaning and impact of globalization. What are the major international HR challenges?

Introduction: Globalization is "an attitude of mind which views the entire world as a single market". It results from the trans-nationalization of the world economy. In this global village, firms need global HR functions.

1. **Change in HR practices**: Change is needed in HR, not only in production and marketing. Ford moves employees "from anywhere to anywhere".
2. **Right employee mix and policy redesign**: Firms need people with knowledge, skills and cultural adaptability. HR policies must be redesigned, as LPG has done in India since the 1990s.
3. **HR as strategic function**: HR has moved from a staff role to a strategic one that is integrated, coherent and accepted by line managers.
4. **Recruitment and staffing**: Firms must choose among PCNs, HCNs, TCNs and inpatriates, and among the ethnocentric, polycentric, geocentric and regiocentric approaches.
5. **Cultural integration and diversity**: Cultures must merge, as seen in Nissan–Renault. Diversity brings creativity but makes behaviour harder to understand.
6. **Information sharing and talent management**: Informed employees trust the firm (Intel's "Right to Know"). Learning helps retain skilled staff.
7. **International compensation**: Pay must be equalized globally, aligned with strategy and able to attract talent.
8. **Work-life balance and creativity**: Firms use flexi-time, assignment-based work and compressed workweeks, plus tools like de Bono's Six Thinking Hats.

Conclusion: Globalization has made HR people-centric and strategic. Firms that meet these challenges gain a competitive edge.

Q4. Discuss the various approaches to international compensation.

Introduction: International compensation is the pay and benefits system for employees working across countries, especially expatriates. It aims at fair, competitive and strategy-aligned pay worldwide.

1. **Objective – global equity**: Equalize pay on a global basis.
2. **Objective – strategic fit**: Align pay with the firm's structure, business needs and overall strategy.
3. **Objective – talent**: Attract and retain the best talent.
4. **Components**: Basic salary, foreign service inducement premium, allowances, benefits, long-term incentives, and taxes (equalization and protection).
5. **Balance sheet approach (Reynolds, 1986)**: Equalizes purchasing power so employees keep the same standard of living across countries. Allowances cover cost differences.
6. **Features of balance sheet approach**: It keeps equity with home-country colleagues and eases return home. However, it is usually costlier.
7. **Market rate approach**: Base salary is linked to the host country's pay structure and compensation standards.
8. **Features of market rate approach**: It gives equity with local staff and is simpler. However, pay may be lower in low-wage host countries.

Basis	Balance Sheet	Market Rate
Linked to	Home standard of living	Host country pay
Equity with	Home colleagues	Local colleagues
Cost	Higher	Usually lower

Conclusion: The firm should choose the approach that suits the countries involved and its strategy, so pay stays fair, competitive and affordable.

Last-Night Revision

The most important definitions, lists and differences from every unit. Read this the night before the exam.

Unit 1: An Introduction to Human Resource Management

- **HRM**: Bringing people and the organisation together so that the goals of each are met. Other definitions: Cuming, Yoder, Brech, Edison ("science of human engineering").
- **Concepts**: commodity → factor of production → goodwill → paternalistic → humanitarian → HR → partners.
- **6 stages**: Pre-industrial, Industrial Revolution, Scientific Management/Welfare, Golden Age of IR (ID Act 1947), Control of Labour, Professional.
- **Features**: pervasive, action-, people-, future- and development-oriented, integrating, comprehensive, staff, inter-disciplinary, continuous.
- **Ulrich's roles**: strategic partner, change agent, employee champion, administrative expert. **Mamoria's roles**: personnel, welfare, administrative, fire-fighting.
- **Policy**: Reasons are uniformity, performance standard and conflict resolution; writing follows the 3C principle (clarity, conciseness, coherence).
- **IIPM scope**: personnel, welfare, IR. **E-HRM tiers**: operational, relational, transformational. **Lepak and Snell**: develop, acquire, contract, alliance.

Unit 2: Strategic Human Resource Management

- **SHRM**: Linking HRM with strategic goals to improve performance and build a culture of innovation and flexibility.
- **Armstrong's 3 propositions**: People as competitive advantage, vertical fit and horizontal fit.
- **5 conditions for sustained advantage**: Superiority, inimitability, durability, non-substitutability, appropriability.
- **Core competence**: Knowledge based, residing in people and intellectual capital, not the balance sheet (FedEx, 3M).
- **HR as advantage**: Talent must be valuable, rare, hard to imitate and well organised.
- **Greer's process**: Mission → Investment perspective → Scanning (HR, legal) → Formulation → HR planning → Implementation → Performance impact → Evaluation.
- **Alan Speaker's 2 × 2 matrix**: Transactional vs relational, and high vs low strategic value.

Unit 3: Job Analysis, Job Enrichment and Job Enlargement

- **Products of job analysis**: Job description (about the job) and job specification (about the person).
- **Job analysis process**: Organisational analysis, representative positions, data collection, JD, JS.
- **8 data collection methods**: Observation, questionnaire, log records, interview, critical incident, diary, checklist, technical conference.
- **JS attributes**: Essential, desirable, contra-indicators.
- **5 core dimensions (enrichment, based on Herzberg)**: Skill variety, task identity, task significance, autonomy, feedback.
- **Enrichment vs enlargement**: Qualitative and vertical (empowers) vs quantitative and horizontal (executes).
- **HRP process and HRIS**: Demand forecast, supply forecast (staffing table, Markov, skills inventory, replacement chart), gaps, HR plans, control. HRIS reduces paperwork and gives quick, accurate retrieval.

Unit 4: Recruitment and Selection Process

- **Recruitment (Flippo)**: "Searching for prospective employees and stimulating them to apply." It is positive and creates a pool. **Selection** is negative and finds the fit.
- **Forecasting**: Expert (survey, nominal group, Delphi); trend (extrapolation, indexation, statistical); other (budget, new-venture, computer models, which are the most sophisticated).
- **Internal sources**: Merits are morale, loyalty and low cost; demerits are inbreeding, drying up and seniority bias.
- **External sources**: Campus, private agencies, employment exchanges, professional associations, data banks, casual applicants, similar organisations, trade unions.
- **Diversity**: Mistakes are "company photo diversity" and "diversity by numbers". Steps are a diversity policy, fair job descriptions, wide publicity and awareness of law.
- **8 tests**: Intelligence, achievement, aptitude, personality, assessment centre, graphology, polygraph, integrity. Standards are reliability and validity (content, construct).
- **6 interviews**: Non-directive, structured (the most reliable), situational (hypothetical), behavioural (past), stress, panel (3 to 5 interviewers).

Unit 5: Induction and Placement

- **Induction**: welcoming a new employee and familiarising him with the job and organisation. Formal orientation lasts a day or less.
- **3 objectives of induction**: removes fears, creates a good impression, valuable source of information.
- **3 components**: content, socialisation, follow-up. **4 content areas**: organisational issues, employee benefits, introductions, job duties.
- **Placement**: posting to a specific job with rank and responsibility, decided by the line manager. A second placement after a poor probation is **differential placement**.
- **Significance of placement**: better morale; less turnover, absenteeism and accidents; avoids misfit; achieves objectives.
- **Outsourcing cons**: misplaced loyalty, control problem, hidden costs. **Outplacement**: retraining, relocation and social support for laid-off workers.
- **Challenges**: checklist and buddy system. Avoid too many forms, information overload, hazardous jobs and sketchy orientation.

Unit 6: Training and Development

- **Training (Flippo)**: the act of increasing knowledge and skills of an employee for doing a particular job.
- **Training vs Development**: operatives vs managers; short vs long term; specific skill vs total personality; reactive vs proactive.
- **Training process**: needs → programme → prepare learners → implement → try-out → follow-up; needs found by organisational, task and manpower analysis.
- **On-the-job methods**: JIT (4 steps, WWII), coaching/mentoring, job rotation, apprenticeship (2–5 years), committee assignments.
- **Off-the-job methods**: vestibule, role play, lecture, conference, programmed instruction, e-learning, sensitivity training.
- **Executive development steps**: needs → appraise talent → manpower inventory → individual plans → establish programmes → evaluate.
- **Evaluation**: questionnaire, tests, interviews, HR factors, cost-benefit, feedback; criteria are reactions, learning, behaviour, results.

Unit 7: Performance Management

- **3 purposes of PA**: reward allocation, development needs, validation of selection and training.
- **5 components of PM**: planning, monitoring, developing, rating, rewarding; standards must be measurable, understandable, verifiable, equitable, achievable.
- **Past-oriented methods**: rating scale, checklist, forced choice, critical incident, BARS, field review, performance test, ACR, cost accounting, comparative.
- **Future-oriented methods**: MBO (Drucker, 1954), psychological appraisal, assessment centre (German Army, 1930), 360-degree.
- **Potential appraisal steps**: role descriptions, qualities, rating mechanisms (others, tests, games, records), organising, feedback.
- **Counselling**: directive (advice), non-directive (reorientation), participative (balanced); 6 functions: advice, reassurance, communication, emotional release, clarified thinking, reorientation.
- **Rating errors**: primacy, halo, horn, leniency/strictness, central tendency, stereotyping, recency.

Unit 8: Compensation Management

- **Components**: base pay and variable pay (direct); benefits (indirect).
- **3 equities**: internal (job evaluation), external (wage survey), individual (equal pay for equal work).
- **5 pay-rate steps**: job evaluation → wage survey → pay grades → wage curve → fine tune.
- **4 job evaluation methods**: ranking, grading, point rating, factor comparison; red circle rate = pay off the wage line, frozen until adjusted.
- **Competency-based pay**: pays the person, not the job (Brown and Armstrong); structures are broad banding and job families.
- **Variable pay**: lump sum not added to base pay; controls costs; part of pay at risk.
- **5 fringe benefit types**: time not worked, security, safety and health, welfare, old age; gratuity = 5 years, 15 days per year, maximum 20 months' wage.

Unit 9: HRD

- **HRD**: Planned development of individuals, groups and the total organisation in mutual trust; people are treated as assets.
- **HRD Matrix**: Instruments → Processes → Outcomes → Organisational effectiveness.
- **HRD climate**: Organisational structure, organisational culture, HRD processes.
- **HRD Scorecard (T.V. Rao)**: Systems maturity, competence, culture, business linkage, on a 10-point scale.
- **Walton's 8 QWL criteria**: Fair pay, safety, human capital, career growth, social integration, constitutionalism, work-life balance, social relevance.
- **QWL through EI**: Quality circles, socio-technical systems, autonomous work groups, suggestion systems.
- **Knowledge types**: Explicit, implicit, tacit. **Reverse mentoring**: junior teaches senior, with knowledge flowing upward.

Unit 10: Industrial Relations and Trade Unions

- **IR (Agnihotri)**: employee–management relations from the union–employer relationship. Scope: labour, employer–employee, group and community relations.
- **Dunlop**: 3 actors + 3 contexts (technology, market, power) → web of rules.
- **4 determinants of IR**: institutional, economic, technological, socio-political.
- **Trade union (V.V. Giri)**: voluntary organisation protecting interests by collective action. First union: Bombay Mill Hands Association, 1890.
- **NCL**: one union one industry, internal leadership, cancel defaulters' registration, fee Re 1 per month.
- **Preventive machinery**: ILC (yearly), SLC, Committee on Conventions (1954), Industrial Committees, Works Committees (100+ workers), JMC.
- **Settlement machinery**: conciliation (not binding) → arbitration (usually binding) → adjudication (government, binding).

Unit 11: Employee Grievance and Discipline

- **Grievance (Jucius)**: any discontent, expressed or not, valid or not, that the employee feels is unfair, unjust or inequitable.
- **3 grievance types and uncovering methods**: factual, imaginary, disguised; observation, gripe boxes, open door, exit interviews, opinion surveys.
- **5 pre-requisites**: legislation, clarity, simplicity, promptness, follow-up.
- **Laws and Model Grievance Procedure**: Standing Orders Act 1946 (100+), Factories Act 1948 (Welfare Officer, 500+), ID Act 1947; Model Grievance Procedure adopted by the Indian Labour Conference, 16th session, 1958, voluntary.
- **Red-Hot Stove Rule (McGregor)**: immediate, warning, consistent, impersonal.
- **Disciplinary procedure**: charge sheet → explanation → show cause → enquiry → order and appeal → follow-up.
- **Punishments, mild to severe**: oral warning → written warning → fines → suspension → withholding increment → demotion → discharge and dismissal.

Unit 12: Health & Safety Management

- **Health vs Safety vs Security**: well-being / protection from work accidents / protection of facilities and people.
- **Health provisions (Sec. 11–20)**: cleanliness, wastes, ventilation, dust, humidification, overcrowding (14.2 m^3), lighting, water (6 m; cool water above 250 workers), latrines, spittoons.
- **Safety figures**: safety officer at 1000+ workers (40B); lights max 25 V (36A); hoists checked every 6 months; 18 inches (25); machinery after 1-4-1949 encased (26).
- **Alcoholism stages**: early development → disruptive → fully developed.
- **Causes of accidents**: human (majority) and environmental. Predictors: life changes, biorhythm (28/23/33), ADM.
- **Accident prevention**: education, skill training, engineering, protection, regulation enforcement, inspection.
- **Effective safety management**: policy, top support, committee, discipline/motivation, engineering, training, investigation, evaluation, government support (NSC 1966).

Unit 13: Workplace Health Hazards

- **Purpose of safety programmes**: Prevent work-related injuries and accidents.
- **5 physical hazards (Bernklau; Philson)**: Slipping/falling, obstruction/collision, equipment, falling objects, fire.
- **5 productivity factors**: Attitude, boss, health, tech tools, downsizing and outsourcing.
- **Noise**: Hearing loss is the most common work injury, and noise masks alarms. Programme: monitoring, controls, audiometry, protection, education, records, evaluation, audit.
- **IEQ**: Quality of indoor air, linked to dampness, cleanliness, ventilation, temperature and humidity.
- **Indian scenario**: Five Acts weakly enforced, inspectors cover 150+ factories and are sometimes corrupt, child labour in Sivakasi. Dr Subodh Medhekar: "In India life is cheap."

- **Legal provisions**: Fencing, no young persons near machines, power cut-off, hoists and lifts, room to move, flooring, ventilators, fire precautions.

Unit 14: Global HRM

- **Globalization**: an attitude of mind viewing the entire world as a single market.
- **3 dimensions of Global HRM**: HR activities, types of employees, countries of operation.
- **Overseas sources**: PCN (expatriates), HCN, TCN, inpatriates.
- **Staffing approaches**: ethnocentric (parent nationals), polycentric (host nationals), geocentric (best person, any nationality), regiocentric (within region).
- **Selection criteria abroad**: adaptability, age/experience/education, language, family (adaptability screening), leadership.
- **Compensation approaches**: balance sheet (Reynolds, equal purchasing power) vs market rate (host pay structure).
- **KM cycle**: assessment, acquisition, development, sharing, utilization, retention.